

CANADA BREAD COMPANY, LIMITED

NOTICE OF SPECIAL MEETING OF SHAREHOLDERS

to be held on April 3, 2014

and

MANAGEMENT INFORMATION CIRCULAR

with respect to a

PLAN OF ARRANGEMENT

involving

CANADA BREAD COMPANY, LIMITED

and

BIMABEL CANADA INC.

a wholly-owned subsidiary of

GRUPO BIMBO, S.A.B. DE C.V.

These materials are important and require your immediate attention. They require shareholders of Canada Bread Company, Limited to make important decisions. If you are in doubt as to how to make such decisions, please contact your financial, legal or other professional advisor. If you have any questions regarding the information in this Notice or Management Information Circular, or require assistance in voting your common shares, please contact Computershare Investor Services Inc. at 1-800-564-6253 toll-free in North America, or at 1-514-982-7555 outside of North America (collect calls accepted), or by email at corporateactions@computershare.com.

March 5, 2014

CANADA BREAD COMPANY, LIMITED

March 5, 2014

Dear Shareholder:

You are invited to attend a special meeting (the "**Meeting**") of holders ("**Shareholders**") of common shares ("**Common Shares**") of Canada Bread Company, Limited ("**Canada Bread**" or the "**Company**") scheduled to be held at the Toronto Board of Trade, East Ballroom, 77 Adelaide Street West, Toronto, Ontario, on Thursday April 3, 2014, commencing at 1:00 p.m. (Toronto time).

At the Meeting, you will be asked to consider and, if deemed advisable, to pass a special resolution approving a statutory plan of arrangement pursuant to Section 182 of the *Business Corporations Act* (Ontario) (the "**Arrangement**") involving the acquisition by Bimabel Canada Inc., a wholly-owned subsidiary of Grupo Bimbo, S.A.B. de C.V. ("**Grupo Bimbo**"), of all of the issued and outstanding Common Shares of Canada Bread. Under the Arrangement, Shareholders will receive $72.00 in cash (the "**Consideration**") for each Common Share held, plus a stub period dividend.

The $72.00 in cash per Common Share that Shareholders will receive under the Arrangement represents, after adjusting for the $8.00 per share dividend paid by Canada Bread to Shareholders on January 6, 2014, a 31% premium to Canada Bread's closing price on the Toronto Stock Exchange (the "**TSX**") of $61.25 on October 18, 2013, the day prior to Maple Leaf Foods Inc.'s ("**Maple Leaf**") announcement that it was exploring strategic alternatives for its interests in the Company and Canada Bread's announcement that it had established a committee of independent directors (the "**Special Committee**") in connection therewith, and a 34% premium to the 20-day volume-weighted average share price on the TSX of $59.58 ending on October 18, 2013.

In order to become effective, the Arrangement must be approved by at least two-thirds of the votes cast at the Meeting by Shareholders present in person or by proxy. Completion of the Arrangement is also subject to certain conditions, including the approval of the Ontario Superior Court of Justice and applicable regulatory approvals.

CIBC World Markets Inc. has provided the board of directors of Canada Bread (the "**Board**") and the Special Committee with an opinion to the effect that, as of February 11, 2014, and based upon and subject to the assumptions, limitations and qualifications contained therein, the Consideration to be received pursuant to the Arrangement Agreement dated as of February 11, 2014, between Canada Bread and Grupo Bimbo is fair, from a financial point of view, to the Shareholders (other than Maple Leaf).

The Board, after consulting with its financial and legal advisors, and after careful consideration of, among other things, the fairness opinion of CIBC World Markets Inc. and the recommendation of the Special Committee, has unanimously determined that the Arrangement is in the best interests of Canada Bread and that the Arrangement is fair to Shareholders. Accordingly, the Board unanimously recommends that Shareholders vote in favour of the Arrangement.

Maple Leaf and the directors of Canada Bread have entered into voting support agreements with Grupo Bimbo pursuant to which they have agreed, subject to the terms of such agreements, to vote any Common Shares they hold in favour of the Arrangement. As of the date hereof, Maple Leaf beneficially owns or exercises control or direction over 22,875,215 Common Shares, representing approximately 90.0003% of the issued and outstanding Common Shares, and the directors of Canada Bread beneficially own or exercise control or direction over an aggregate of 13,030 Common Shares, representing approximately 0.05% of the issued and outstanding Common Shares.

The accompanying Notice of Special Meeting and Management Information Circular (the "**Circular**") provide a fuller description of the Arrangement and include certain other information to assist you in considering how to vote. **You are urged to read this information carefully and, if you require assistance, to consult your financial, legal or other professional advisor**.

Your vote is important, regardless of the number of Common Shares you own.

If you are not registered as the holder of your Common Shares but hold your shares through a broker or other intermediary, you should follow the instructions provided by your broker or other intermediary to vote your Common Shares. See the section in the accompanying Circular entitled "*General Proxy Information – Non-Registered Holders*" for further information on how to vote your Common Shares.

If you are a registered holder of Common Shares, you should vote by marking the box on the enclosed form of proxy and by dating, signing and returning your proxy in the enclosed return envelope addressed to Computershare Investor Services Inc., in its capacity as the transfer agent, at its offices at 100 University Avenue, 8th Floor, Toronto, Ontario, Canada M5J 2Y1, or by toll-free North American fax number 1-866-249-7775, or by international fax number 1-416-263-9524 by no later than 5:00 p.m. (Toronto time) on April 1, 2014 (or if the Meeting is adjourned or postponed, forty-eight hours (excluding Saturdays, Sundays and holidays) prior to the time of any adjourned or postponed Meeting). Please do this as soon as possible. Voting by proxy will not prevent you from voting in person if you attend the Meeting and revoke your proxy but will ensure that your vote will be counted if you are unable to attend.

If you have any questions, please contact Computershare Investor Services Inc. (the "**Depositary**"), by telephone at 1-800-564-6253 toll-free in North America, or at 1-514-982-7555 outside of North America (collect calls accepted), or by email at corporateactions@computershare.com.

Registered Shareholders who validly dissent from the Arrangement will be entitled to be paid the fair value of their Common Shares, subject to strict compliance with Section 185 of the *Business Corporations Act* (Ontario), as modified by the provisions of the Interim Order and the Plan of Arrangement (each as defined in the accompanying Circular).

Registered Shareholders should complete and return the enclosed letter of transmittal (printed on yellow paper) together with the certificate(s) representing your Common Shares and any other required documents and instruments, to the Depositary, Computershare Investor Services Inc., in the enclosed return envelope in accordance with the instructions set out in the letter of transmittal.

If you hold your Common Shares through a broker or other intermediary, please contact that broker or other intermediary for instructions and assistance in voting your Common Shares and receiving the Consideration in respect thereof.

Sincerely,

(*Signed*) "Jack Petch"
Jack Petch
Chair of the Special Committee

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that a special meeting (the "**Meeting**") of the holders ("**Shareholders**") of common shares ("**Common Shares**") of Canada Bread Company, Limited ("**Canada Bread**" or the "**Company**") will be held at the Toronto Board of Trade, East Ballroom, 77 Adelaide Street West, Toronto, Ontario, on Thursday April 3, 2014 at 1:00 p.m. (Toronto time) for the following purposes:

1. to consider pursuant to an interim order of the Ontario Superior Court of Justice dated March 5, 2014 (the "**Interim Order**") and, if thought advisable, to pass, with or without amendment, a special resolution (the "**Arrangement Resolution**"), the full text of which is set forth in Appendix "A" to the accompanying Management Information Circular (the "**Circular**"), to approve an arrangement under section 182 of the *Business Corporations Act* (Ontario) ("**OBCA**") whereby, among other things, Bimabel Canada Inc., a wholly-owned subsidiary of Grupo Bimbo, S.A.B. de C.V., will acquire all of the issued and outstanding Common Shares for consideration of $72.00 in cash for each Common Share, and a stub period dividend will be paid, all as more particularly described in the Circular; and
2. to transact such further or other business as may properly come before the Meeting or any adjournment or postponement thereof.

The record date for the determination of Shareholders entitled to receive notice of and to vote at the Meeting is the close of business on March 3, 2014 (the "**Record Date**"). Only Shareholders whose names have been entered in the register of Shareholders as of the close of business on the Record Date will be entitled to receive notice of and to vote at the Meeting. This Notice is accompanied by the Circular, a form of proxy and a letter of transmittal.

To be effective, the Arrangement Resolution will have to be approved by at least two-thirds of the votes cast by Shareholders present in person or by proxy at the Meeting.

Registered holders of Common Shares have the right to dissent with respect to the Arrangement Resolution and, if the Arrangement Resolution becomes effective, to be paid the fair value of their Common Shares in accordance with the provisions of section 185 of the OBCA as modified by the Plan of Arrangement (as defined in the Circular) and the Interim Order, as described in the accompanying Circular under the heading "*The Arrangement – Dissent Rights*". Failure to strictly comply with the requirements with respect to the dissent rights may result in the loss of any right to dissent. Persons who are beneficial owners of Common Shares registered in the name of a broker, custodian, nominee or other intermediary and who wish to dissent must make arrangements for the Common Shares beneficially owned by them to be registered in their name prior to the time the written objection to the Arrangement Resolution is required to be received by Canada Bread and then follow all required dissent procedures or, alternatively, make arrangements for the registered holder of such Common Shares to dissent on their behalf.

The Circular provides additional information relating to the matters to be addressed at the Meeting and is deemed to form part of this Notice.

DATED at Toronto, Ontario this 5th day of March, 2014.

BY ORDER OF THE BOARD OF DIRECTORS
OF CANADA BREAD COMPANY, LIMITED

(*Signed*) "Jack Petch"
Jack Petch
Chair of the Special Committee

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INFORMATION CONTAINED IN THIS INFORMATION CIRCULAR

The information contained in this Circular, unless otherwise indicated, is given as of March 5, 2014.

No person is authorized by Canada Bread to give any information (including any representations) in connection with the matters to be considered at the Meeting other than the information contained in this Circular. This Circular does not constitute an offer to sell, or a solicitation of an offer to acquire, any securities, or a solicitation of a proxy, by any person in any jurisdiction in which such an offer or solicitation is not authorized or is unlawful.

Information contained in this Circular should not be construed as legal, tax or financial advice, and Shareholders should consult their own professional advisors concerning the consequences of the Arrangement in their own circumstances.

Neither the Arrangement (including its fairness or merits) nor this Circular (including the accuracy or adequacy of the information contained in this Circular) has been approved or disapproved by any securities regulatory authority (including any Canadian provincial or territorial securities regulatory authority, the United States Securities and Exchange Commission (the "**SEC**") or any other securities regulatory authority), and any representation to the contrary is unlawful.

Unless otherwise indicated, all amounts in this Circular are expressed in Canadian dollars.

Information Contained in this Circular regarding Grupo Bimbo, the Purchaser and Maple Leaf

The information concerning Grupo Bimbo, the Purchaser and Maple Leaf contained in this Circular has been provided for inclusion in this Circular by Grupo Bimbo, the Purchaser and Maple Leaf, respectively. Although Canada Bread has no knowledge that would indicate any such information is untrue or incomplete, neither Canada Bread nor any of its officers or directors assumes any responsibility for the accuracy or completeness of such information.

NOTICE TO SHAREHOLDERS IN THE UNITED STATES

This solicitation of proxies is not subject to the requirements of Section 14(a) of the United States *Securities Exchange Act of 1934*, as amended. Accordingly, this Circular has been prepared in accordance with disclosure requirements in effect in Canada, which differ from disclosure requirements in the United States.

Financial statements and other financial information referred to in this Circular have been prepared in accordance with IFRS, which differ in certain respects from generally accepted accounting principles in the United States and therefore may not be comparable to financial statements of United States companies.

The enforcement by investors of civil liabilities under United States federal securities laws may be affected adversely by the fact that Canada Bread exists under the laws of the Province of Ontario, that most of the officers and directors of Canada Bread are citizens and residents of countries other than the United States and that most of the assets of Canada Bread are located outside of the United States. You may not be able to sue a Canadian company or its officers or directors in a Canadian court for violations of U.S. securities laws. In addition, it may be difficult to compel a Canadian company and its affiliates to subject themselves to a U.S. court's judgment.

CAUTIONARY NOTE REGARDING FORWARD-LOOKING STATEMENTS AND RISKS

This Circular and the documents incorporated into this Circular by reference, contain "forward-looking information" within the meaning of the applicable Canadian securities legislation ("**forward-looking statements**") that are based on expectations, estimates and projections as at the date of this Circular. These forward-looking statements include (but are not limited to) statements and information concerning: the Arrangement; the timing for the implementation of the Arrangement and the potential benefits of the Arrangement; the likelihood of the Arrangement being completed; the statements made in, and based upon, the Fairness Opinion; statements relating to the business and future intentions and activities of the Purchaser, Grupo Bimbo, Maple Leaf and Canada Bread after the date of this Circular and prior to the Effective Time, and after the Effective Time; Shareholder approval and Court approval of the Arrangement; regulatory approval of the Arrangement; and other statements that are not historical facts.

Any statements that involve discussions with respect to predictions, expectations, beliefs, plans, projections, objectives, assumptions, future events or performance (often but not always using phrases such as "expects", or "does not expect", "is expected", "anticipates" or "does not anticipate", "plans", "budget", "scheduled", "forecasts", "estimates", "believes" or "intends" or variations of such words and phrases or stating that certain actions, events or results "may" or "could", "would", "might" or "will" be taken to occur or be achieved) are not statements of historical fact and may be considered forward-looking statements.

These forward-looking statements are based on the beliefs of Canada Bread's management, as well as on assumptions and other factors, which management believes to be reasonable based on information available at the time such statements were made. Such assumptions include, among other things, the satisfaction of the terms and conditions of the Arrangement, including the approval of the Arrangement and its fairness by the Court, and the receipt of the required governmental and regulatory approvals and consents.

By their nature, forward-looking statements are based on assumptions and involve known and unknown risks, uncertainties and other factors which may cause the actual results, performance or achievements of Canada Bread to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Forward-looking statements are subject to a variety of risks, uncertainties and other factors which could cause actual events or results to differ from those expressed or implied by such forward-looking statements, including, without limitation: the Arrangement Agreement may be terminated in certain circumstances; general business, economic, competitive, political, regulatory and social uncertainties; risks related to factors beyond the control of the Purchaser, Grupo Bimbo, Maple Leaf or Canada Bread; risks that conditions to the consummation of the Arrangement may not be satisfied; the global economic climate; community and non-governmental actions; and regulatory risks.

This list is not exhaustive of the factors that may affect any of the forward-looking statements of Canada Bread contained herein. Forward-looking statements consist of statements about the future and are inherently uncertain. There can be no assurance that the forward-looking statements made will prove to be accurate. Actual results could differ materially from those reflected in the forward-looking statements as a result of, among other things, the matters set out or incorporated by reference in this Circular generally and economic and business factors, some of which may be beyond the control of Canada Bread. Some of the more important risks and uncertainties that could affect forward-looking statements are described further under the heading "*Risks Associated with the Arrangement*". Additional risks are discussed under the heading "*Risk Factors*" in Canada Bread's Management's Discussion and Analysis dated February 26, 2014 for the fiscal year ended December 31, 2013, and in Canada Bread's Annual Information Form dated March 25, 2013, copies of which are available under the Company's profile on SEDAR at www.sedar.com. Canada Bread expressly disclaims any intention or obligation to update or revise any information contained in this Circular (including forward-looking statements) except as expressly required by applicable laws, and Shareholders should not assume that any lack of update to information contained in this Circular means that there has been no change in that information since the date of this Circular and should not place undue reliance on forward-looking statements. There can be no assurance that the Arrangement will be completed.

GLOSSARY OF TERMS

The following is a glossary of certain terms used in this Circular, including the Summary hereof:

"**Acquisition Proposal**" means, other than the transactions with the Purchaser contemplated by the Arrangement Agreement:

(a) any (i) merger, amalgamation, business combination, plan of arrangement, take-over bid, tender offer, arrangement, consolidation, recapitalization, reorganization, liquidation, dissolution, winding up, distribution or share exchange involving the Company and/or one or more of its wholly-owned subsidiaries the assets or revenues of which, individually or in the aggregate, constitute 20% or more of the consolidated assets or contributing 20% or more of consolidated revenue, as applicable, of the Company and its subsidiaries, taken as a whole, (ii) direct or indirect sale, through one or more transactions, of assets of the Company and/or one or more of its wholly-owned subsidiaries representing 20% or more of the consolidated assets or contributing 20% or more of the consolidated revenue of the Company and its subsidiaries, taken as a whole, (or any lease, long-term supply agreement or other arrangement having the same economic effect), (iii) direct or indirect acquisition, through one or more transactions, of more than 20% of the voting or equity securities of the Company (or rights or interests therein or thereto), or similar transactions involving the Company and/or one or more of its wholly-owned subsidiaries; or

(b) a *bona fide* proposal or offer or public announcement or other public disclosure of a *bona fide* intention to do any of the foregoing, directly or indirectly, excluding, in each case the Arrangement or any transaction to which the Purchaser or any of its affiliates is a party and any transaction involving only the Company and/or one or more of its wholly-owned subsidiaries;

provided that for the purpose of the definition of "**Superior Proposal**", the references in this definition of "Acquisition Proposal" to "more than 20% of the voting or equity securities" shall be deemed to be references to "100% of the voting or equity securities", and the references to "20% or more of the consolidated assets or contributing 20% or more of the consolidated revenue" shall be deemed to be references to "all or substantially all of the assets".

"**affiliate**" has the meaning ascribed thereto in National Instrument 45-106 – *Prospectus and Registration Exemptions*.

"**allowable capital loss**" has the meaning ascribed thereto under the heading "*Tax Considerations – Certain Canadian Federal Income Tax Considerations*".

"**Antitrust Division**" has the meaning ascribed thereto in "*The Arrangement – Regulatory Law Matters – HSR Act*".

"**Application for Review**" has the meaning ascribed thereto in "*The Arrangement – Regulatory Law Matters – Investment Canada Act*".

"**Arrangement**" means the proposed arrangement under section 182 of the OBCA on the terms and subject to the conditions set out in the Plan of Arrangement, subject to any amendments or variations thereto made in accordance with the Arrangement Agreement or the Plan of Arrangement or made at the direction of the Court in the Final Order with the prior written consent of the Company and the Purchaser, each acting reasonably.

"**Arrangement Agreement**" means the Arrangement Agreement dated as of February 11, 2014, between Canada Bread and Grupo Bimbo (which subsequently assigned its rights thereunder to the Purchaser), as the same may be amended, supplemented or otherwise modified from time to time in accordance with its terms.

"**Arrangement Resolution**" means the special resolution approving the Plan of Arrangement to be considered at the Meeting, in the form set out in Appendix "A".

"**Articles of Arrangement**" means the articles of arrangement of the Company in respect of the Arrangement, which shall include the Plan of Arrangement.

"**associate**" has the meaning ascribed thereto in the *Securities Act* (Ontario).

"**Board**" means the board of directors of the Company as constituted from time to time.

"**Business Day**" means any day, other than a Saturday, a Sunday or a day on which commercial banks are closed in Toronto, Ontario, New York City, New York, or Mexico City, Mexico.

"**CDS**" means CDS Clearing and Depository Services Inc.

"**CIBC**" means CIBC World Markets Inc.

"**Circular**" means, collectively, the Notice of Meeting and this Management Information Circular of the Company, including all appendices hereto, sent to Shareholders in connection with the Meeting.

"**Commissioner**" means the Commissioner of Competition appointed under the Competition Act, and includes a person duly authorized to exercise the powers and perform the duties of the Commissioner.

"**Common Shares**" means the common shares in the capital of the Company.

"**Company**" or "**Canada Bread**" means Canada Bread Company, Limited.

"**Competition Act**" means the *Competition Act* (Canada).

"**Competition Act Clearance**" means that, on or before the Effective Date: (a) the applicable waiting period under Part IX of the Competition Act in respect of the transactions contemplated by the Arrangement Agreement shall have expired or been waived or terminated; (b) the Commissioner shall have issued an advance ruling certificate under Section 102 of the Competition Act in respect of the transactions contemplated by the Arrangement Agreement; or (c) the obligation to give notice under Part IX of the Competition Act shall have been waived pursuant to section 113(c) of the Competition Act.

"**Consideration**" means the consideration to be received by the Shareholders pursuant to the Plan of Arrangement consisting of $72.00 in cash per Common Share.

"**Court**" means the Ontario Superior Court of Justice (Commercial List).

"**CRA**" means the Canada Revenue Agency.

"**Demand for Payment**" means a written notice containing the Dissenting Holder's name and address, the number of Dissent Shares held by the Dissenting Holder, and a demand for payment of the fair value of such Dissent Shares.

"**Depositary**" means Computershare Investor Services Inc., which has been appointed by the Company as depositary for the purpose of, among other things, receiving Letters of Transmittal and cheques (or, if required by applicable laws, a wire transfer) in respect of the Consideration payable to Shareholders under the Arrangement.

"**Directors**" means the directors of the Company.

"**Directors' Voting Agreements**" mean the voting support agreements dated February 11, 2014 between Grupo Bimbo and the Directors pursuant to which the Directors have agreed, among other things, to support the Arrangement and to vote any Common Shares owned by them in favour of the Arrangement Resolution in accordance with the terms of such agreements.

"**Dissent Notice**" means a written objection to the Arrangement Resolution by a Registered Shareholder in accordance with the Dissent Procedures.

"**Dissent Procedures**" means the dissent procedures and requirements set forth in section 185 of the OBCA as modified by the Plan of Arrangement and the Interim Order and described in this Circular under the heading "*The Arrangement – Dissent Rights*".

"**Dissent Rights**" means the rights of a Registered Shareholder to dissent in respect of the Arrangement in strict compliance with the Dissent Procedures.

"**Dissent Shares**" means Common Shares held by a Dissenting Holder.

"**Dissenting Holder**" means a Registered Shareholder who has properly and validly dissented in respect of the Arrangement Resolution in strict compliance with the Dissent Rights, who has not withdrawn or been deemed to have withdrawn such dissent and who is ultimately determined to be entitled to be paid the fair value of its Common Shares, but only in respect of the Common Shares in respect of which Dissent Rights are validly exercised by such Registered Shareholder.

"**Effective Date**" means the date upon which the Arrangement becomes effective, as set out in the Plan of Arrangement.

"**Effective Date Stub Dividend**" means a special dividend payable by the Company to all Shareholders pursuant to the Plan of Arrangement in an amount per Common Share equal to $0.75 multiplied by a fraction, the numerator of which is the number of calendar days which will have elapsed in the fiscal quarter in which the Effective Date occurs up to and including the Effective Date, and the denominator of which is the number of calendar days in that fiscal quarter.

"**Effective Time**" means the first moment in time in Toronto, Ontario on the Effective Date, or such other time as may be agreed to in writing by the Company and the Purchaser prior to the Effective Date.

"**Eligible Institution**" means a Canadian Schedule I Chartered Bank, a member of the Securities Transfer Agents Medallion Program (STAMP), a member of the Stock Exchanges Medallion Program (SEMP) or a member of the New York Stock Exchange Inc. Medallion Signature Program (MSP).

"**Encumbrance**" (and any grammatical variation thereof) includes any mortgage, pledge, assignment, charge, lien, claim, hypothec, security interest, adverse claim or encumbrance, other third party interest or encumbrance of any kind whether contingent or absolute, and any agreement, option, right or privilege, in each case, through the operation of Law, contract or otherwise, capable of becoming any of the foregoing.

"**Fairness Opinion**" means the opinion of CIBC dated February 11, 2014 delivered to the Special Committee and the Board in connection with the Arrangement, a copy of which is attached as Appendix "C" to this Circular.

"**Final Order**" means the final order of the Court, in form and substance satisfactory to the Parties, each acting reasonably, approving the Arrangement as such order may be amended by the Court (with the consent of the Parties, each acting reasonably) at any time prior to the Effective Time or, if appealed, then, unless such appeal is withdrawn or denied, as affirmed or as amended (provided that any such amendment is acceptable to the Parties, each acting reasonably) on appeal.

"**FTC**" has the meaning ascribed thereto in "*The Arrangement – Regulatory Law Matters – HSR Act*".

"**Governmental Entity**" means (a) any supranational, international, multinational, national, federal, provincial, state, regional, municipal, local or other government, governmental or public department, ministry, minister, government in council, agency, bureau, central bank, court, tribunal, arbitral body, office, Crown corporation, commission, commissioner, board, bureau or agency, whether domestic or foreign, (b) any subdivision, agent or authority of any of the foregoing, or (c) any quasi-governmental or private body, including any tribunal, commission, stock exchange (including the TSX), regulatory agency or self-regulatory organization, exercising any regulatory, expropriation or taxing authority.

"**Grupo Bimbo**" means Grupo Bimbo, S.A.B. de C.V.

"**Holdco Agreements**" has the meaning ascribed thereto in "*The Arrangement – Holdco Alternative*".

"**Holdco Alternative**" has the meaning ascribed thereto in "*The Arrangement – Holdco Alternative*".

"**Holdco Election Date**" has the meaning ascribed thereto in "*The Arrangement – Holdco Alternative*".

"**Holdco Share Consideration**" means, in respect of each Qualifying Holdco Share: (a) the Consideration multiplied by the number of Common Shares held by such Qualifying Holdco; divided by (b) the aggregate number of Qualifying Holdco Shares of such Qualifying Holdco that are issued and outstanding.

"**HSR Act**" means the *Hart-Scott-Rodino Antitrust Improvements Act of 1976*, as amended, and the rules and regulations promulgated thereunder.

"**HSR Clearance**" means that, on or before the Effective Date, all waiting periods applicable to the consummation of the transactions contemplated by the Agreement under the HSR Act have expired or been terminated.

"**IFRS**" means International Financial Reporting Standards, which are issued by the International Accounting Standards Board, as adopted in Canada.

"**Interim Order**" means the interim order of the Court dated March 5, 2014, providing for, among other things, the calling and holding of the Meeting, as the same may be amended by the Court (with the consent of the Parties, each acting reasonably).

"**Intermediary**" means an intermediary with which a Non-Registered Holder may deal, including banks, trust companies, securities dealers or brokers and trustees or administrators of self-directed trusts governed by registered retirement savings plans, registered retirement income funds, registered education savings plans (collectively, as defined in the Tax Act) and similar plans, and their nominees.

"**Investment Canada Act**" means the *Investment Canada Act* (Canada).

"**Investment Canada Act Approval**" means that, on or before the Effective Date, the Purchaser has been advised in writing that the Minister is satisfied, or the Minister is deemed to be satisfied, that the transaction (or series of transactions) contemplated by the Arrangement Agreement (that amount to an acquisition of control within the meaning of the Investment Canada Act) are likely to be of net benefit to Canada.

"**Law**" or "**Laws**" means all federal, provincial, state, municipal, regional and local laws (including common law), by-laws, statutes, rules, regulations, principles of law and equity, Orders, rulings, certificates, ordinances, judgments, injunctions, determinations, awards, decrees, legally binding codes or policies, whether domestic or foreign, and the terms and conditions of any grant of approval, permission, authority or license of any Governmental Entity that, in each case have the force of law, and the term "applicable" with respect to such Laws and in a context that refers to one or more Parties, means such Laws as are binding upon or applicable to such Party or its assets.

"**Letter of Transmittal**" means the letter of transmittal (printed on yellow paper) delivered by the Company to Shareholders together with this Circular, providing for the delivery of the Common Shares held by Shareholders to the Depositary.

"**Maple Leaf**" means Maple Leaf Foods Inc.

"**Maple Leaf Voting Agreement**" means the voting support agreement dated February 11, 2014 between Grupo Bimbo and Maple Leaf pursuant to which Maple Leaf has agreed, among other things, to support the Arrangement and to vote the Common Shares owned by it in favour of the Arrangement Resolution in accordance with the terms of such agreement.

"**Material Adverse Effect**" means any change, effect, event or development that, individually or in the aggregate with such other changes, effects, events or developments, has or would reasonably be expected to have, a material and adverse effect on the operations, results of operations, properties, assets, liabilities, obligations, business, or financial condition of the Company and its subsidiaries, taken as a whole, except any change, effect, event or development resulting from or arising in connection with: (a) general political, economic, financial, currency exchange, securities, capital, credit or commodity market conditions in Canada, the United States or the United Kingdom; (b) any act of terrorism, war (whether or not declared), armed hostilities, riots, insurrection, civil disorder, military conflicts, political instability or other armed conflict, national calamity, national crisis or national emergency, or any governmental response to any of the foregoing, in each case, whether occurring within or outside of Canada, the United States or the United Kingdom; (c) any climatic or other natural events or conditions (including drought, and other weather conditions and any natural disaster); (d) the execution, announcement or performance of the Arrangement Agreement or the identity of the Purchaser or its affiliates or the consummation of the transactions contemplated hereby, including any actions of competitors, or any loss or threatened loss of, or adverse change or threatened adverse change in the relationship of the Company with any Governmental Entity or any of its customers, employees, executives, shareholders, financing sources, distributors or suppliers arising as a consequence of the same; (e) any change or proposed change in Law or IFRS or accounting rules or the interpretation thereof applicable to the industries or markets in which the Company or any of its subsidiaries operate (and any changes resulting therefrom); (f) any action taken by the Company in accordance with the Arrangement Agreement or with the prior written consent of the Purchaser; (g) prices for commodities, goods, services, or the availability or costs of hedges or other derivatives, including fluctuations in market rates; (h) any change, effect, event or development generally affecting the industries or markets in which the Company or any of its subsidiaries operate; (i) any change in the trading price or any change in the trading volume of the Common Shares (it being understood that the causes underlying such change in trading price or trading volume (other than those in clauses (a) to (h) above or (j) and (k) below) may be taken into account in determining whether a Material Adverse Effect has occurred) or any suspension of trading in securities generally on the TSX; (j) the failure of the Company to meet or achieve the results set forth in any internal or public projection, forecast, revenue or earning prediction (it being understood that the causes underlying such failure to meet or achieve such results (other than those in clauses (a) to (i) above and (k) below) may be taken into account in determining whether a Material Adverse Effect has occurred); and (k) any action taken in connection with obtaining the Regulatory Approvals; provided, however, that with respect to clauses (a), (b), (c), (e), (g) and (h), such matters do not have a materially disproportionate effect on the Company and its subsidiaries as a whole, relative to companies of similar size operating in the industries or markets in which the Company or any of its subsidiaries operate, and provided further, however, that references in certain sections of the Arrangement Agreement to dollar amounts are not intended to be, and shall be deemed not to be, illustrative or interpretative for the purpose of determining whether a "Material Adverse Effect" has occurred.

"**Meeting**" means the special meeting of Shareholders, including any adjournment or postponement of such special meeting in accordance with the terms of the Arrangement Agreement, to be called and held in accordance with the Interim Order to consider the Arrangement Resolution.

"**Minister**" means the Minister of Industry responsible for the *Investment Canada Act*.

"**net benefit ruling**" has the meaning ascribed thereto in "*The Arrangement – Regulatory Law Matters – Investment Canada Act*".

"**Non-Competition Agreement**" means the non-competition agreement to be entered into by Maple Leaf and the Purchaser and/or Grupo Bimbo immediately prior to the Effective Time.

"**Non-Registered Holder**" means a Shareholder who is not a Registered Shareholder.

"**Non-Resident Shareholder**" has the meaning ascribed thereto under the heading "*Tax Considerations – Certain Canadian Federal Income Tax Considerations*".

"**Notice of Meeting**" means the notice to the Shareholder of the Meeting that accompanies this Circular.

"**OBCA**" means the *Business Corporations Act* (Ontario).

"**OBCA Director**" means the director appointed pursuant to section 278 of the OBCA.

"**Offer to Pay**" has the meaning ascribed thereto under the heading "*The Arrangement – Dissent Rights*".

"**officer**" has the meaning ascribed thereto in the *Securities Act* (Ontario).

"**Order**" means any writ, judgment, injunction, decree, determination, award or similar order of any Governmental Entity (whether preliminary or final).

"**Other Unpaid Dividends**" has the meaning ascribed thereto in "*The Arrangement – Principal Steps of the Arrangement*".

"**Outside Date**" means August 11, 2014, provided however that if at that time the Regulatory Approvals have not been obtained, then the Outside Date may be postponed on not more than two occasions by an additional 30 days by either Party giving written notice to the other Party to such effect no later than 5:00 p.m. (Toronto time) on the then current Outside Date, or such later date as may be agreed to in writing by the Parties.

"**Parties**" means the Company, Grupo Bimbo and the Purchaser, and "**Party**" means any one of them.

"**Permit**" means any license, permit, certificate, consent, order, grant, approval, classification, registration, or other authorization of and from any Governmental Entity.

"**Person**" means any natural person, partnership, limited partnership, limited liability partnership, joint venture, syndicate, sole proprietorship, company or corporation (with or without share capital), limited liability corporation, unlimited liability company, joint stock company, unincorporated association, trust, trustee, executor, administrator or other legal personal representative, Governmental Entity or other entity however designated or constituted and pronouns have a similarly extended meaning.

"**Plan of Arrangement**" means the plan of arrangement under the OBCA setting out the terms and conditions of the Arrangement, in the form set out in Appendix "B", subject to any amendments or variations to such plan made in accordance with section 8.3 of the Arrangement Agreement or Section 5.2 of the Plan of Arrangement or made at the direction of the Court in the Final Order with the prior written consent of the Company and the Purchaser, each acting reasonably.

"**Proposed Amendments**" has the meaning ascribed thereto under the heading "*Tax Considerations – Certain Canadian Federal Income Tax Considerations*".

"**Purchaser**" means Bimabel Canada Inc., a wholly-owned subsidiary of Grupo Bimbo.

"**Qualifying Holdco**" has the meaning ascribed thereto in "*The Arrangement – Holdco Alternative*".

"**Qualifying Holdco Dividend**" means the dividend which a Qualifying Holdco is permitted to pay to its Qualifying Holdco Shareholder of record immediately prior to the Effective Time in the aggregate amount of the Effective Date Stub Dividend and the Other Unpaid Dividends payable to such Qualifying Holdco pursuant to the Plan of Arrangement.

"**Qualifying Holdco Dividend Note**" has the meaning ascribed thereto in "*The Arrangement – Principal Steps of the Arrangement*".

"**Qualifying Holdco Shareholders**" has the meaning ascribed thereto in "*The Arrangement – Holdco Alternative*".

"**Qualifying Holdco Shares**" has the meaning ascribed thereto in "*The Arrangement – Holdco Alternative*".

"**Record Date**" means the close of business on March 3, 2014.

"**Registered Shareholder**" means a registered holder of Common Shares.

"**Regulatory Approvals**" means those approvals, certificates, no-action letters, notices, rulings, consents, orders, clearances, exemptions and permits (including the lapse, without objection, of a prescribed time under a statute or regulation that states that a transaction may be implemented if a prescribed time lapses following the giving of notice without an objection being made) of Governmental Entities and includes Competition Act Clearance, Investment Canada Act Approval and HSR Clearance.

"**Representatives**" means the officers, directors, employees, financial advisors, legal counsel, accountants and other agents and representatives of a Party.

"**Resident Shareholder**" has the meaning ascribed thereto under the heading "*Tax Considerations – Certain Canadian Federal Income Tax Considerations*".

"**Retained Officers**" has the meaning ascribed thereto under the heading "*Interests of Informed Persons in Material Transactions – Interests of Certain Persons in the Arrangement – Senior Officers*"

"**Reviewable Transaction**" has the meaning ascribed thereto in "*The Arrangement – Regulatory Law Matters – Investment Canada Act*".

"**Securities Act**" means the *Securities Act* (Ontario) and the rules, regulations, instruments and published policies made thereunder, as now in effect and as they may be promulgated or amended from time to time.

"**Securities Authorities**" means the Ontario Securities Commission and the applicable securities commissions and other securities regulatory authorities in each of the other provinces of Canada.

"**Securities Laws**" means the Securities Act and all other applicable Canadian and provincial securities Laws and the rules, regulations, instruments and published policies under the foregoing securities Laws and applicable stock exchange rules and listing standards of the TSX.

"**SEDAR**" means the System for Electronic Document Analysis and Retrieval as outlined in National Instrument 13-101 – *System for Electronic Document Analysis and Retrieval*, which can be accessed online at www.sedar.com.

"**Shareholders**" means the registered or beneficial holders of the Common Shares, as the context requires.

"**Special Committee**" means the special committee of the Board consisting of William E. Aziz, Sarah A. Everett and John F. Petch (as chair).

"**subsidiary**" or "**subsidiaries**" means, with respect to any person, any entity, whether incorporated or unincorporated (a) of which such person or any other subsidiary of such person is a general partner (excluding partnerships, the general partnership interests of which held by such person or any subsidiary of such person do not have a majority of the voting interests in such partnership), or (b) at least a majority of the securities or other interests of which having by their terms ordinary voting power to elect a majority of the board of directors or other persons performing similar functions with respect to such corporation or other organization is directly or indirectly owned or controlled by such person or by any one or more of its subsidiaries, or by such person and one or more of its subsidiaries.

"**Superior Proposal**" means any *bona fide* written Acquisition Proposal made after the date of the Arrangement Agreement: (a) that is, in the opinion of the Board, acting in good faith after receiving the advice of its outside legal counsel and financial advisors, reasonably likely to be consummated at the time and on the terms proposed, taking into account all financial, legal, regulatory and other aspects of such Acquisition Proposal and the person making such Acquisition Proposal; (b) in respect of which the funds or other consideration necessary to complete the Acquisition Proposal are or, in the opinion of the Board are reasonably likely to be available to fund completion of the Acquisition Proposal at the time and on the basis set out therein; (c) that is not subject to any financing condition; (d) that is not subject to any due diligence or access condition; and (e) that in respect of which the Board determines, in its good faith judgment, after receiving the advice of its outside legal counsel and financial advisors, that having regard to all of its terms and conditions, such Acquisition Proposal would, if consummated in accordance with terms (but not assuming away any risk of non-completion), result in a transaction more favourable to Shareholders from a financial point of view than the Arrangement (after taking into account any change to the Arrangement proposed by the Purchaser in accordance with the Arrangement Agreement).

"**Tax Act**" means the *Income Tax Act* (Canada), including all regulations made thereunder, as amended from time to time.

"**taxable capital gain**" has the meaning ascribed thereto under the heading "*Tax Considerations – Certain Canadian Federal Income Tax Considerations*".

"**Termination Payment**" means $50,000,000 as may be adjusted for withholding taxes, if applicable, pursuant to the Arrangement Agreement.

"**Transition Services**" has the meaning ascribed thereto under the heading "*Other Agreements – Transitional Services Agreement – Transitional Services*".

"**Transitional Services Agreement**" means the business separation and transitional services agreement intended to be entered into by the Company and Maple Leaf and consented to by the Purchaser immediately prior to the Effective Time, on substantially the same terms outlined in the TSA Term Sheet, with such changes, modifications or amendments as may be agreed to by the Company, Maple Leaf and the Purchaser, each having acted in good faith and with commercially reasonable efforts.

"**TSA Term Sheet**" means the business separation and transitional services agreement term sheet dated February 11, 2014, which provides a summary of the terms on which Maple Leaf will provide Transition Services to Canada Bread and the parties will separate the businesses of Maple Leaf and Canada Bread.

"**TSX**" means the Toronto Stock Exchange.

"**Voting Agreements**" means, collectively, the Directors' Voting Agreements and the Maple Leaf Voting Agreement.

SUMMARY

The following is a summary of certain information contained elsewhere in this Circular, including the Appendices hereto, and is provided for convenience only and is qualified in its entirety by reference to the more detailed information contained or referred to elsewhere in this Circular or in the Appendices hereto. All capitalized terms used in this summary have the meanings set forth under "Glossary of Terms".

The Meeting

The Meeting will be held at the Toronto Board of Trade, East Ballroom, 77 Adelaide Street West, Toronto, Ontario, on Thursday April 3, 2014 commencing at 1:00 p.m. (Toronto time).

Record Date

Only Shareholders of record at the close of business on March 3, 2014 will be entitled to receive notice of and to vote at the Meeting, or any adjournment or postponement thereof.

Purpose of the Meeting

The purpose of the Meeting is for Shareholders to consider and, if deemed advisable, pass the Arrangement Resolution. To be effective, the Arrangement Resolution must be approved by at least two-thirds of the votes cast by Shareholders present in person or represented by proxy at the Meeting.

Summary of the Arrangement

Under the Plan of Arrangement, commencing at the Effective Time, the following principal steps shall occur and shall be deemed to occur in the following order without any further act or formality:

(a) Dividend. The Board shall be deemed to have declared and the Company shall pay the Effective Date Stub Dividend;

(b) Qualifying Holdco Dividend. Each Qualifying Holdco Shareholder shall become entitled to the applicable Qualifying Holdco Dividend, and the applicable Qualifying Holdco shall pay such dividend to the Qualifying Holdco Shareholder by issuing a Qualifying Holdco Dividend Note;

(c) Dissent Shares. Each Common Share held by Dissenting Holders shall be, and be deemed to have been, transferred, without any further act or formality, by the Dissenting Holder to the Purchaser (free and clear of all Encumbrances) in consideration for the right to be paid the fair value of their Common Shares by the Purchaser in accordance with the Plan of Arrangement;

(d) Qualifying Holdco Shares. Each Qualifying Holdco Share outstanding immediately prior to the Effective Time shall be, and be deemed to have been, transferred, without any further act or formality, by the holder thereof to the Purchaser (free and clear of all Encumbrances) in exchange for the applicable Holdco Share Consideration for each Qualifying Holdco Share; and

(e) Common Shares. Each Common Share outstanding immediately prior to the Effective Time, other than a Common Share held by the Purchaser or any of its affiliates, a Qualifying Holdco or a Dissenting Holder, shall be, and be deemed to have been, transferred, without any further act or formality, by the holder thereof to the Purchaser (free and clear of all Encumbrances) in exchange for the payment of the Consideration.

See "*The Arrangement – Principal Steps of the Arrangement*".

Canada Bread

Canada Bread is a leading manufacturer and marketer of value-added flour based products, including fresh bread, rolls, bagels and frozen partially baked or par-baked breads and bagels, with operations in Canada, the United States and the United Kingdom. The Company markets products under a number of leading brand names, including Dempster's®, Olafson's, POM® and Ben's®. The Company is over 90% owned by Maple Leaf and its Common Shares are listed on the TSX under the ticker symbol CBY.

Grupo Bimbo & the Purchaser

Grupo Bimbo is one of the largest baking companies in the world in terms of production and sales volume. As the market leader in the Americas, Grupo Bimbo has 144 plants and more than 1,600 distribution centers strategically located in 19 countries throughout the Americas, Europe and Asia. Its main product lines include sliced bread, buns, cookies, snack cakes, English muffins, bagels, pre-packaged foods, tortillas, salted snacks and confectionery products, among others. Grupo Bimbo produces over 10,000 products and has one of the most extensive direct distribution networks in the world, with more than 52,000 routes and more than 126,000 employees. Grupo Bimbo's shares have traded on the Mexican Stock Exchange since 1980 under the ticker symbol BIMBO.

The Purchaser is a corporation incorporated under the laws of the Province of Ontario. It is a wholly-owned subsidiary of Grupo Bimbo, incorporated solely for the purpose of facilitating the Arrangement. It has not conducted any activities to date other than activities incidental to its formation, organization and in connection with the transactions contemplated by the Arrangement Agreement.

Recommendation of the Special Committee

Having undertaken a thorough review of, and carefully considered, the Arrangement, including consulting with its financial and legal advisors, the Special Committee unanimously concluded that the Arrangement was in the best interests of the Company and, that the Consideration to be received by Shareholders was fair, and recommended that the Board approve the Arrangement and recommend that Shareholders vote in favour of the Arrangement.

Recommendation of the Board

After careful consideration by the Board, the Board unanimously concluded that the Arrangement was in the best interests of the Company and that the Consideration to be received by Shareholders was fair, and the Board recommended that Shareholders vote in favour of the Arrangement. Each Director intends to vote his or her Common Shares FOR the Arrangement Resolution.

Reasons for the Arrangement

In determining that the Arrangement is in the best interests of the Company, and recommending to Shareholders that they approve the Arrangement, the Special Committee and the Board considered and relied upon a number of factors, including, among others, the following:

- The fact that Maple Leaf had decided to proceed with a sale of its over 90% interest in the Company. As a holder of over 90% of the Common Shares, Maple Leaf has the ability to substantially control the direction of the Company, and could proceed with a squeeze-out transaction without minority shareholder approval. In addition, it could sell its interest and deliver control of the Company without involvement of the Board or, subject to any take-over bid laws, any opportunity for the minority Shareholders to participate in such transaction.

- The sale of the Company has been extensively marketed, and the Arrangement Agreement represents the results of a well-publicized auction process.
- The fact that the Consideration payable to Shareholders under the Arrangement represents, after adjusting for the $8.00 per share special dividend paid by the Company to Shareholders on January 6, 2014, a 31% premium to Canada Bread's closing price on the TSX of $61.25 on October 18, 2013, the day prior to Maple Leaf's announcement that it was exploring strategic alternatives for its bakery business and Canada Bread's announcement that it had established the Special Committee in connection therewith, and a 34% premium to the 20-day volume-weighted average share price of $59.58 ending on October 18, 2013.
- The opinion of CIBC to the effect that, as of February 11, 2014, and based upon and subject to the assumptions, limitations and qualifications set forth therein, the Consideration to be received by Shareholders (other than Maple Leaf) pursuant to the Arrangement Agreement is fair, from a financial point of view, to those Shareholders.
- The Consideration payable to Shareholders pursuant to the Arrangement, and the Effective Date Stub Dividend, are required to be paid entirely in cash, which provides certainty of value and immediate liquidity.
- The presence of a controlling shareholder may have the effect of preventing or delaying a take-over bid for the Company.
- The proposed transitional services arrangements between Maple Leaf and the Company are for a limited time period and priced at actual cost, such that no additional benefit is conferred on Maple Leaf as a result of such arrangements.
- The Arrangement Resolution must be approved by at least two-thirds of the votes cast by Shareholders present in person or represented by proxy at the Meeting.
- The Arrangement will be subject to a judicial determination of the Court that the Arrangement is fair and reasonable to Shareholders.
- Registered Shareholders who do not vote in favour of the Arrangement will have the right to dissent and require a judicial appraisal of their Common Shares and obtain "fair value" pursuant to the proper exercise of the Dissent Rights.
- Grupo Bimbo's obligation to complete the Arrangement is subject to a limited number of conditions, which the Special Committee and the Board believe are reasonable under the circumstances.
- The Arrangement is not subject to a financing condition.
- The Arrangement Agreement allows the Board to engage in discussions or negotiations with respect to a *bona fide* written Acquisition Proposal not solicited after the date of the Arrangement Agreement at any time prior to the approval of the Arrangement Resolution, if the Board determines in good faith, after consultation with its financial advisor and outside legal counsel, that such Acquisition Proposal could reasonably be expected to lead to a Superior Proposal.
- Maple Leaf, the holder of over 90% of the Common Shares, had agreed to enter into the Maple Leaf Voting Agreement.
- Information concerning the business, operations, assets, financial condition, operating results and prospects for the Company as well as current industry, economic and market conditions and related risks.

The Special Committee and the Board also considered a number of risks and potential negative factors relating to the Arrangement, including:

- If the Arrangement is successfully completed, the Company will no longer exist as an independent public company, and as a result the consummation of the Arrangement will eliminate the opportunity for Shareholders to participate in the longer term potential benefits of the business of the Company to the extent that those benefits exceed those potential benefits reflected in the Consideration to be received under the Arrangement.
- The conditions to Grupo Bimbo's obligation to complete the Arrangement and the rights of Grupo Bimbo to terminate the Arrangement Agreement in certain circumstances.
- The Arrangement will be a taxable transaction for Canadian federal income tax purposes (and may also be a taxable transaction under other applicable tax laws) and, as a result, Shareholders will generally be required to pay taxes on any gains that result from the receipt of the Consideration.
- The obligations of Maple Leaf under the Maple Leaf Voting Agreement may significantly reduce the likelihood that any third party would express interest in the Company after the Arrangement Agreement and Maple Leaf Voting Agreement were entered into.
- The limitations contained in the Arrangement Agreement on the Company's ability to solicit additional interest from third parties, as well as the facts that, if the Arrangement Agreement is terminated in certain circumstances, the Company will be required to pay the Termination Payment to Grupo Bimbo and that, under certain circumstances, the Company must reimburse Grupo Bimbo for certain expenses.

Fairness Opinion

The Special Committee retained CIBC as its financial advisor to provide advice and assistance in evaluating the Arrangement, including opining on the fairness of the consideration to be received pursuant to the Arrangement Agreement, from a financial point of view, to the Shareholders (other than Maple Leaf). CIBC has delivered an opinion to the Special Committee and the Board to the effect that, as of February 11, 2014 and based upon the assumptions, qualifications and limitations set forth therein, the Consideration to be received pursuant to the Arrangement Agreement is fair, from a financial point of view, to Shareholders (other than Maple Leaf).

The full text of the Fairness Opinion, which sets forth, among other things, the assumptions made, information reviewed, matters considered and limitations on the scope of the review undertaken by CIBC in rendering its opinion, is attached as Appendix "C" to this Circular. Shareholders are urged to read the Fairness Opinion in its entirety. The summary of the Fairness Opinion described in this Circular is qualified by reference to the full text of the Fairness Opinion. The Fairness Opinion has been provided for the use of the Special Committee and the Board and may not be relied upon by any other Person. Such opinion does not constitute a recommendation to any Shareholder as to how such Shareholder should vote on the Arrangement Resolution.

See "*The Arrangement – Fairness Opinion*".

Voting Agreements

On February 11, 2014, Grupo Bimbo entered into the Maple Leaf Voting Agreement with Maple Leaf and the Directors' Voting Agreements with the Directors. The Voting Agreements set forth, among other things, the agreement of the Directors and Maple Leaf to vote their Common Shares in favour of the Arrangement and any matter necessary for the consummation of the Arrangement and against any Acquisition Proposal and/or any other matter that could reasonably be expected to delay, prevent or frustrate the completion of the Arrangement. As of the date hereof, the 22,875,215 Common Shares owned by Maple Leaf, representing approximately 90.0003% of the issued and outstanding Common Shares, are subject to the Maple Leaf Voting Agreement,

while the 13,030 Common Shares owned by the Directors, representing approximately 0.05% of the issued and outstanding Common Shares, are subject to the Directors' Voting Agreements.

See "*Other Agreements – Voting Agreements"*.

Completion of the Arrangement

Subject to the provisions of the Arrangement Agreement, the Arrangement will become effective at the first moment in time on the date that the Articles of Arrangement are filed with the OBCA Director, which is expected to be the third Business Day following the date upon which all of the conditions to completion of the Arrangement as set out in Article VI of the Arrangement Agreement have been satisfied or waived in accordance with the Arrangement Agreement. Completion of the Arrangement is anticipated to occur in the second quarter of 2014; however, it is possible that completion may be delayed beyond this date if the conditions to completion of the Arrangement cannot be met on a timely basis, but in no event shall completion of the Arrangement occur later than August 11, 2014, unless extended in accordance with the terms of the Arrangement Agreement.

Following completion of the Arrangement, the Common Shares are expected to be delisted from the TSX and Canada Bread expects to make an application to cease to be a reporting issuer under Securities Laws and, if the application is granted, will not be required to file continuous disclosure documents with Securities Authorities.

Fees and Expenses

All expenses incurred in connection with the Arrangement Agreement and the transactions contemplated thereby shall be paid by the Party incurring such expense, with the exception of certain fees with respect to the Regulatory Approvals to be paid by the Purchaser. In certain circumstances, one Party will be required to pay the other an amount equal to $5,000,000 as out-of-pocket expenses incurred in connection with the Arrangement. See "*The Arrangement Agreement – Termination – Termination Payment and Expense Reimbursement*". In addition, in certain circumstances where the Arrangement does not proceed, Maple Leaf has agreed to reimburse Canada Bread for all of its reasonable costs and expenses incurred in respect of the Arrangement.

Conditions to the Arrangement Becoming Effective

The obligations of Canada Bread and the Purchaser to complete the Arrangement are subject to the satisfaction or waiver of certain conditions set out in the Arrangement Agreement. These conditions include, among others:

- the Arrangement Resolution shall have been approved and adopted by the Shareholders at the Meeting in accordance with the Interim Order and applicable Laws;
- the Interim Order and the Final Order shall each have been obtained on terms consistent with the Arrangement Agreement, and shall not have been set aside or modified in a manner unacceptable to either the Company or the Purchaser, each acting reasonably, on appeal or otherwise;
- each of the Regulatory Approvals shall have been obtained;
- no Governmental Entity shall have enacted, issued, promulgated, applied for, made any order or enforced or entered any Law that restrains, enjoins or otherwise prohibits consummation of, or dissolves the Arrangement or the other transactions contemplated by the Arrangement Agreement;
- there shall not have been or occurred a Material Adverse Effect;
- the Purchaser and Maple Leaf shall have executed the Non-Competition Agreement; and

- the Purchaser shall have deposited with the Depositary in escrow the funds required to effect payment in full of the Consideration to be paid for all of the Common Shares and the Qualifying Holdco Shares.

See *"The Arrangement Agreement – Conditions Precedent to the Arrangement"* and *"The Arrangement – Regulatory Law Matters*".

Deposit of Share Certificates

If the Arrangement Resolution is passed and the Arrangement is implemented, in order to receive the payment for their Common Shares, Registered Shareholders must complete and sign the Letter of Transmittal (printed on yellow paper) and deliver it, together with certificate(s) representing their Common Shares and the other relevant documents required by the instructions set out therein, to the Depositary in accordance with the instructions contained in the Letter of Transmittal.

The Letter of Transmittal contains procedural information relating to the Arrangement and should be reviewed carefully. The deposit of Common Shares pursuant to the procedures in the Letter of Transmittal will constitute a binding agreement between the depositing Shareholder and the Purchaser upon the terms and subject to the conditions of the Arrangement. Only Registered Shareholders should submit a Letter of Transmittal. Beneficial Shareholders holding Common Shares through an Intermediary should carefully follow the instructions provided by such Intermediary or contact the Intermediary for assistance. A separate form of letter of transmittal will be made available for Qualifying Holdco Shareholders who have elected the Holdco Alternative. Shareholders who wish to avail themselves of the Holdco Alternative should contact the Depositary.

Registered Shareholders who deposit a validly completed and duly signed Letter of Transmittal, together with accompanying certificate(s) representing their Common Shares, will be forwarded the Consideration and the Effective Date Stub Dividend to which they are entitled under the Arrangement, with such surrendered certificate(s) being cancelled. As soon as a former Registered Shareholder who has complied with the procedures set out above and in the Letter of Transmittal is entitled to a payment of Consideration and the Effective Date Stub Dividend in accordance with the Arrangement and after receipt of all required documents, a cheque (or, if required by applicable laws, a wire transfer) representing the Consideration and the Effective Date Stub Dividend payable under the Arrangement to the former Registered Shareholder will be issued to the former Registered Shareholder.

Registered Shareholders who do not forward to the Depositary a duly completed Letter of Transmittal, together with the certificate(s) representing their Common Shares and the other relevant documents, will not receive the Consideration to which they are otherwise entitled. Whether or not Shareholders forward their certificate(s) upon the completion of the Plan of Arrangement on the Effective Date, Shareholders will cease to be holders of Common Shares as of the Effective Date and will only be entitled to receive the Consideration to which they are entitled under the Arrangement or, in the case of Registered Shareholders who properly exercise Dissent Rights, the right to receive fair value for their Common Shares in accordance with section 185 of the OBCA, as modified by the Plan of Arrangement and the Interim Order. See "*The Arrangement – Dissent Rights*" and "*The Arrangement – Procedure for the Surrender of Common Shares and Payment of Consideration"*.

Holdco Alternative

A Qualifying Holdco Shareholder that satisfies certain conditions is entitled to sell to the Purchaser all of the issued shares of a Qualifying Holdco that holds Common Shares. Choosing the Holdco Alternative may require you to implement a corporate structure through which to hold your Common Shares. Participating in the Holdco Alternative may give rise to certain Canadian federal income tax consequences for you that are not described in this Circular. If you wish to avail yourself of the Holdco Alternative, you should consult your own financial, tax and legal advisors before contacting the Depositary to inform them of your election. See "*The Arrangement – Holdco Alternative*".

Dissent Rights

Registered Shareholders are entitled to dissent from the Arrangement Resolution in the manner provided in section 185 of the OBCA, as modified by the Interim Order and the Plan of Arrangement. Any Dissenting Holder will be entitled, in the event that the Arrangement becomes effective, to be paid the fair value of the Dissent Shares held by such Dissenting Holder, determined as at the close of business on the day immediately preceding the Meeting, and will not be entitled to any other payment (including the Effective Date Stub Dividend) or consideration in respect of its Common Shares. There can be no assurance that a Dissenting Holder will receive consideration for its Dissent Shares of equal value to the Consideration that such Dissenting Holder would have received upon completion of the Arrangement.

A Registered Shareholder who wishes to dissent must ensure that a written Dissent Notice is received by the Company, Attention: Corporate Secretary, at its registered office located at 10 Four Seasons Place, Suite 1200, Etobicoke, Ontario, Canada M9B 6H7, no later than 5:00 p.m. (Toronto time) on April 1, 2014 (or 5:00 p.m. (Toronto time) on the day that is two Business Days immediately preceding any adjourned or postponed Meeting). A vote against the Arrangement Resolution will not constitute a Dissent Notice. A Registered Shareholder's failure to follow exactly the procedures set forth in the Plan of Arrangement and the Interim Order will result in the loss of such Registered Shareholder's Dissent Rights. If you are a Registered Shareholder and wish to dissent, you should obtain your own legal advice and carefully read the Plan of Arrangement, the provisions of section 185 of the OBCA and the Interim Order which are attached to this Circular at Appendix "B", Appendix "E" and Appendix "D", respectively.

See "*The Arrangement – Dissent Rights"*.

Interests of Certain Persons in the Arrangement

In considering the recommendation of the Board with respect to the Arrangement, Shareholders should be aware that certain Directors and senior officers of Canada Bread, including those Directors and senior officers that are also directors and/or officers of Maple Leaf, may have certain interests in connection with the Arrangement that may present them with actual or potential conflicts of interest in connection with the Arrangement.

Additionally, at closing, Maple Leaf and the Company intend to enter into the Transitional Services Agreement, under which Maple Leaf is expected to provide Transition Services to Canada Bread. The Transition Services are expected to be provided by Maple Leaf at cost, and as a result, Maple Leaf will not receive a benefit versus other Shareholders.

See "*Other Agreements – Transitional Services Agreement"* and "*Interests of Informed Persons in Material Transactions – Interests of Certain Persons in the Arrangement*".

Certain Canadian Federal Income Tax Considerations

Residents of Canada – Generally, a Shareholder who is resident in Canada and who holds Common Shares as "capital property" for the purposes of the Tax Act and who disposes of such Common Shares under the Arrangement will realize a capital gain (or a capital loss) equal to the amount by which the Consideration received by such Shareholder in consideration for the disposition of such Common Shares, net of any reasonable costs of disposition, exceeds (or is less than) the adjusted cost base to the Shareholder of his or her Common Shares.

Non-Residents of Canada – Generally, a Shareholder who is not resident in Canada will not be subject to income tax under the Tax Act on any capital gain realized on the disposition of Common Shares under the Arrangement, unless (a) the Common Shares disposed of are "taxable Canadian property" of the Shareholder at the time of the disposition, and (b) the Shareholder is not exempt from taxation in Canada on the disposition of such shares under the terms of an applicable income tax convention or treaty.

Shareholders considering participating in the Holdco Alternative should consult their own tax advisors as to the Canadian federal income tax considerations of such participation.

A summary of the principal Canadian federal income tax considerations of the Arrangement is included under "*Tax Considerations – Certain Canadian Federal Income Tax Considerations*" and the foregoing is qualified in full by the information in that section. All Shareholders, and specifically Qualifying Holdco Shareholders, are encouraged to seek their own tax advice.

Risks Associated with the Arrangement

In evaluating the Arrangement, Shareholders should consider the risk factors relating to the Arrangement (which are not an exhaustive list of potentially relevant risk factors relating to the Arrangement). Some of these risks include, but are not limited to: (a) there can be no certainty that all conditions precedent to the Arrangement will be satisfied in a timely manner or at all; (b) there are interim operating covenants that Canada Bread must comply with prior to the Effective Date; (c) Canada Bread will incur costs and may have to pay the Termination Payment in certain circumstances; and (d) the Termination Payment and the Maple Leaf Voting Agreement may discourage potential acquirors.

Additional risks and uncertainties, including those that currently are not known to, or are considered immaterial by, the Company, also may be relevant to completion of the Arrangement and/or the future of Canada Bread and the value of the Common Shares. If any of the risk factors materialize, the expectations, and the predictions based on them, may need to be re-evaluated.

See *"Risks Associated with the Arrangement"*.

GENERAL PROXY INFORMATION

Solicitation of Proxies

This Circular is furnished in connection with the solicitation of proxies by management of the Company for use at the Meeting, scheduled to be held on Thursday April 3, 2014, at the time and place and for the purposes set forth in the Notice of Meeting. While it is expected that the solicitation will be primarily by mail, proxies may be solicited personally or by telephone or e-mail by the Directors, officers and employees of the Company at nominal cost. All costs of solicitation by management will be borne by the Company. Proxy solicitation by a third party on behalf of the Company, if any, shall be at the Purchaser's request and expense.

How the Arrangement Resolution is Passed

At the Meeting, Shareholders will be asked to consider and vote upon the Arrangement Resolution. To be effective, the Arrangement Resolution must be approved by at least two-thirds of the votes cast by Shareholders present in person or represented by proxy at the Meeting.

A quorum will be present at the Meeting if the holders of at least one-third of the Common Shares entitled to vote at the Meeting are present or represented by proxy.

Who can Vote?

If you were a Registered Shareholder as of the close of business on March 3, 2014, you are entitled to attend the Meeting and cast one vote for each Common Share registered in your name on all resolutions put before the Meeting. If Common Shares are registered in the name of a corporation, a duly authorized officer of the corporation may attend on its behalf, but appropriate documentation confirming that officer's authority will be required to be presented at the Meeting. If you are a Registered Shareholder but do not wish to, or cannot, attend the Meeting in person, you can appoint someone who will attend the Meeting and act as your proxyholder to vote in accordance with your instructions. If your Common Shares are registered in the name of an Intermediary, you should refer to the section entitled "*Non-Registered Holders*" below.

It is important that your Common Shares be represented at the Meeting regardless of the number of Common Shares you hold. If you will not be attending the Meeting in person, you should complete, date, sign and return your form of proxy as soon as possible so that your Common Shares will be represented.

If you are a Registered Shareholder and do not attend the Meeting, you can still make your vote(s) count by appointing someone who will be there to act as your proxyholder at the Meeting.

What is a Proxy?

A form of proxy is a document that authorizes someone to attend the Meeting and cast your votes for you. If you are a Registered Shareholder, we have enclosed a form of proxy with this Circular. You should use it to appoint a proxyholder, although you can also use any other legal form of proxy.

Appointing a Proxyholder

The persons named in the enclosed form of proxy are Directors of Canada Bread. **A Registered Shareholder who wishes to appoint some other person as its representative at the Meeting may do so by crossing out the name on the form of proxy and inserting the name of the person proposed in the blank space provided in the enclosed form of proxy. That other person need not be a Shareholder.** To vote your Common Shares, your proxyholder must attend the Meeting. If you use the enclosed form of proxy and do not fill a name in the blank space, the persons named in the form of proxy will be appointed to act as your proxyholder.

Instructing your Proxy and Exercise of Discretion by your Proxy

You may indicate on your form of proxy how you wish your proxyholder to vote your Common Shares at the Meeting. To do this, simply mark the appropriate boxes on the form of proxy. If you do this, your proxyholder must vote your Common Shares at the Meeting in accordance with the instructions you have given on any vote that may be called for.

If you do not give any instructions as to how to vote on a particular matter to be decided at the Meeting, your proxyholder can vote your shares as he or she thinks fit. If you have appointed the persons designated in the form of proxy as your proxyholder they will, unless you give contrary instructions, be required to vote your Common Shares at the Meeting

✓ **FOR the Arrangement Resolution**

The enclosed form of proxy gives the persons named on it the authority to use their discretion in voting on amendments or variations to matters identified in the Notice of Meeting. At the time of printing this Circular, management of the Company is not aware of any other matter to be presented for action at the Meeting. If, however, other matters do properly come before the Meeting, the persons named on the enclosed form of proxy will vote on them in accordance with their best judgment, pursuant to the discretionary authority conferred on them by the form of proxy with respect to such matters.

Time for Deposit of Proxies

In order to be valid, you must return the completed form of proxy by no later than 5:00 p.m. (Toronto time) on April 1, 2014 (or if the Meeting is adjourned or postponed, forty-eight hours (excluding Saturdays, Sundays and holidays) before the date and time of any reconvened or postponed Meeting) to our transfer agent Computershare Investor Services Inc. at 100 University Avenue, 8th Floor, Toronto, Ontario, Canada M5J 2Y1, or by toll-free North American fax number 1-866-249-7775, or by international fax number 1-416-263-9524.

Changing your Mind (Revoking your Proxy)

If you want to revoke your proxy after you have delivered it, you can do so by delivering a revocation that is received by 5:00 p.m. (Toronto time) on the last Business Day before the day of the Meeting, or delivered to the Chairman at the Meeting before it commences. You may do this by: (i) attending the Meeting and voting in person if you were a Registered Shareholder at the Record Date; (ii) signing a proxy bearing a later date and depositing it in the manner and within the time described above under the heading "*Time for Deposit of Proxies*"; (iii) signing a written statement which indicates, clearly, that you want to revoke your proxy and delivering this signed written statement to the registered office of the Company at 10 Four Seasons Place, Suite 1200, Etobicoke, Ontario, Canada M9B 6H7; or (iv) in any other manner permitted by law. If you revoke your proxy and do not replace it with another proxy that is deposited with us before the deadline, you can still vote your shares if you are a Registered Shareholder, but to do so you must attend the Meeting in person.

Non-Registered Holders

If your Common Shares are not registered in your own name, they will be held in the name of an Intermediary that, as your nominee, will be the person legally entitled to vote your Common Shares and generally is required to seek your instructions as to how to vote your Common Shares.

Accordingly, unless you have previously informed your Intermediary that you do not wish to receive material relating to meetings of Shareholders, you will have received this Circular from your nominee, together with a form of proxy or a request for voting instruction form. If that is the case, you should comply strictly with the instructions that have been given to you by your Intermediary. If you have voted and wish to change your voting instructions, you should contact your Intermediary to discuss whether this is possible and what procedures you must follow.

If your Common Shares are not registered in your own name, the Company's transfer agent will not have a record of your name and, as a result, unless your Intermediary has appointed you as a proxyholder, will have no knowledge of your entitlement to vote. In these circumstances, if you wish to vote in person at the Meeting, you should insert your own name in the space provided on the form of proxy or voting instruction form that you have received from your Intermediary in accordance with their instructions. If you do this, you will be instructing your Intermediary to appoint you as proxyholder. Please adhere strictly to the signature and return instructions. It is not necessary to complete the form in any other respect, since you will be voting at the Meeting in person. Please register with the transfer agent, Computershare Investor Services Inc., upon arrival at the Meeting.

VOTING SECURITIES AND PRINCIPAL HOLDERS

The authorized capital of the Company consists of an unlimited number of Common Shares. Each holder of Common Shares is entitled to one vote for each Common Share registered in his or her name at the close of business on March 3, 2014, the date fixed by the Directors as the Record Date for determining who is entitled to receive notice of, and to vote at, the Meeting.

At the close of business on the date hereof, there are 25,416,812 Common Shares outstanding. To the knowledge of the Directors and officers of the Company, as of such date, other than as set out in the following table, no Person beneficially owns, directly or indirectly, or exercises control or direction over, voting securities of the Company carrying 10% or more of the voting rights attached to any class of outstanding voting securities of the Company entitled to vote at the Meeting.

Name of Beneficial Owner	Class of Voting Securities	Number of Voting Securities of the Class Beneficially Owned or Controlled	Percentage of Voting Securities of the Class Beneficially Owned or Controlled
Maple Leaf Foods Inc.	Common Shares	22,875,215	90.0003%

THE ARRANGEMENT

At the Meeting, Shareholders will be asked to consider and, if thought advisable, to pass the Arrangement Resolution to approve the Arrangement. The Arrangement, the Plan of Arrangement and the terms of the Arrangement Agreement are summarized below. This summary does not purport to be complete and is qualified in its entirety by reference to the Arrangement Agreement, which is filed on SEDAR at www.sedar.com, and the Plan of Arrangement, which is attached to this Circular as Appendix "B".

To be effective, the Arrangement Resolution must be approved by at least two-thirds of the votes cast by Shareholders present in person or represented by proxy at the Meeting. A copy of the Arrangement Resolution is set out in Appendix "A" of this Circular.

Unless otherwise directed in properly completed forms of proxy, it is the intention of the individuals named in the enclosed form of proxy to vote **FOR** the Arrangement Resolution. If you do not specify how you want your Common Shares voted at the Meeting, the persons named as proxyholders in the enclosed form of proxy will cast the votes represented by your proxy at the Meeting **FOR** the Arrangement Resolution.

If the Arrangement is approved at the Meeting, the Final Order approving the Arrangement is issued by the Court and the applicable conditions to the completion of the Arrangement are satisfied or waived, the Arrangement will take effect at the Effective Time on the Effective Date (which is currently anticipated to be in the second quarter of 2014).

Principal Steps of the Arrangement

Under the Plan of Arrangement, commencing at the Effective Time, the following principal steps shall occur and shall be deemed to occur in the following order (at ten minute intervals), with the actions described in paragraphs (c) through (e) occurring simultaneously, without any further act or formality:

(a) the Board shall be deemed to have declared and the Company shall pay the Effective Date Stub Dividend, and the Company shall pay any other dividends or distributions that have been declared on the Common Shares to holders of record of Common Shares prior to the Effective Time that have not been paid prior to the Effective Time ("**Other Unpaid Dividends**"), and each holder of record of Common Shares immediately prior to the Effective Time shall be paid the Effective Date Stub Dividend for each outstanding Common Share held of record immediately prior to the Effective Time, and each holder of record of Common Shares as at the relevant record date for any Other Unpaid Dividends shall be paid any such Other Unpaid Dividends;

(b) each Qualifying Holdco Shareholder of record immediately prior to the Effective Time shall become entitled to the Qualifying Holdco Dividend, and the Qualifying Holdco shall pay such dividend to the Qualifying Holdco Shareholder of record immediately prior to the Effective Time by issuing a demand, non-interest bearing promissory note (the "**Qualifying Holdco Dividend Note**") to such Qualifying Holdco Shareholder with a principal amount equal to the amount of the Qualifying Holdco Dividend;

(c) each Common Share in respect of which Dissent Rights have been validly exercised shall be transferred and deemed to be transferred by the holder thereof, without any further act or formality on its part, free and clear of all Encumbrances, to the Purchaser, and each Dissenting Holder shall cease to have any rights as a holder of Common Shares other than the right to be paid the fair value of their Common Shares by the Purchaser in accordance with the Plan of Arrangement;

(d) each Qualifying Holdco Share outstanding immediately prior to the Effective Time shall be transferred and deemed to be transferred by the holder thereof, without any further act or formality on its part, free and clear of all Encumbrances, to the Purchaser, in accordance with the applicable Holdco Agreement, in exchange for a payment in cash equal to the Holdco Share Consideration; and

(e) each Common Share outstanding immediately prior to the Effective Time (other than: (i) Common Shares held by the Purchaser or any of its affiliates; (ii) Common Shares held by Qualifying Holdcos that are acquired by the Purchaser pursuant to paragraph (d) above; and (iii) Common Shares held by a Dissenting Holder that are acquired by the Purchaser pursuant to paragraph (c) above), shall be transferred and deemed to be transferred by the holder thereof, without any further act or formality on its part, free and clear of all Encumbrances, to the Purchaser in exchange for a payment in cash equal to the Consideration.

Background to the Arrangement

At a meeting of the Board held on August 29, 2013, the Directors were advised by representatives of Maple Leaf that Maple Leaf was considering strategic alternatives for its bakery business, including a sale of its 90% interest in Canada Bread. The representatives of Maple Leaf indicated they were still analyzing and considering their potential course of action.

On October 4, 2013, Michael McCain and Michael Vels, as representatives of Maple Leaf, advised the Board that, after receiving an analysis of the feasibility and desirability of a sale of its 90% interest in Canada Bread, Maple Leaf had decided to explore strategic alternatives for its bakery business, including a potential sale. In particular, the representatives of Maple Leaf advised the Board that the Maple Leaf board had directed the management of Maple Leaf and its investment bankers to proceed with an en bloc auction of its 90% interest in Canada Bread. Messrs. McCain and Vels advised the Board that the shares of Canada Bread held by Maple Leaf would be broadly marketed to both strategic and private equity buyers.

In response, at the October 4, 2013 Board meeting, the Board established a committee of independent directors consisting of Jack Petch (as Chair), William Aziz and Sarah Everett (the "**Special Committee**") to review and monitor the process carried out by Maple Leaf and its professional advisors in connection with the potential sale by Maple Leaf of its 90% interest in Canada Bread in order to seek to ensure (i) a fair and equitable process, and (ii) that any action taken or agreement entered into would be in the best interests of the Company and would be fair and equitable to all shareholders. The Special Committee was also entitled as part of its mandate to, among other things, determine if and when confidential information of Canada Bread may be made available to potential third party purchasers. The Special Committee retained Stikeman Elliott LLP as its legal advisors.

Following its establishment, the Special Committee negotiated a cooperation agreement with Maple Leaf, which includes, among other things, the terms upon which Maple Leaf could provide the Company's confidential information to potential third party purchasers. As part of that agreement, the parties agreed on the general terms of the confidentiality agreements to be entered into with third parties, and Maple Leaf agreed, subject to certain terms and conditions, that it would not, without the Special Committee's consent, complete a transaction for the sale of its Common Shares in which all Shareholders were not offered the same consideration per Common Share for their Common Shares and on substantially the same terms and conditions. The agreement also provided that Canada Bread would make available to Maple Leaf those employees, officers and Directors of Canada Bread that Maple Leaf may reasonably request for the purpose of Maple Leaf pursuing a potential sale transaction. Maple Leaf also agreed that, in the event no sale transaction was completed and Maple Leaf terminated the sales process, Maple Leaf would reimburse Canada Bread for all of its reasonable costs and expenses incurred in connection with Canada Bread assisting Maple Leaf in pursuing a sale transaction.

On October 18, 2013, after considering and meeting with several potential financial advisors, the Special Committee formally engaged CIBC to provide the Special Committee with financial advice.

On October 21, 2013, Maple Leaf publicly announced that it was exploring strategic alternatives for its bakery business, including a potential sale of its 90% interest in the Company, and the Company announced that it had established the Special Committee in connection with the potential sale.

On October 24, 2013, Canada Bread announced that it had entered into a definitive agreement to sell Olivieri Foods, its fresh pasta and sauce business, to Ebro Foods, S.A. of Madrid, Spain for proceeds of approximately $120 million, which transaction subsequently closed on November 25, 2013. The decision to sell the Olivieri Foods business was made by the Board solely on the merits of the transaction, which transaction had arisen from an unsolicited offer from Ebro Foods, S.A. received on July 3, 2013. The sale of the Olivieri Foods business was unrelated to the sales process of Canada Bread, although the Board ultimately viewed the transaction as having the ancillary benefit of making the Company more attractive to potential purchasers. Later, following the completion of the Olivieri Foods transaction, the Board declared a special dividend in the amount of $8 per Common Share which was paid to Shareholders on January 6, 2014.

In mid-October, Maple Leaf publicly launched a broad auction process, led by RBC Capital Markets and Centerview Partners LLC. The Special Committee and its financial and legal advisors monitored the process, which included, among other things, meeting with management of Maple Leaf and its financial and legal advisors, reviewing confidentiality agreements entered into, and reviewing the auction documentation being provided to potential acquirors.

The first phase of the auction process ended on or about November 13, 2013, at which time Maple Leaf received preliminary non-binding expressions of interest. Following a review of the non-binding expressions of interest, Maple Leaf and its advisors selected parties to continue to the next phase of the auction process. The parties selected were invited to meet with Canada Bread management, were granted access to an electronic data room and were invited to conduct site visits. The Special Committee and its advisors continued to monitor the process and receive updates from Maple Leaf and its advisors during this period.

The Special Committee met numerous times to receive updates on the process being conducted by Maple Leaf and its advisors. In addition, the Special Committee's advisors were working during this period with Maple Leaf's advisors to finalize a draft form of arrangement agreement and voting support agreement to be provided to interested parties that were selected to move to the next phase, which were reviewed and approved by the Special Committee prior to their distribution to prospective bidders. The Special Committee's financial advisors were also engaged in a detailed financial analysis of the Company.

On January 14, 2014, the Special Committee also approved retention arrangements in principle to ensure that the Company's senior executives would be able to perform their duties without distraction and concerns they had that a possible sale would have on their position with the Company. The Special Committee also approved, in principle, an incentive bonus plan based on the sale value of Canada Bread to ensure that the senior executives had the financial motivation to maximize the proceeds for all Shareholders.

In mid-January 2014, the form of arrangement agreement and voting support agreement were distributed to potential bidders.

On January 24, 2014, Maple Leaf received proposals and spent the next few days reviewing and assessing such proposals. On January 28, 2014, the Special Committee and its financial and legal advisors met with representatives of Maple Leaf to receive an update from Maple Leaf. At that meeting, the Special Committee was advised of the proposals received and that, after evaluating the proposals, with the advice of its financial and legal advisors, Maple Leaf had determined to concentrate on the proposal submitted by Grupo Bimbo, but noted that their proposed price would need to be increased before such proposal could be acceptable. Grupo Bimbo's mark-ups of the proposed definitive agreements were also discussed, and the Special Committee and its legal advisors requested certain key changes, which Maple Leaf agreed to seek to negotiate with the assistance of the Special Committee and its advisors.

During the following days, representatives of Maple Leaf met with representatives of Grupo Bimbo to discuss and negotiate its proposal. Such discussions led to a revised proposal being submitted by Grupo Bimbo on February 3, 2014 pursuant to which it proposed to increase its offer price to $72.00 per Common Share and permit the Company to pay quarterly dividends of up to $0.75 per Common Share until the closing of the transaction (pro-rated for the actual number of days in the quarter in which the transaction closes).

Between February 3, 2014 and February 11, 2014, Maple Leaf, the Special Committee and Grupo Bimbo, together with their legal and financial advisors, negotiated an arrangement agreement that set out the terms of the proposed transaction, including representations, warranties, conditions, and deal protection measures, and settled on the key terms of a cost-based transitional services arrangement under which Maple Leaf would supply the Company with transitional services for a period of time following closing. Also, during this period, they negotiated a voting support agreement that set out the terms upon which Maple Leaf and the applicable Canada Bread Directors would vote their Common Shares in favour of the transaction, and Maple Leaf negotiated the terms of a non-competition agreement with Grupo Bimbo to be entered into on closing.

Late in the day on February 11, 2014, the Special Committee met to consider the arrangement agreement that had been negotiated and other documents, and to receive the advice of CIBC and Stikeman Elliott LLP. CIBC made a presentation to the Special Committee concerning the financial terms of the proposed transaction, and Stikeman Elliott LLP led the Special Committee through a detailed discussion of the negotiated form of arrangement agreement and other agreements. Among other things, CIBC orally advised the Special Committee that, based upon certain assumptions, qualifications and limitations, in its opinion, the consideration of $72.00 per Common Share to be received pursuant to the Arrangement Agreement was fair, from a financial point of view, to Shareholders other than Maple Leaf. As noted below, CIBC's advice concerning the fairness, from a financial point of view, of the consideration to be received pursuant to the Arrangement Agreement was subsequently formalized in the written Fairness Opinion.

After discussion, based in part on the financial advice of CIBC as well as numerous other factors, including those set forth below under the heading "*Reasons for the Arrangement*", the Special Committee concluded that the Arrangement was fair to Shareholders and that the Arrangement was in the best interests of the Company, and resolved to recommend to the Board that it approve the Arrangement and recommend to Shareholders that they vote in favour of the Arrangement Resolution.

Also on February 11, 2014, following the meeting of the Special Committee, the Board met to consider the negotiated form of arrangement agreement, to receive the report and the recommendation of the Special Committee, and to receive the advice of CIBC. CIBC made a presentation to the Board concerning the proposed transaction and orally advised the Board that, based upon certain assumptions, qualifications and limitations, in its opinion, the consideration of $72.00 per Common Share to be received pursuant to the Arrangement Agreement was fair, from a financial point of view, to Shareholders other than Maple Leaf. This was followed by the formal report of the Special Committee, which culminated in the Special Committee's recommendation with respect to the proposed transaction and the reasons supporting such recommendation. After discussion, and based in part on the advice of CIBC as well as other factors, including those set forth below under the heading "*Reasons for the Arrangement*", the Board resolved and determined that the Arrangement was fair to Shareholders and was in the best interests of the Company, and that it would recommend that Shareholders vote in favour of the Arrangement Resolution.

The Arrangement Agreement was finalized and executed by the Company and Grupo Bimbo late on the evening of February 11, 2014. Also on that evening, Grupo Bimbo and Maple Leaf entered into the Maple Leaf Voting Agreement, and Grupo Bimbo and the Directors entered into the Directors' Voting Agreements.

The Arrangement was publicly announced prior to the opening of markets in Canada on February 12, 2014.

Recommendation of the Special Committee

Having undertaken a thorough review of, and carefully considered, the Arrangement, including consulting with its financial and legal advisors, the Special Committee unanimously concluded that the Arrangement was in the best interests of the Company and, that the Consideration to be received by Shareholders was fair, and recommended that the Board approve the Arrangement and recommend that Shareholders vote in favour of the Arrangement.

Recommendation of the Board

After careful consideration by the Board, the Board unanimously concluded that the Arrangement was in the best interests of the Company and that the Consideration to be received by Shareholders was fair, and the Board recommended that Shareholders vote in favour of the Arrangement. As part of this consideration, the Board relied upon and adopted those factors identified by the Special Committee as to the fairness of the Arrangement as enumerated below. Each Director intends to vote his or her Common Shares **FOR** the Arrangement Resolution.

Reasons for the Arrangement

In determining that the Arrangement is in the best interests of the Company, and recommending to Shareholders that they approve the Arrangement, the Special Committee and the Board considered and relied upon a number of factors, including, among others, the following:

- The fact that Maple Leaf had decided to proceed with a sale of its over 90% interest in the Company. As a holder of over 90% of the Common Shares, Maple Leaf has the ability to substantially control the direction of the Company, and could proceed with a squeeze-out transaction without minority shareholder approval. In addition, it could sell its interest and deliver control of the Company without involvement of the Board or, subject to any take-over bid laws, any opportunity for the minority Shareholders to participate in such transaction.

- The sale of the Company has been extensively marketed, and the Arrangement Agreement represents the results of a well-publicized auction process.
- The fact that the Consideration payable to Shareholders under the Arrangement represents, after adjusting for the $8.00 per share special dividend paid by the Company to Shareholders on January 6, 2014, a 31% premium to Canada Bread's closing price on the TSX of $61.25 on October 18, 2013, the day prior to Maple Leaf's announcement that it was exploring strategic alternatives for its bakery business and Canada Bread's announcement that it had established the Special Committee in connection therewith, and a 34% premium to the 20-day volume-weighted average share price of $59.58 ending on October 18, 2013.
- The opinion of CIBC to the effect that, as of February 11, 2014, and based upon and subject to the assumptions, limitations and qualifications set forth therein, the Consideration to be received by Shareholders (other than Maple Leaf) pursuant to the Arrangement Agreement is fair, from a financial point of view, to those Shareholders.
- The Consideration payable to Shareholders pursuant to the Arrangement, and the Effective Date Stub Dividend, are required to be paid entirely in cash, which provides certainty of value and immediate liquidity.
- The presence of a controlling shareholder may have the effect of preventing or delaying a take-over bid for the Company.
- The proposed transitional services arrangements between Maple Leaf and the Company are for a limited time period and priced at actual cost, such that no additional benefit is conferred on Maple Leaf as a result of such arrangements.
- The Arrangement Resolution must be approved by at least two-thirds of the votes cast by Shareholders present in person or represented by proxy at the Meeting.
- The Arrangement will be subject to a judicial determination of the Court that the Arrangement is fair and reasonable to Shareholders.
- Registered Shareholders who do not vote in favour of the Arrangement will have the right to dissent and require a judicial appraisal of their Common Shares and obtain "fair value" pursuant to the proper exercise of the Dissent Rights.
- Grupo Bimbo's obligation to complete the Arrangement is subject to a limited number of conditions, which the Special Committee and the Board believe are reasonable under the circumstances.
- The Arrangement is not subject to a financing condition.
- The Arrangement Agreement allows the Board to engage in discussions or negotiations with respect to a *bona fide* written Acquisition Proposal not solicited after the date of the Arrangement Agreement at any time prior to the approval of the Arrangement Resolution, if the Board determines in good faith, after consultation with its financial advisor and outside legal counsel, that such Acquisition Proposal could reasonably be expected to lead to a Superior Proposal.
- Maple Leaf, the holder of over 90% of the Common Shares, had agreed to enter into the Maple Leaf Voting Agreement.
- Information concerning the business, operations, assets, financial condition, operating results and prospects for the Company as well as current industry, economic and market conditions and related risks.

The Special Committee and the Board also considered a number of risks and potential negative factors relating to the Arrangement, including:

- If the Arrangement is successfully completed, the Company will no longer exist as an independent public company, and as a result the consummation of the Arrangement will eliminate the opportunity

for Shareholders to participate in the longer term potential benefits of the business of the Company to the extent that those benefits exceed those potential benefits reflected in the Consideration to be received under the Arrangement.

- The conditions to Grupo Bimbo's obligation to complete the Arrangement and the rights of Grupo Bimbo to terminate the Arrangement Agreement in certain circumstances.
- The Arrangement will be a taxable transaction for Canadian federal income tax purposes (and may also be a taxable transaction under other applicable tax laws) and, as a result, Shareholders will generally be required to pay taxes on any gains that result from the receipt of the Consideration.
- The obligations of Maple Leaf under the Maple Leaf Voting Agreement may significantly reduce the likelihood that any third party would express interest in the Company after the Arrangement Agreement and Maple Leaf Voting Agreement were entered into.
- The limitations contained in the Arrangement Agreement on the Company's ability to solicit additional interest from third parties, as well as the facts that, if the Arrangement Agreement is terminated in certain circumstances, the Company will be required to pay the Termination Payment to Grupo Bimbo and that, under certain circumstances, the Company must reimburse Grupo Bimbo for certain expenses.

The foregoing discussion of the information and factors considered and given weight by the Special Committee and the Board is not intended to be exhaustive. In reaching the determination to approve and recommend the Arrangement, the Special Committee and the Board did not assign any relative or specific weights to the foregoing factors, and individual Directors may have given different weights to different factors.

Fairness Opinion

CIBC was retained to act as financial advisor to the Special Committee in connection with the Arrangement, including to provide advice and assistance in evaluating the Arrangement. At meetings of the Special Committee and Board held on February 11, 2014, CIBC made presentations to the Special Committee and Board and advised the Special Committee and Board that, based upon certain analyses, assumptions, qualifications and limitations, in its opinion, as at that date, the Consideration to be received pursuant to the Arrangement Agreement is fair, from a financial point of view to Shareholders other than Maple Leaf. CIBC's opinion concerning the fairness, from a financial point of view, of the Consideration to be received pursuant to the Arrangement Agreement was subsequently formalized in the written Fairness Opinion.

The full text of the Fairness Opinion, which sets forth, among other things, the assumptions made, procedures followed, matters considered and limitations and qualifications on the review undertaken by CIBC in connection with the Fairness Opinion, is attached as Appendix "C". Shareholders are urged to read the Fairness Opinion in its entirety. The summary of the Fairness Opinion described in this Circular is qualified in its entirety by reference to the full text of the Fairness Opinion.

The Fairness Opinion was provided for the use of the Special Committee and Board in connection with its consideration of the Arrangement, and the Fairness Opinion may not be used by any other person or relied upon by any other person other than the Special Committee and Board without the express prior written consent of CIBC. The Fairness Opinion was not and should not be construed as a recommendation to any Shareholder as to whether or how to vote in respect of the Arrangement.

CIBC was engaged by the Special Committee as a financial advisor to provide the Special Committee and the Board with various financial advisory services, including advice and assistance in evaluating the Arrangement. Pursuant to the terms of its engagement with the Special Committee, CIBC is to be paid a fee for rendering the Fairness Opinion, no portion of which was conditional upon the Fairness Opinion being favourable, or that was contingent upon the consummation of the Arrangement. The Company is also required to reimburse CIBC for all reasonable out-of-pocket expenses and to indemnify CIBC in relation to certain claims or liabilities that may arise in connection with the services performed in connection with the Arrangement.

Approval of Arrangement Resolution

At the Meeting, the Shareholders will be asked to approve the Arrangement Resolution, the full text of which is set out in Appendix "A" to this Circular. In order for the Arrangement to become effective, as provided in the Interim Order and by the OBCA, the Arrangement Resolution must be approved by not less than two-thirds of the votes cast by Shareholders present in person or represented by proxy at the Meeting. Should Shareholders fail to approve the Arrangement Resolution by the requisite margin, the Arrangement will not be completed.

The Board has approved the Arrangement Agreement and the Plan of Arrangement and recommends that the Shareholders vote FOR the Arrangement Resolution. See "*The Arrangement – Recommendation of the Board*", above.

Holdco Alternative

Subject to receipt of all required Regulatory Approvals, the Purchaser will permit persons ("**Qualifying Holdco Shareholders**") that, (a) are resident in Canada for purposes of the Tax Act (including a partnership if all of the members of the partnership are resident in Canada), (b) are not exempt from tax under Part I of the Tax Act, (c) are registered owners of Common Shares as of the date that is 10 days after the date of mailing of this Circular, and (d) elect in respect of such Common Shares, by notice in writing provided to the Purchaser (or the Depositary) not later than 5:00 p.m. (Toronto time) on the date that is 15 days after the date of mailing of this Circular (the "**Holdco Election Date**"), to sell all of the issued shares of a corporation (a "**Qualifying Holdco**"), which shall not be comprised of more than one class of common shares, the terms and conditions of which shall be determined in consultation with the Purchaser (the "**Holdco Alternative**"), provided that:

(a) such Qualifying Holdco was incorporated under the OBCA not earlier than the date of the Arrangement Agreement, unless written consent is obtained from the Purchaser;

(b) such Qualifying Holdco is a single purpose corporation that has not carried on any business, has no employees, has not held or does not hold any assets other than Common Shares and a nominal amount of cash (other than the cash distributions contemplated in the Plan of Arrangement), has never entered into any transaction other than those relating to and necessary for the ownership of Common Shares or, with the Purchaser's consent, such other transactions as are necessary to facilitate those transactions described in the Plan of Arrangement;

(c) at the time of the acquisition of Qualifying Holdco Shares by the Purchaser, such Qualifying Holdco has no liabilities or obligations of any kind whatsoever (except to the Purchaser under the terms of the Holdco Alternative or as may arise under the Qualifying Holdco Dividend Note);

(d) except as provided by the Plan of Arrangement, at the Effective Time, such Qualifying Holdco will not have unpaid declared dividends and, prior to the Effective Time, such Qualifying Holdco shall not have paid any dividends or other distributions, other than one or more increases in stated capital, one or more stock dividends, a cash dividend financed with a daylight loan, which shall not be outstanding as of the Effective Time, or a dividend paid through the issuance of a promissory note with a determined principal amount and any such promissory note issued in relation to the payment of any such dividend shall no longer be outstanding as of the Effective Time;

(e) such Qualifying Holdco shall have no shares outstanding other than the shares (the "**Qualifying Holdco Shares**") being disposed to the Purchaser by the Qualifying Holdco Shareholder, who shall be the sole registered and beneficial owner of such shares free and clear of all Encumbrances, and no other person shall have any option, warrant or other right to acquire any securities of such Qualifying Holdco;

(f) at all times such Qualifying Holdco shall be a resident of Canada for the purposes of the Tax Act and shall not be a resident of, and shall have no taxable presence in, any other country;

(g) such Qualifying Holdco shall have not more than three directors and three officers;

(h) the Qualifying Holdco Shareholder shall at its cost and in a timely manner prepare and file all income tax returns of such Qualifying Holdco in respect of all taxation years of such Qualifying Holdco ending prior to the acquisition of such Qualifying Holdco Shares by the Purchaser, subject to the Purchaser's right to approve all such tax returns as to form and substance;

(i) the Qualifying Holdco Shareholder shall indemnify the Purchaser and the Company, and any successor thereof, for any and all liabilities of the Qualifying Holdco in respect of any matter occurring prior to the acquisition of such Qualifying Holdco Shares by the Purchaser in a form satisfactory to the Purchaser acting reasonably;

(j) the Qualifying Holdco Shareholder will provide the Purchaser with copies of all documents necessary to effect the transactions contemplated in the Holdco Alternative on or before the date that is 20 days after the date of the mailing of this Circular, the completion of which will comply with applicable Laws (including Securities Laws) at or prior to the Effective Time;

(k) the entering into or implementation of the Holdco Alternative will not result in any delay in completing any other transaction contemplated by the Arrangement Agreement;

(l) access to the books and records of such Qualifying Holdco shall have been provided on or before the date that is 20 days after the date of the mailing of this Circular and the Purchaser and its counsel shall have completed their due diligence regarding the business and affairs of such Qualifying Holdco;

(m) the terms and conditions of such Holdco Alternative and the Holdco Agreements (as defined below) must be satisfactory to the Purchaser and the Company, acting reasonably, and must include representations and warranties which are satisfactory to the Purchaser and the Company, each acting reasonably;

(n) the Qualifying Holdco Shareholder shall waive its Dissent Rights;

(o) the Qualifying Holdco Shareholder will be required to pay all reasonable out-of-pocket expenses incurred by the Purchaser or the Company in connection with the Holdco Alternative, including any reasonable costs associated with any due diligence conducted by the Purchaser or the Company; and

(p) the Qualifying Holdco Shareholder and the Purchaser shall agree that the Purchaser or the Qualifying Holdco Shareholder may require that the Qualifying Holdco make the election provided in subsection 256(9) of the Tax Act in respect of the acquisition of control of the Qualifying Holdco by the Purchaser.

Any Qualifying Holdco Shareholder who elects the Holdco Alternative will be required to make full disclosure to the Purchaser and the Company of all transactions involved in such Holdco Alternative. In the event that the terms and conditions of or the transactions involved in such Holdco Alternative are not satisfactory to the Purchaser, acting reasonably, or to the Securities Authorities, the Purchaser will use its commercially reasonable efforts, for a period not to exceed 15 days, to assist the Qualifying Holdco Shareholder in structuring an alternative transaction in a manner satisfactory to the Purchaser, acting reasonably. In the event that the terms and conditions of the transactions involved in such Holdco Alternative are not satisfactory to the Purchaser, acting reasonably, or to the Securities Authorities, and no alternative transactions satisfactory to the Purchaser, acting reasonably, and to the Securities Authorities can be agreed upon despite the Purchaser having used its commercially reasonable efforts, no Holdco Alternative shall be offered and the other transactions contemplated by the Arrangement Agreement shall be completed subject to the other terms and conditions hereof.

Each Qualifying Holdco Shareholder that has elected the Holdco Alternative will be required to enter into a share purchase agreement and other ancillary documentation (collectively, the "**Holdco Agreements**") providing for the acquisition of all issued and outstanding shares of the Qualifying Holdco by the Purchaser and for such other matters involving the Qualifying Holdco as contemplated by the Plan of Arrangement in a form consistent with the foregoing. Failure of any Qualifying Holdco Shareholder to properly elect the Holdco Alternative on or prior to the Holdco Election Date or failure of any Qualifying Holdco Shareholder to properly enter into a Holdco Agreement will disentitle such Qualifying Holdco Shareholder from the Holdco Alternative.

Participating in the Holdco Alternative may give rise to certain Canadian federal income tax consequences for you that are not described in this document. If you wish to avail yourself of the Holdco Alternative, you should consult your own financial, tax and legal advisors.

Completion of the Arrangement

Subject to the provisions of the Arrangement Agreement, the Arrangement will become effective at the first moment in time in Toronto, Ontario on the Effective Date. Completion of the Arrangement is anticipated to occur in the second quarter of 2014; however, it is possible that completion may be delayed beyond this date if the conditions to completion of the Arrangement cannot be met on a timely basis, but in no event shall completion of the Arrangement occur later than August 11, 2014, unless extended in accordance with the terms of the Arrangement Agreement.

Following completion of the Arrangement, the Common Shares are expected to be delisted from the TSX and Canada Bread expects to make an application to cease to be a reporting issuer under Securities Laws and, if the application is granted, will not be required to file continuous disclosure documents with Securities Authorities.

Procedure for Surrender of Common Shares and Payment of Consideration

If you are a Registered Shareholder, you should have received with this Circular a Letter of Transmittal printed on yellow paper. If the Arrangement Resolution is passed and the Arrangement is implemented, in order to receive the payment for their Common Shares, Registered Shareholders must complete and sign the Letter of Transmittal and deliver it, together with certificates representing their Common Shares, and the other relevant documents required by the instructions set out therein, to the Depositary in accordance with the instructions contained in the Letter of Transmittal. You can obtain additional copies of the Letter of Transmittal by contacting the Depositary. The Letter of Transmittal is also available on SEDAR at www.sedar.com under the Company's filings.

The Letter of Transmittal contains procedural information relating to the Arrangement and should be reviewed carefully. The deposit of Common Shares pursuant to the procedures in the Letter of Transmittal will constitute a binding agreement of the depositing Shareholder and the Purchaser upon the terms and subject to the conditions of the Arrangement.

Only Registered Shareholders should submit a Letter of Transmittal. **If you are a beneficial Shareholder holding your Common Shares through an Intermediary, you should carefully follow the instructions provided to you by such Intermediary or contact your Intermediary for assistance**.

A separate form of letter of transmittal will be made available for Qualifying Holdco Shareholders who have elected the Holdco Alternative. Shareholders who wish to avail themselves of the Holdco Alternative should contact the Depositary.

The signature on the Letter of Transmittal must be guaranteed by an Eligible Institution if a Letter of Transmittal is executed by a person other than the Registered Shareholder.

All questions as to validity, form, eligibility (including timely receipt) and acceptance of the Letter of Transmittal and any Common Shares surrendered in connection with the Arrangement, will be determined by the Company. Such determination will be final and binding. There shall be no duty or obligation of the Company, the Purchaser, the Depositary or any other person to give notice of any defect or irregularity in any deposit or notice of withdrawal and no liability will be incurred by any of them for failure to give any such notice. The Company reserves for itself the absolute right to reject, without notice, any and all surrenders of Common Shares which it determines not to be in proper form or which, in the opinion of its counsel, it may be unlawful to accept under the Laws of any jurisdiction. The Company reserves for itself the absolute right to waive any defect or irregularity in the surrender of any Common Shares.

The method of delivery of the Letter of Transmittal and certificates representing Common Shares and all other required documents is at the option and risk of the person depositing their Common Shares. Any use of the mail to forward certificates representing Common Shares and/or the related Letters of Transmittal shall be at the election and sole risk of the person depositing such Common Shares, and documents so mailed shall be deemed to have been received by the Company only upon actual receipt by the Depositary. If such certificates and other documents are to be mailed, the Company recommends that registered mail be used with proper insurance and an acknowledgement of receipt requested.

Payment of Consideration

Prior to the filing of the Articles of Arrangement, the Purchaser will deposit or cause to be deposited the aggregate amount of Consideration and Holdco Share Consideration (and the Company shall deposit the money required for payment of the Effective Date Stub Dividend to Shareholders) to be paid pursuant to the Plan of Arrangement with the Depositary for the benefit of the Shareholders.

Receipt of the Consideration by the Depositary will be deemed to constitute receipt of payment by Registered Shareholders depositing Common Shares. Under no circumstances will interest on the Consideration or Effective Date Stub Dividend payable in connection with the Arrangement accrue or be paid by the Company, the Purchaser or the Depositary to Persons depositing Common Shares in connection with the Arrangement, regardless of any delay in making such payment, other than as directed by the Court, in respect of Dissenting Shareholders.

Registered Shareholders who deposit a validly completed and duly signed Letter of Transmittal, together with accompanying certificate(s) representing their Common Shares, will be forwarded the Consideration and Effective Date Stub Dividend to which they are entitled under the Arrangement, with such surrendered certificate(s) being cancelled.

Registered Shareholders who do not forward to the Depositary a duly completed Letter of Transmittal, together with the certificate(s) representing their Common Shares and the other relevant documents, will not receive the Consideration and Effective Date Stub Dividend to which they are otherwise entitled until deposit thereof is made. Whether or not Shareholders forward their certificate(s) upon the completion of the Plan of Arrangement on the Effective Date, Shareholders will cease to be holders of Common Shares as of the Effective Date and will only be entitled to receive the Consideration and Effective Date Stub Dividend to which they are entitled under the Arrangement or, in the case of Registered Shareholders who properly exercise Dissent Rights, the right to receive fair value for their Common Shares in accordance with section 185 of the OBCA, as modified by the Plan of Arrangement and the Interim Order. See "*The Arrangement – Dissent Rights*".

As soon as a former Registered Shareholder who has complied with the procedures set out above and in the Letter of Transmittal is entitled to a payment of the Consideration and the Effective Date Stub Dividend in accordance with the Arrangement and after receipt of all required documents, a cheque (or, if required by applicable laws, a wire transfer) representing the aggregate Consideration payable under the Arrangement to the former Registered Shareholder will be: (a) forwarded to the former Registered Shareholder at the address specified in the Letter of Transmittal by first-class mail; or (b) made available at the office of the Depositary at which the Letter of Transmittal and the certificate(s) for the Common Shares were delivered for pick-up by the former Registered Shareholder, as requested by the former Registered Shareholder in the Letter of Transmittal. If no address is provided on the Letter of Transmittal, cheques will be forwarded to the address of the holder as shown on the register maintained by the Company's transfer agent.

In the event any certificate which immediately prior to the Effective Time represented one or more outstanding Common Shares that were transferred pursuant to the Arrangement is lost, stolen or destroyed, upon the making of an affidavit of that fact by the Person claiming such certificate to be lost, stolen or destroyed, the Depositary will pay to such Person the Consideration that such Person would have been entitled to had such

certificate not been lost, stolen or destroyed, deliverable in accordance with such Person's Letter of Transmittal. When authorizing such payment in exchange for any lost, stolen or destroyed certificate, the Person to whom the Consideration is to be paid shall, as a condition precedent to the delivery of such payment, give a bond reasonably satisfactory to the Purchaser in such sum as the Purchaser may direct or otherwise indemnify the Depositary and the Purchaser in a manner reasonably satisfactory to each of them against any claim that may be made against the Depositary, the Purchaser or the Company with respect to the certificate alleged to have been lost, stolen or destroyed.

Court Approval of the Arrangement

An arrangement under the OBCA involving the Company requires approval by the Court.

Interim Order

On March 5, 2014, Canada Bread obtained the Interim Order providing for the calling and holding of the Meeting, the grant of Dissent Rights and certain other procedural matters. The text of the Interim Order is set out in Appendix "D" to this Circular.

Final Order

Subject to the terms of the Arrangement Agreement, and if the Arrangement Resolution is approved by Shareholders at the Meeting in the manner required by the Interim Order, Canada Bread intends to make an application to the Court for the Final Order.

The application for the Final Order approving the Arrangement is currently scheduled for April 8, 2014 at 10:00 a.m. (Toronto time), or as soon thereafter as counsel may be heard, at the Courthouse, 330 University Avenue, Toronto, Ontario, Canada, or at any other date and time as the Court may direct. Any Shareholder or any other interested party who wishes to appear or be represented and to present evidence or arguments at that hearing of the application for the Final Order must file and serve a notice of appearance no later than 5:00 p.m. (Toronto time) on April 4, 2014, along with any other documents required, all as set out in the Interim Order and the Notice of Application, the text of which are set out in Appendix "D" to this Circular, and satisfy any other requirements of the Court. Such persons should consult with their legal advisors as to the necessary requirements. In the event that the hearing is adjourned then, subject to further order of the Court, only those persons having previously filed and served a notice of appearance will be given notice of the adjournment.

The Court has broad discretion under the OBCA when making orders with respect to the Arrangement and will consider, among other things, the fairness and reasonableness of the Arrangement. The Court may approve the Arrangement, either as proposed or as amended, on the terms presented or substantially on those terms. Depending upon the nature of any required amendments, Canada Bread and/or the Purchaser may determine not to proceed with the Arrangement.

For further information regarding the Court hearing and your rights in connection with the Court hearing, see the form of Notice of Application attached at Appendix "D" to this Circular. The Notice of Application constitutes notice of the Court hearing of the application for the Final Order and is your only notice of the Court hearing.

Regulatory Law Matters

In addition to the Final Order, the Arrangement is subject to receipt of, among other things, certain Regulatory Approvals. The following is a summary of the Regulatory Approvals that are required to be obtained for the completion and implementation of the Arrangement.

In the event that any additional Regulatory Approvals are determined to be required, such Regulatory Approvals will be sought, although any such additional requirements could delay the Effective Date or prevent the completion of the Arrangement. While there can be no assurance that any Regulatory Approvals that are determined to be required will be obtained (including those consents and approvals described below), Canada Bread currently anticipates that any such Regulatory Approvals that are determined to be required will have been obtained or otherwise resolved by the Effective Date, which, subject to receipt of the Shareholder approval of the Arrangement at the Meeting, receipt of the Final Order and the satisfaction or waiver of all other conditions specified in the Arrangement Agreement, is anticipated to occur in the second quarter of 2014.

Investment Canada Act

Subject to certain limited exceptions, the direct acquisition of control of a Canadian business by a non-Canadian that exceeds a financial threshold prescribed under Part IV of the Investment Canada Act (a "**Reviewable Transaction**") cannot be implemented unless the transaction has been reviewed by the Minister and the Minister is satisfied or is deemed to be satisfied that the transaction is likely to be of net benefit to Canada (the "**net benefit ruling**"). Accordingly, in the case of a Reviewable Transaction, a non-Canadian purchaser must submit an application to the Minister (an "**Application for Review**") seeking approval of the Reviewable Transaction and cannot complete the transaction until it receives a net benefit ruling. The submission of the Application for Review triggers an initial review period of up to 45 days. If the Minister has not completed the review by that date, the Minister may unilaterally extend the review period for up to a further 30 days. The Minister and the purchaser may agree to further extensions of the review period. The Arrangement is a Reviewable Transaction. It is a condition to the completion of the Arrangement that Investment Canada Act Approval be obtained and in force and not rescinded at the Effective Time.

Grupo Bimbo filed an Application for Review pursuant to Part IV of the Investment Canada Act on March 5, 2014. Filing of the application triggered an initial review period of up to 45 days. As discussed above, if the Minister has not completed the review by that date, the Minister may unilaterally extend the review period for up to a further 30 days. The Minister and the purchaser may agree to further extensions of the review period. As at that date hereof, the Minister's review of the Arrangement is ongoing.

In determining whether to issue a net benefit ruling, the Minister is required to consider, among other things, the Application for Review and any written undertakings offered by the purchaser to Her Majesty in right of Canada. The prescribed factors that the Minister must consider when determining whether to issue a net benefit ruling include, among other things, the effect of the investment on the economic activity in Canada (including the effect on employment, resource processing, utilization of Canadian products and services and exports), the participation by Canadians in the acquired business, the effect of the investment on productivity, industrial efficiency, technological development, product innovation, product variety and competition in Canada, the compatibility of the investment with national and provincial industrial, economic and cultural policies, and the contribution of the investment to Canada's ability to compete in world markets.

If, following his review during the initial review period or the extension(s) described above, the Minister is not satisfied or is not deemed to be satisfied that the Reviewable Transaction is likely to be of net benefit to Canada, the Minister is required to send a notice to that effect to the purchaser, advising the purchaser of its right to make further representations and submit (additional) undertakings within 30 days from the date of such notice or any further period that may be agreed to by the purchaser and the Minister.

At any time, and in any event within a reasonable time after the expiry of the last-mentioned period for making representations and submitting undertakings described above, the Minister will send a notice to the purchaser that either the Minister is satisfied that the investment is likely to be of net benefit to Canada (i.e., a net benefit ruling) or confirmation that the Minister is not satisfied that the investment is likely to be of net benefit to Canada. In the latter case, the Reviewable Transaction may not be implemented.

Competition Act

Part IX of the Competition Act requires that parties to any proposed transaction that exceeds specified financial and shareholding thresholds provide to the Commissioner prior notice of, and information relating to, the proposed transaction.

The applicable initial statutory waiting period in the case of a transaction notified under the Competition Act is 30 days. The Commissioner may, in his discretion, within the initial 30-day waiting period, issue a "supplementary information request" for additional information and documents to the parties, in which case a new 30-day waiting period will commence following compliance with such supplementary information requests. The Commissioner's review of a notifiable transaction for substantive competition law considerations may take longer than the statutory waiting period.

A proposed transaction is exempt from the foregoing notification requirements if the Commissioner issues an advance ruling certificate in respect of the proposed transaction. The Commissioner may also waive the notification requirements if substantially similar information was previously supplied in relation to a request for an advance ruling certificate. Under the Competition Act, a notifiable transaction may not be completed until the expiry, waiver or termination of the applicable statutory waiting period unless an advance ruling certificate has been issued.

Upon completion of the Commissioner's review, the Commissioner may decide to: (i) issue an advance ruling certificate with respect to the proposed transaction; (ii) issue a "no action" letter stating that he does not, at that time, intend to make an application to the Competition Tribunal in respect of the transaction but retains the authority to do so for one year after completion of the transaction, which is typically accompanied by a waiver of the requirement to file a notification if only a request for an advance ruling certificate was submitted or an early termination of the initial 30-day waiting period if the parties filed notifications; or (iii) make an application to the Competition Tribunal, in respect of the transaction, if the Commissioner concludes that it is likely to substantially lessen or prevent competition in a market.

The Arrangement is a notifiable transaction for the purposes of the Competition Act. It is a condition to the completion of the Arrangement that Competition Act Clearance be obtained and in force and not rescinded at the Effective Time. On February 26, 2014, Grupo Bimbo filed a submission with the Commissioner requesting that he issue an advance ruling certificate pursuant to section 102 of the Competition Act, or in the alternative a no-action letter, in respect of the Arrangement. As of the date of this Circular, the review by the Commissioner of the proposed Arrangement was ongoing.

HSR Act

Under the HSR Act, and the related rules and regulations that have been issued by the U.S. Federal Trade Commission (the "**FTC**"), the transactions contemplated by the Arrangement Agreement may not be consummated until the expiration or termination of a waiting period following the filing of required information and documentary material with the FTC and the Antitrust Division of the U.S. Department of Justice (the "**Antitrust Division**").

On February 26, 2014, Canada Bread and Grupo Bimbo filed a pre-merger notification and report forms under the HSR Act with the FTC and the Antitrust Division in connection with the Arrangement Agreement. The initial waiting period will expire at 11:59 p.m., Toronto time, on the 30th calendar day after such filings, unless (i) the Parties receive a request for additional information or documentary material or (ii) the FTC and the Antitrust Division grant early termination of the waiting period prior to that time. If the waiting period expires on a Saturday, Sunday or legal holiday, the period is extended until the end of the next day that is not a Saturday, Sunday or legal public holiday. If, within the 30-calendar-day waiting period, either the FTC or the Antitrust Division requests additional information or documentary material, the waiting period would be extended for an

additional period of 30 calendar days following the date of substantial compliance with that request. The FTC and the Antitrust Division may terminate the extended waiting period before its expiration. Only one extension of the waiting period pursuant to a request for additional information is authorized by the HSR Act. After that time, the waiting period could be extended only by court order or with the Parties' consent.

Securities Law Matters

Status under Securities Laws

Canada Bread is a reporting issuer in each of British Columbia, Alberta, Saskatchewan, Ontario, Quebec and Nova Scotia. The Common Shares currently trade on the TSX. After the Arrangement, the Common Shares are expected to be delisted from the TSX and Canada Bread expects to make an application to cease to be a reporting issuer under Securities Laws and, if the application is granted, will not be required to file continuous disclosure documents with Securities Authorities.

Fees and Expenses

All expenses incurred in connection with the Arrangement Agreement and the transactions contemplated thereby shall be paid by the Party incurring such expense, with the exception of certain fees with respect to the Regulatory Approvals to be paid by the Purchaser. In certain circumstances, one Party will be required to pay the other an amount equal to $5,000,000 as out-of-pocket expenses incurred in connection with the Arrangement. See "*The Arrangement Agreement – Termination – Termination Payment and Expense Reimbursement*". In addition, in certain circumstances where the Arrangement does not proceed, Maple Leaf has agreed to reimburse Canada Bread for its reasonable costs and expenses incurred in respect of the Arrangement. See "*The Arrangement – Background to the Arrangement*".

Dissent Rights

If you are a Registered Shareholder, you are entitled to dissent from the Arrangement Resolution in the manner provided in section 185 of the OBCA, as modified by the Interim Order and the Plan of Arrangement.

The following description of the rights of Registered Shareholders to dissent from the Arrangement Resolution is not a comprehensive statement of the procedures to be followed by a Dissenting Holder who seeks payment of the fair value of their Common Shares. A Registered Shareholder's failure to follow exactly the procedures set forth in the Plan of Arrangement and the Interim Order will result in the loss of such Shareholder's Dissent Rights. If you are a Registered Shareholder and wish to dissent, you should obtain your own legal advice and carefully read the Plan of Arrangement, the Interim Order and the provisions of section 185 of the OBCA which are attached to this Circular at Appendix "B", Appendix "D" and Appendix "E", respectively.

A Registered Shareholder may exercise the Dissent Rights only in respect of all of the Common Shares that are registered in that Shareholder's name. In many cases, Common Shares beneficially owned by a Non-Registered Holder are registered either:

- in the name of an Intermediary; or
- in the name of a clearing agency (such as CDS or similar entities) of which the Intermediary is a participant.

Accordingly, a Non-Registered Holder will not be entitled to exercise the Dissent Rights directly unless the Common Shares are re-registered in the Non-Registered Holder's name.

A Non-Registered Holder who wishes to exercise the Dissent Rights should contact the Intermediary with whom the Non-Registered Holder deals in respect of its Common Shares and either:

- instruct the Intermediary to exercise the Dissent Rights on the Non-Registered Holder's behalf (which, if the Common Shares are registered in the name of CDS or other clearing agency, would require that the Common Shares first be re-registered in the name of the Intermediary); or
- instruct the Intermediary to re-register the Common Shares in the name of the beneficial Shareholder, in which case, the beneficial Shareholder would be able to exercise the Dissent Rights directly. In this regard, the beneficial Shareholder will have to demonstrate that such Person beneficially owned the Common Shares in respect of which the Dissent Rights are being exercised on the Record Date established for the Meeting.

Any Dissenting Holder will be entitled, in the event that the Arrangement becomes effective, to be paid the fair value of the Dissent Shares held by such Dissenting Holder, determined as at the close of business on the day immediately preceding the Meeting, and will not be entitled to any other payment or consideration (including the Effective Date Stub Dividend). There can be no assurance that a Dissenting Holder will receive consideration for its Dissent Shares of equal value to the Consideration that such Dissenting Holder would have received upon completion of the Arrangement.

A Registered Shareholder who wishes to dissent must ensure that a written Dissent Notice is received by the Company, Attention: Corporate Secretary, at its registered office located at 10 Four Seasons Place, Suite 1200, Etobicoke, Ontario, Canada M9B 6H7, no later than 5:00 p.m. (Toronto Time) on April 1, 2014 (or 5:00 p.m. (Toronto time) on the day that is two Business Days immediately preceding any adjourned or postponed Meeting). The filing of a Dissent Notice does not deprive a Registered Shareholder of the right to vote; however, a Registered Shareholder who has submitted a Dissent Notice and who votes in favour of the Arrangement Resolution will no longer be considered a Dissenting Holder with respect to Common Shares voted in favour of the Arrangement Resolution. If such Dissenting Holder votes in favour of the Arrangement Resolution in respect of a portion of the Common Shares registered in his, her or its name and held by same on behalf of any one beneficial owner, such vote approving the Arrangement Resolution will be deemed to apply only to such Common Shares held by such Dissenting Holder. A vote against the Arrangement Resolution will not constitute a Dissent Notice.

Under the terms of the Plan of Arrangement and Interim Order, a Dissenting Holder will be deemed to have transferred their Dissent Shares to the Purchaser, free and clear of any Encumbrances, as of the Effective Date, and if they: (a) ultimately are entitled to be paid fair value for their Dissent Shares, shall be entitled to a payment of cash by the Purchaser, in consideration for the transfer of such Common Shares, equal to such fair value, which fair value, notwithstanding anything to the contrary in the OBCA, shall be determined as of the close of business on the day before the Arrangement Resolution is adopted, and will not be entitled to any other payment or consideration, including any payment (including the Effective Date Stub Dividend) that would be payable under the Arrangement in respect of such Common Shares had such Shareholders not exercised their Dissent Rights, payable to holders of record of Common Shares as of the Effective Time; or (b) are ultimately determined not to be entitled, for any reason, to be paid fair value for their Common Shares, shall be deemed to have participated in the Arrangement, as at the Effective Time, on the same basis as a non-Dissenting Holder and shall only be issued the same Consideration and Effective Date Stub Dividend which a Shareholder is entitled to receive under the Arrangement. Pursuant to the Plan of Arrangement, in no case will the Purchaser, the Company, the Depositary, the registrar or any other Person be required to recognize any Dissenting Holder as a Shareholder after the Effective Time, and the names of such Dissenting Holder will be deleted from the list of Registered Shareholders as at the Effective Time. In addition to any other restrictions under section 185 of the OBCA, none of the following shall be entitled to exercise Dissent Rights: (i) holders of Common Shares who have elected to sell their Common Shares to the Purchaser under the Holdco Alternative; and (ii) holders of Common Shares who vote or have instructed a proxyholder to vote such Common Shares in favour of the Arrangement Resolution.

Within 10 days after the approval of the Arrangement Resolution, the Company is required to notify each Dissenting Holder that the Arrangement Resolution has been approved. Such notice is however not required to be sent to a Registered Shareholder who voted for the Arrangement Resolution or who has withdrawn a Dissent Notice previously filed.

A Dissenting Holder must, within 20 days after the Dissenting Holder receives notice that the Arrangement Resolution has been approved or, if the Dissenting Holder does not receive such notice, within 20 days after the Dissenting Holder learns that the Arrangement Resolution has been approved, send a Demand for Payment. Within 30 days after sending a Demand for Payment, the Dissenting Holder must send to Canada Bread, Attention: Corporate Secretary, at its registered office located at 10 Four Seasons Place, Suite 1200, Etobicoke, Ontario, Canada M9B 6H7, the certificates representing the Dissent Shares. A Dissenting Holder who fails to send the certificates representing the Dissent Shares forfeits his or her right to make a claim under section 185 of the OBCA.

No later than seven days after the later of the Effective Date and the date on which, as applicable, a Demand for Payment of a Dissenting Holder is received, the Purchaser must send to each Dissenting Holder who has sent a Demand for Payment a written offer (an "**Offer to Pay**") for its Dissent Shares in an amount considered by the board of directors of the Purchaser to be the fair value of the Dissent Shares, accompanied by a statement showing the manner in which the fair value was determined.

Payment for the Dissent Shares of a Dissenting Holder must be made within 10 days after an Offer to Pay has been accepted by a Dissenting Holder, but any such Offer to Pay lapses if an acceptance thereof is not received within 30 days after the Offer to Pay has been made. If an Offer to Pay for the Dissent Shares of a Dissenting Holder is not made, or if a Dissenting Holder fails to accept an Offer to Pay that has been made, the Purchaser may apply to the Court to fix a fair value for the Dissent Shares of Dissenting Holders; such application may be made within 50 days after the Effective Date or within such further period as the Court may allow.

If no such application is made, a Dissenting Holder may apply to the Court for the same purpose within a further period of 20 days or within such further period as the Court may allow. A Dissenting Holder is not required to give security for costs in such an application.

Upon an application to the Court, all Dissenting Holders whose Dissent Shares have not been purchased will be joined as parties and bound by the decision of the Court, and each affected Dissenting Holder shall be notified of the date, place and consequences of the application and of their right to appear and be heard in person or by counsel. Upon any such application to the Court, the Court may determine whether any other Person is a Dissenting Holder who should be joined as a party, and the Court will then fix a fair value for the Dissent Shares of all such Dissenting Holders. The final order of the Court will be rendered against the Purchaser in favour of each Dissenting Holder joined as a party and for the amount of the Dissent Shares as fixed by the Court. The Court may, in its discretion, allow a reasonable rate of interest on the amount payable to each such Dissenting Holder from the Effective Date until the date of payment.

Registered Shareholders who are considering exercising Dissent Rights should be aware that there can be no assurance that the fair value of their Common Shares as determined under the applicable provisions of the OBCA (as modified by the Plan of Arrangement and the Interim Order) will be more than or equal to the Consideration and Effective Date Stub Dividend payable under the Arrangement. In addition, any judicial determination of fair value may result in a delay of receipt by a Dissenting Holder of consideration for such Dissenting Holder's Dissent Shares.

The above is only a summary of the provisions of the OBCA pertaining to Dissent Rights, as modified by the Interim Order and the Plan of Arrangement, which are technical and complex. If you are a Registered Shareholder and wish to exercise your Dissent Rights, you should seek your own legal advice as failure to strictly comply with the provisions of the OBCA, as modified by the Interim Order and the Plan of Arrangement, will result in the loss of your Dissent Rights. For a general summary of certain income tax implications to a Dissenting Holder, see "*Tax Considerations – Shareholders Resident in Canada – Dissenting Shareholders*". Registered Shareholders considering exercising Dissent Rights should also seek the advice of their own tax and investment advisors.

THE ARRANGEMENT AGREEMENT

The following description of certain material provisions of the Arrangement Agreement is a summary only, is not comprehensive and is qualified in its entirety by reference to the full text of the Arrangement Agreement, which is filed on SEDAR at www.sedar.com.

Pursuant to the Arrangement Agreement, it was agreed that the Parties would carry out the Arrangement in accordance with the Arrangement Agreement on the terms set out in the Plan of Arrangement.

Pursuant to the Arrangement Agreement, Grupo Bimbo assigned all of its rights under the Arrangement Agreement to, and all of its obligations under the Arrangement Agreement were assumed by, the Purchaser, a wholly-owned subsidiary of Grupo Bimbo, on February 28, 2014. Grupo Bimbo will continue to be fully liable, on a joint and several basis, with the Purchaser for all of the Purchaser's obligations under the Arrangement Agreement and the Plan of Arrangement.

Effective Date and Conditions of Arrangement

If the Arrangement Resolution is passed, the Final Order of the Court is obtained approving the Arrangement, every requirement of the OBCA relating to the Arrangement has been complied with and all other conditions disclosed under the heading "*The Arrangement Agreement – Conditions Precedent to the Arrangement*" are met or waived, the Arrangement is anticipated to become effective at the first moment in time in Toronto, Ontario on the Effective Date. It is currently expected that the Effective Date will be in the second quarter of 2014.

Conditions Precedent to the Arrangement

The Arrangement Agreement provides that the obligations of the Parties to complete the Arrangement are subject to the fulfillment or waiver, on or before the Effective Time, of each of the following conditions precedent, each of which may only be waived with the mutual consent of the Parties:

(a) the Arrangement Resolution will have been approved by Shareholders at the Meeting in accordance with the Interim Order;

(b) the Interim Order and the Final Order will each have been obtained on terms consistent with the Arrangement Agreement, and will not have been set aside or modified in a manner unacceptable to the Company or the Purchaser, each acting reasonably, on appeal or otherwise;

(c) the Regulatory Approvals shall have been obtained;

(d) no Governmental Entity shall have enacted, issued, promulgated, applied for (or advised either the Company or the Purchaser in writing that it has determined to make such application), made any order or enforced or entered any Law (whether temporary, preliminary or permanent) that restrains, enjoins or otherwise prohibits consummation of, or dissolves the Arrangement or the other transactions contemplated by the Arrangement Agreement; and

(e) the Arrangement Agreement shall not have been terminated in accordance with its terms.

Additional Conditions Precedent to the Obligations of the Purchaser

The Arrangement Agreement provides that the obligations of the Purchaser to complete the Arrangement are also subject to the fulfillment or waiver of each of the following conditions precedent (each of which is for the exclusive benefit of the Purchaser and may be waived by the Purchaser):

(a) all covenants of Canada Bread under the Arrangement Agreement to be performed on or before the Effective Time shall have been duly performed by Canada Bread in all material respects and the Purchaser shall have received a certificate of Canada Bread confirming the same as at the Effective Date;

(b) the representations and warranties of Canada Bread set forth in the Arrangement Agreement shall be true and correct without regard to any Material Adverse Effect qualifications contained in them, as of the Effective Time, as though made on and as of the Effective Time (except for representations and warranties made as of a specified date, the accuracy of which shall be determined as of that specified date), except to the extent that the failure or failures of such representations and warranties to be so true and correct, individually or in the aggregate, would not result in a Material Adverse Effect, or such failure resulted from any action taken by or omission of (i) Canada Bread to which the Purchaser consented, or (ii) any Party as required or permitted under the Arrangement Agreement, and the Purchaser shall have received a certificate of Canada Bread confirming the same as at the Effective Date;

(c) since the date of the Arrangement Agreement, there shall not have been or occurred a Material Adverse Effect; and

(d) the Purchaser and Maple Leaf shall have executed the Non-Competition Agreement.

Additional Conditions Precedent to the Obligations of Canada Bread

The Arrangement Agreement provides that the obligations of Canada Bread to complete the Arrangement are also subject to the fulfillment or waiver of the following conditions precedent (each of which is for the exclusive benefit of Canada Bread and may be waived by Canada Bread):

(a) all covenants of the Purchaser under the Arrangement Agreement to be performed on or before the Effective Time shall have been duly performed by the Purchaser, as applicable, in all material respects and Canada Bread shall have received a certificate of the Purchaser confirming the same as at the Effective Date;

(b) all representations and warranties of the Purchaser set forth in the Arrangement Agreement shall be true and correct as of the Effective Time as though made on and as of the Effective Time (except for representations and warranties made as of a specified date, the accuracy of which shall be determined as of that specified date), except to the extent that the failure or failures of such representations and warranties to be so true and correct would not or would not reasonably be expected to have a material adverse effect on the ability of the Purchaser to consummate the Arrangement and perform its obligations under the Arrangement Agreement, and Canada Bread shall have received a certificate of the Purchaser confirming the same as at the Effective Date; and

(c) the Purchaser shall have deposited or caused to be deposited with the Depositary in escrow in accordance with the Arrangement Agreement the funds required to effect payment in full of the Consideration and Holdco Share Consideration to be paid for all of the Common Shares (other than Common Shares held by the Purchaser or any of its affiliates) and the Qualifying Holdco Shares, and the Depositary shall have confirmed to Canada Bread receipt of these funds.

Representations and Warranties

The Arrangement Agreement contains customary representations and warranties made by Canada Bread to the Purchaser and customary representations and warranties made by the Purchaser to Canada Bread. The representations and warranties provided by Canada Bread in favour of the Purchaser relate to, among other things: due organization and qualification; subsidiaries; authority to enter into the Arrangement Agreement and the enforceability of the Arrangement Agreement; Board approval; capitalization; governmental approvals, notices and filings; third party consents, approvals and notices; financial statements; reporting status and securities law matters; books and records; disclosure controls and internal controls over financial reporting; the absence of undisclosed liabilities; the absence of certain changes or events in business of the Company and its subsidiaries; real property (leased and owned); material contracts; intellectual property rights; employee benefit plans; employment and labour relations; environmental matters; taxes; insurance; permits and licenses; compliance with laws; related party transactions; restrictions on the conduct of business; litigation; auditors; and brokers.

The representations and warranties provided by the Purchaser in favour of Canada Bread relate to, among other things: due organization and qualification; authority to enter into the Arrangement Agreement and the enforceability of the Arrangement Agreement; governmental approvals, notices and filings; third party consents, approvals and notices; litigation; sufficient funding to complete the Arrangement; and Company shareholdings of the Purchaser.

Covenants of Canada Bread

Canada Bread has agreed to covenants in the Arrangement Agreement which are customary for arrangements of this nature, including, but not limited to, covenants relating to: carrying on business in the ordinary course until the earlier of the Effective Time and the time that the Arrangement Agreement is terminated, except as is otherwise expressly permitted or specifically contemplated by the Arrangement Agreement; using reasonable commercial efforts to satisfy the conditions precedent to its obligation to complete the Arrangement, and co-operate with the Purchaser in connection therewith; providing the Purchaser and its Representatives with necessary access to information for the purposes of facilitating integration, transition and business planning or any pre-closing reorganizations; acting in good faith and using commercially reasonable efforts to negotiate and finalize the Transitional Services Agreement as soon as reasonably practicable, but in any event prior to the Effective Time.

Covenants of the Purchaser

The Purchaser has agreed to covenants in the Arrangement Agreement which are customary for arrangements of this nature, including, but not limited to, covenants to use reasonable commercial efforts, or in the case of obtaining Competition Act Clearance and HSR Clearance, best efforts, to satisfy the conditions precedent to its obligation to complete the Arrangement.

Non-Solicitation Covenant

Canada Bread has agreed that, except as otherwise provided in the Arrangement Agreement, Canada Bread and its subsidiaries shall not, directly or indirectly, through any person, and shall cause its Representatives and subsidiaries not to:

(a) solicit, assist, initiate, knowingly encourage or otherwise knowingly facilitate (including by way of furnishing information) any inquiries, offers or proposals, whether publicly or otherwise, regarding an Acquisition Proposal, provided that, for greater certainty, the Company may advise any person making an Acquisition Proposal that was not solicited after the date of the Arrangement Agreement whether or not such Acquisition Proposal constitutes a Superior Proposal when the Board has so determined;

(b) enter into, continue or participate in any discussions or negotiations with any person regarding an Acquisition Proposal or furnish to any person any information with respect to the Company and its subsidiaries;

(c) approve or recommend, or propose publicly to approve or recommend, any Acquisition Proposal (it being understood that publicly taking no position or a neutral position with respect to a publicly announced, or otherwise publicly disclosed Acquisition Proposal for a period of 10 days shall not be considered to be a breach of Section 7.2 of the Arrangement Agreement);

(d) withdraw, modify or qualify, or propose publicly to withdraw, modify or qualify in any manner adverse to the Purchaser, the approval or recommendation of the Arrangement; or

(e) accept or enter into any agreement, understanding or arrangement in respect of an Acquisition Proposal (other than a confidentiality agreement permitted by Section 7.2(4) of the Arrangement Agreement).

In addition, notwithstanding the non-solicitation covenants or any other provisions of the Arrangement Agreement, the Board may withdraw, modify or qualify its approval or recommendation of the Arrangement and recommend or approve an Acquisition Proposal provided that certain of the "right-to-match" requirements set out in the section below (and Section 7.3(1) of the Arrangement Agreement) are satisfied, or otherwise in accordance with its fiduciary duties.

The Company has agreed and covenanted to, and will cause its subsidiaries and its Representatives to, immediately terminate any existing discussions or negotiations with any parties (other than the Purchaser) with respect to any proposal that constitutes or could reasonably be expected to lead to an Acquisition Proposal and, in connection therewith, the Company will discontinue access of such parties to any of its confidential information, including access to any data room. The Company agreed to, on or before the second Business Day following the date of the Arrangement Agreement, request the return or destruction of all information provided to any third party which has entered into a confidentiality agreement with the Company or its affiliates relating to a potential Acquisition Proposal and to use commercially reasonable efforts to ensure that such requests are honoured. The Company agreed, except as permitted by the Arrangement Agreement, that it will not waive any provision of any existing confidentiality agreement relating to a potential Acquisition Proposal.

Notwithstanding the above, if at any time prior to obtaining the approval from Shareholders, the Board receives a written Acquisition Proposal that was not solicited after entering into the Arrangement Agreement, the Board may (directly or through its advisors or Representatives), but only after notifying the Purchaser in accordance with the Arrangement Agreement:

(a) contact the person making such Acquisition Proposal and its Representatives to clarify the terms and conditions of such Acquisition Proposal and the likelihood of consummation so as to determine whether such proposal is, or could reasonably be expected to lead to, a Superior Proposal; and

(b) if, in the opinion of the Board, acting in good faith and after receiving advice from its outside financial advisor and outside legal counsel, the Acquisition Proposal (disregarding, for the purpose of any such determination, any term of such Acquisition Proposal that provides for a due diligence condition and/or a financing condition) is, or could reasonably be expected to lead to, a Superior Proposal:

    (i) furnish information with respect to the Company and its subsidiaries to the person making such Acquisition Proposal and its Representatives; and/or

    (ii) consider such Acquisition Proposal and/or, participate and/or engage in discussions with the person making such Acquisition Proposal and its Representatives;

    provided that the Company shall not, and shall not allow its Representatives to, disclose any non-public information with respect to the Company to such person without entering into a confidentiality agreement (if one has not already been entered into), a correct and complete copy of such agreement shall be provided to the Purchaser before any such information is provided, having terms not more

favourable to such person than the equivalent terms of the confidentiality agreement entered into by the Parties, provided that such person shall not be precluded from making an Acquisition Proposal or consummating a Superior Proposal and provided further that the Purchaser is promptly provided with a list and copies of all information provided to such person not previously provided to the Purchaser and is promptly provided with access to information that was provided to such person.

Right to Match

The Company has agreed that it will not accept, approve, recommend or enter into any agreement, understanding or arrangement in respect of a Superior Proposal (other than a confidentiality agreement as described above) and will not release the party making an Acquisition Proposal from any standstill provisions unless:

(a) an Acquisition Proposal has been made that the Board determines in good faith constitutes a Superior Proposal;

(b) the Company has complied in all material respects with its obligations under the Arrangement Agreement relating to non-solicitation and the other provisions of Article VII of the Arrangement Agreement and has provided the Purchaser with a copy of the Superior Proposal;

(c) a period (the "**Response Period**") of five days shall have elapsed from the later of the date on which the Purchaser received written notice from the Board that the Board determined, subject only to compliance with the right to match provisions of the Arrangement Agreement, to accept, approve, recommend or enter into a binding agreement to proceed with the Superior Proposal and the date the Purchaser is provided with a copy of the Superior Proposal;

(d) if the Purchaser has proposed to amend the terms of the Arrangement Agreement in accordance with Section 7.3(2) of the Arrangement Agreement, the Board shall have determined that the Acquisition Proposal continues to constitute a Superior Proposal after taking into account such amendments; and

(e) prior to entering into such definitive agreement, the Company terminates the Arrangement Agreement in accordance with its provisions, including the payment of the Termination Payment.

In addition, notwithstanding any other provision of the Arrangement Agreement, the Board may withdraw, modify or qualify its approval or recommendation of the Arrangement and recommend or approve an Acquisition Proposal provided that the requirements of clauses (a) through (d) listed above are satisfied or otherwise in accordance with its fiduciary duties.

The Company and the Purchaser have agreed that during the Response Period, the Purchaser will have the right, but not the obligation, to offer to amend the terms of the Arrangement Agreement. The Board will review in good faith, in consultation with its financial and outside legal advisors, any such written proposal by the Purchaser, including an increase in, or modification of, the consideration to be received by Shareholders, to determine whether the Acquisition Proposal to which the Purchaser is responding would constitute a Superior Proposal when assessed against the Arrangement as it is proposed by the Purchaser to be amended. If the Board does not so determine, the Board will promptly reaffirm its recommendation of the Arrangement and shall enter into an amended agreement with the Purchaser on reasonable terms reflecting the Arrangement as proposed by the Purchaser. If the Board does so determine, the Company may after the end of the Response Period accept, approve, recommend or enter into an agreement, understanding or arrangement to proceed with the Superior Proposal. Each successive amendment of any Acquisition Proposal that results in an increase in, or modification of, the Consideration (or value of such Consideration) to be received by the Shareholders or other material modification to the terms of the Acquisition Proposal will constitute a new Acquisition Proposal for the purposes of the right to match provisions of the Arrangement Agreement and the Purchaser will be afforded a new Response Period in respect of each such Acquisition Proposal.

Termination

The Arrangement Agreement may be terminated prior to the Effective Time in certain circumstances including:

1. by mutual written agreement of the Purchaser and Canada Bread (with the prior written consent of Maple Leaf);
2. by either Canada Bread or the Purchaser if:
   (a) the Effective Time does not occur on or before the Outside Date, except that the right to terminate the Arrangement Agreement in this manner shall not be available to any Party whose failure to fulfill any of its obligations or breach of any of its representations and warranties under the Arrangement Agreement has been a cause of, or resulted in, the failure of the Effective Time to occur by such Outside Date, and provided that the Company may not exercise its termination rights in this manner without the prior written consent of Maple Leaf;
   (b) any Governmental Entity shall have enacted, issued, promulgated or made any Order or enforced or entered any Law (whether temporary, preliminary or permanent) that restrains, enjoins or otherwise prohibits consummation of, or dissolves the Arrangement or the other transactions contemplated by the Arrangement Agreement, and such applicable Order or Law or enjoinment shall have become final and non-appealable; or
   (c) the Arrangement Resolution is not approved by the Shareholders at the Meeting (including any adjournment or postponement thereof) in accordance with the Interim Order;
3. by the Purchaser, if a breach of any representation or warranty or failure to perform any covenant or agreement on the part of the Company set forth in the Arrangement Agreement shall have occurred that would cause certain conditions precedent to the obligations of the Purchaser not to be satisfied, and such condition is, having regard to the notice and cure provisions of the Arrangement Agreement, incapable of being satisfied by the Outside Date, as reasonably determined by the Purchaser and provided that the Purchaser is not then in breach of the Arrangement Agreement so as to cause any conditions precedent to the obligations of Canada Bread not to be satisfied; and
4. by Canada Bread, with the prior written consent of Maple Leaf:
   (a) if a breach of any representation or warranty or failure to perform any covenant or agreement on the part of the Purchaser set forth in the Arrangement Agreement shall have occurred that would cause conditions precedent to the obligations of Canada Bread not to be satisfied, and such condition is, having regard to the notice and cure provisions of the Arrangement Agreement, incapable of being satisfied by the Outside Date as reasonably determined by the Company and provided that the Company is not then in breach of the Arrangement Agreement so as to cause certain conditions precedent to the obligations of the Purchaser not to be satisfied; or
   (b) in order to enter into a binding written agreement with respect to a Superior Proposal (other than a permitted confidentiality agreement), subject to compliance with Section 7.3 and Section 7.4 of the Arrangement Agreement.

In certain circumstances, termination may lead to consequences such as payment of the Termination Payment or the reimbursement of reasonable expenses.

Termination Payment and Expense Reimbursement

Upon the occurrence of any of the following events, Canada Bread is required to pay the Termination Payment to the Purchaser:

(a) termination by Canada Bread or the Purchaser pursuant to paragraph 2(c) above, but only if (i) prior to the Company Meeting an Acquisition Proposal was made or announced by any person or any person publicly announced an intention to make an Acquisition Proposal, (ii) such Acquisition Proposal has not expired or been withdrawn at the time of the Meeting, and (iii) within nine months of the date of the Meeting, such Acquisition Proposal is consummated or effected or a definitive agreement in respect of such Acquisition Proposal is entered into, and that Acquisition Proposal is subsequently consummated or effected at any time thereafter. For purposes of this paragraph the references in the definition of "Acquisition Proposal" to "more than 20% of the voting or equity securities" are deemed to be references to "more than 50% of the voting or equity securities", and the references to "20% or more of the consolidated assets or contributing 20% or more of the consolidated revenue" are deemed to be references to "50% or more of the consolidated assets or contributing 50% or more of the consolidated revenue"; or

(b) termination by Canada Bread pursuant to paragraph 4(b) above.

If the Arrangement Agreement is terminated by the Purchaser: (i) because of the failure of the condition in Section 6.2(b) of the Arrangement Agreement (accuracy of the Company's representations and warranties); or (ii) pursuant to paragraph 2(a) above, and at the time of such termination there is a state of facts or circumstances that would cause the condition set forth in Section 6.2(b) of the Arrangement Agreement not to be satisfied; the Company shall be required to pay the Purchaser an amount equal to $5,000,000 as reimbursement to the Purchaser for its out-of-pocket expenses incurred in connection with the Arrangement; provided that if the Purchaser is in material breach of its obligations under the Arrangement Agreement at the time of the termination, such amount will not be payable.

If the Arrangement Agreement is terminated by the Company: (i) because of the failure of the condition in Section 6.3(b) of the Arrangement Agreement (accuracy of the Purchaser's representations and warranties); or (ii) pursuant to paragraph 2(a) above, and at the time of such termination there is a state of facts or circumstances that would cause the condition set forth in Section 6.3(b) of the Arrangement Agreement not to be satisfied; the Purchaser shall be required to pay the Company an amount equal to $5,000,000 as reimbursement to the Company for its out-of-pocket expenses incurred in connection with the Arrangement; provided that if the Company is in material breach of its obligations under the Arrangement Agreement at the time of the termination of the Arrangement Agreement such amount will not be payable.

OTHER AGREEMENTS

Voting Agreements

On February 11, 2014, the Purchaser entered into the Maple Leaf Voting Agreement with Maple Leaf and the Directors' Voting Agreements with the Directors. The Voting Agreements set forth, among other things, the agreement of the Directors and Maple Leaf to vote their Common Shares in favour of the Arrangement and any matter necessary for the consummation of the Arrangement and against any Acquisition Proposal and/or any other matter that could reasonably be expected to delay, prevent or frustrate the completion of the Arrangement. As of the date hereof, the 22,875,215 Common Shares owned by Maple Leaf, representing approximately 90.0003% of the issued and outstanding Common Shares, are subject to the Maple Leaf Voting Agreement, while the 13,030 Common Shares owned by the Directors, representing approximately 0.05% of the issued and outstanding Common Shares, are subject to the Directors' Voting Agreements.

The Directors and Maple Leaf have agreed, among other things, from the date of the Voting Agreements to the earlier of the Effective Date and the termination of the Voting Agreements, subject to the terms thereof, to: (a) not sell, transfer, gift, assign, tender to any offer, pledge, hypothecate, convert, encumber or otherwise dispose of any Common Shares they held, or agree to do any of the foregoing, or grant any proxies or power of attorneys or enter into any agreement for the voting of such Common Shares (with the exception of selling such Common Shares to participate in the Holdco Alternative); (b) vote all Common Shares they hold, at any meeting of the Shareholders, and in any action by written consent of the Shareholders of the Company: (i) in favour of the approval, consent, ratification and adoption of the Arrangement, (ii) against any action that would impede, delay, interfere or discourage the Arrangement, and (iii) against any action that would result in any breach of any representation, warranty or covenant of the Company in the Arrangement Agreement.

Under the Maple Leaf Voting Agreement, Maple Leaf has agreed that it will not, directly or indirectly, solicit, assist, initiate, knowingly encourage or otherwise knowingly facilitate (including by way of furnishing information) any inquiries, offers or proposals, whether publicly or otherwise, regarding an Acquisition Proposal or enter into, continue or participate in any substantive discussions or negotiations with any person regarding an Acquisition Proposal or approve or recommend, or propose publicly to approve or recommend, any Acquisition Proposal or accept or enter into any agreement, understanding or arrangement in respect of an Acquisition Proposal.

Under the terms of the Directors' Voting Agreements, the Purchaser has acknowledged that the Directors are bound under their respective Voting Agreements only in their capacity as a Shareholder, and not in their capacities as Directors or executive officers. Additionally, nothing in the Directors' Voting Agreements shall limit any person from fulfilling his or her fiduciary duties as a Director or officer of the Company or from engaging, in their capacity as a Director or officer, in discussions or negotiations with a person in response to any *bona fide* Acquisition Proposal in accordance with the terms of the Arrangement Agreement.

Termination

The Directors' Voting Agreements automatically terminate upon the earlier of the termination of the Arrangement Agreement or the Effective Time. The Maple Leaf Voting Agreement automatically terminates upon the earlier of the Effective Time or the termination of the Arrangement Agreement, except if the Arrangement Agreement is terminated by the Company to enter into an agreement with respect to a Superior Proposal, in which case the Maple Leaf Voting Agreement automatically terminates three months after the termination of the Arrangement Agreement. The Voting Agreements may be terminated by notice in writing by: (i) mutual agreement of the parties; (ii) either party following a breach of the other party's covenants or obligations under the Voting Agreement (and, in the case of Maple Leaf or a Director, the Purchaser's covenants and obligations under the Arrangement Agreement) or any representation or warranty under the Voting Agreement (and, in the case of Maple Leaf or a Director, the Purchaser's representations and warranties under the Arrangement Agreement), provided that such breach has not been cured by the breaching party within 15 days of receiving notice from the other party; (iii) Maple Leaf or a Director, as applicable, if the Effective Date has not occurred by the Outside Date; or (iv) Maple Leaf or a Director, as applicable, if the Company and the Purchaser make certain amendments to the Arrangement Agreement without the prior written consent of Maple Leaf or such Director, as applicable.

In the event that the Arrangement Agreement is terminated as a result of the Company entering into a binding written agreement with respect to a Superior Proposal, the Maple Leaf Voting Agreement and the proxy granted thereunder shall remain in force and effect until the date that is three months after the termination of the Arrangement Agreement.

Transitional Services Agreement

The Purchaser, Maple Leaf and Canada Bread have agreed to act in good faith and use commercially reasonable efforts to negotiate and finalize the Transitional Services Agreement as soon as reasonably practicable, but in any event prior to the Effective Time, to facilitate the separation of the Canada Bread and Maple Leaf businesses and for Maple Leaf to provide certain transitional services to Canada Bread, at cost. In the event that the form of Transitional Services Agreement has not been finalized by the Effective Time, the Purchaser, Maple Leaf and Canada Bread have agreed that the provisions of the TSA Term Sheet shall govern Maple Leaf's provision of transitional and separation services to Canada Bread for a limited period following the Effective Date (or until the Transitional Services Agreement is finalized and entered into).

The Special Committee has determined in good faith that, given that the services are required to be provided by Maple Leaf to the Company at Maple Leaf's actual cost, the benefit to Maple Leaf under the terms of the TSA Term Sheet (as is expected to be reflected in the Transitional Services Agreement), net of any offsetting costs to Maple Leaf, is expected to be nil, and accordingly is less than five per cent of the value of the consideration that Maple Leaf expects to be entitled to receive under the terms of the Arrangement in exchange for the Common Shares beneficially owned by Maple Leaf.

Business Separation

The Transitional Services Agreement is expected to provide for the transfer by Maple Leaf to Canada Bread of any asset that is owned by Maple Leaf and primarily used in the bakery business. To the extent that any such assets cannot be transferred, Maple Leaf will hold the non-transferred asset in trust for Canada Bread and the parties will use reasonable efforts so as to provide the benefits and obligations of such non-transferred asset to Canada Bread in order to place Canada Bread, to the extent possible, in the same position as if such asset had been transferred. In addition, for certain trademarks to be transferred to Canada Bread, Maple Leaf will receive a non-exclusive, royalty free and perpetual license to use the marks in certain jurisdictions in connection with its business.

The parties will use reasonable efforts to divide, amend, assign or novate all shared contracts involving Maple Leaf and Canada Bread so that each of Maple Leaf and Canada Bread is entitled to the rights and benefits relating to its respective business and will assume its related portion of the obligations, including by obtaining necessary third party releases or consents. Until alternative arrangements are in place, the parties will cooperate such that Canada Bread will obtain the benefits and be responsible for the obligations relating to the bakery business under shared contracts. Existing intercompany agreements (other than normal course commercial arrangements) will be terminated in accordance with the Transitional Services Agreement.

All employees of Maple Leaf who are engaged in providing services to Canada Bread will remain employees of Maple Leaf, with the exception of those employees identified in the Transitional Services Agreement that Canada Bread will make offers of employment to, on the terms and conditions set out in the Transitional Services Agreement.

Maple Leaf will be responsible for insurance administration under its current insurance policies with respect to all losses and liabilities related to the business of Canada Bread arising prior to the Effective Time or arising after the Effective Time but relating to the period prior to the Effective Time (other than directors' and officers' liability insurance). At the Effective Time, Canada Bread will arrange for insurance policies with respect to losses and liabilities related to the business of Canada Bread arising from and after the Effective Time.

Maple Leaf will cooperate with Canada Bread in its efforts to continue to maintain the business relationships that relate to the bakery business. Maple Leaf will also cooperate with Canada Bread, and Canada Bread will cooperate with Maple Leaf, in connection with any legal, administrative or other proceeding involving or otherwise relating to each other's businesses.

Transitional Services

Prior to the completion of the Arrangement, Grupo Bimbo will determine which transition services Canada Bread will require as of the Effective Time (the "**Transition Services"**). The Transition Services shall be selected from the services currently provided by Maple Leaf to Canada Bread. Maple Leaf may provide each category of Transition Services for up to an initial term of 12 months, and certain Transition Services in respect of information solutions and master data shared services, may be extended in three month intervals, for up to an additional 12 months.

For the initial term of 12 months, Canada Bread is expected to pay, on a monthly basis, the actual costs of Maple Leaf in providing the Transition Services, plus applicable sales taxes. Canada Bread may pay less if it elects, prior to the Effective Date: (i) not to receive certain service categories, or (ii) to receive reduced quantities of such services. The cost of any extension of Transition Services will be adjusted based on a consumer price index factor. Maple Leaf and Canada Bread will cooperate during the term of the Transitional Services Agreement to find ways to minimize the cost of providing the Transition Services.

The Transitional Services Agreement is expected to provide mechanisms by which the Transition Services can be changed or terminated by Canada Bread. Maple Leaf may also provide additional services to Canada Bread, as agreed to between the parties acting reasonably, during the term of the Transitional Services Agreement. These services will also be provided by Maple Leaf at cost.

The Transitional Services Agreement is also expected to contain provisions concerning system upgrades, security standards, disaster recovery and business interruption plans, and service standards.

Miscellaneous

The Transitional Services Agreement is expected to provide a mechanism by which disputes between the parties will be settled, including escalation through an oversight committee to be established by the parties.

In addition, each of Canada Bread and Maple Leaf are expected to agree to certain non-disclosure, non-solicit and no-hire provisions in favour of the other as well as indemnification and limitation of liability provisions. Subject to certain trademark licenses and the right of Canada Bread to use the "Maple Leaf" name for business continuity purposes for 12 months after the Effective Time, each party will retain ownership of all of its intellectual property.

Non-Competition Agreement

Customary with arrangements of this nature, Maple Leaf and Grupo Bimbo and/or the Purchaser intend to enter into the Non-Competition Agreement immediately prior to the Effective Time. The Non-Competition Agreement is expected to provide that Maple Leaf will agree that, for a period of five years from the Effective Date, except as permitted by the Non-Competition Agreement, it shall not and shall cause its subsidiaries not to, in any manner whatsoever, carry on or be engaged in: (a) the business of the manufacturing and distribution of sweet goods and snack cakes in Canada and the United States; and (b) the current business carried on by Canada Bread in specified jurisdictions as follows: (i) the manufacturing and distribution of fresh bread products and specialty bakery products in Canada and the United States, (ii) the manufacturing and distribution of frozen baked and frozen partially baked bread products in Canada and the United States, and (iii) the manufacturing and distribution of bagels, croissants and other specialty bakery products in the United Kingdom.

RISKS ASSOCIATED WITH THE ARRANGEMENT

In evaluating the Arrangement, Shareholders should consider the following risk factors (which are not an exhaustive list of potentially relevant risk factors relating to the Arrangement). Additional risks and uncertainties, including those that currently are not known to, or are considered immaterial by, the Company, also may be relevant to completion of the Arrangement and/or the future of Canada Bread and the value of the Common Shares. If any of the risk factors materialize, the expectations, and the predictions based on them, may need to be re-evaluated. The risks associated with the Arrangement include:

There can be no certainty that all conditions to the Arrangement will be satisfied in a timely manner or at all. Failure to complete the Arrangement could negatively impact the share price of Canada Bread or otherwise adversely affect the business of Canada Bread.

The completion of the Arrangement is subject to a number of conditions precedent, certain of which are outside the control of Canada Bread, including receipt of the Regulatory Approvals and the Final Order.

Under the Arrangement Agreement, the Parties have covenanted to promptly prepare and file all necessary documents, registrations and applications for the Regulatory Approvals and use best efforts to obtain Competition Act Clearance and HSR Clearance, and commercially reasonable efforts with respect to Investment Canada Act Approval. The Parties have agreed that the Arrangement must be completed by the Outside Date. If the approvals are not obtained by the Outside Date, the Arrangement may not proceed.

There can also be no certainty, nor can Canada Bread provide any assurance, that these conditions will be satisfied or, if satisfied, when they will be satisfied. If the Arrangement is not completed, the market price of the Common Shares may decline and its business may suffer. If the Arrangement is not completed and the Board decides to seek another merger or arrangement, there can be no assurance that it will be able to find a party willing to pay an equivalent or more attractive price than the total consideration to be paid pursuant to the Arrangement.

The application of interim operating covenants may affect the Company's performance

Pursuant to the Arrangement Agreement, Canada Bread has agreed to certain interim operating covenants intended to ensure that Canada Bread and its subsidiaries carry on business in the ordinary course of business consistent with past practice, except as is otherwise expressly permitted or specifically contemplated by the Arrangement Agreement. These operating covenants cover a broad range of activities and business practices. Consequently, it is possible that a business opportunity will arise that is out of the ordinary course or is not consistent with past practices, and that Canada Bread will not be able to pursue or undertake the opportunity due to its covenants in the Arrangement Agreement.

The Arrangement Agreement may be terminated by Canada Bread or the Purchaser in certain circumstances.

Each of the Purchaser and the Company (with the consent of Maple Leaf in certain circumstances) has the right to terminate the Arrangement Agreement in certain circumstances. Accordingly, there is no certainty, nor can the Company provide any assurance, that the Arrangement Agreement will not be terminated by the Purchaser before the completion of the Arrangement. See "*Arrangement Agreement – Termination*".

Canada Bread will incur costs and may have to pay a termination fee (subject to reimbursement by Maple Leaf in certain cases).

Canada Bread and the Purchaser are each liable for their own costs incurred in connection with the Arrangement, except in certain circumstances where one Party will be required to pay the other an amount equal

to $5,000,000 as out-of-pocket expenses incurred in connection with the Arrangement. If the Arrangement is not completed, Canada Bread may be required in certain circumstances to pay the Purchaser the Termination Payment. In addition, in certain circumstances where the Arrangement does not proceed, Maple Leaf has agreed to reimburse Canada Bread for its reasonable costs and expenses incurred in respect of the Arrangement. See "*The Arrangement Agreement – Termination – Termination Payment and Expense Reimbursement*" and "*The Arrangement – Background to the Arrangement*".

The Maple Leaf Voting Agreement and the Termination Payment provided under the Arrangement Agreement may discourage other parties from attempting to acquire Canada Bread.

The Maple Leaf Voting Agreement may significantly reduce the likelihood that any third party would express any interest in acquiring the Company after the Arrangement Agreement and Maple Leaf Voting Agreement were entered into. In particular, pursuant to the Maple Leaf Voting Agreement, Maple Leaf has agreed to vote in favour of the Arrangement and against any action that would impede, delay, interfere or discourage the Arrangement. It has also agreed that it will not enter into, continue or participate in any substantive discussions or negotiations with any person regarding an Acquisition Proposal or approve or recommend, or propose publicly to approve or recommend, any Acquisition Proposal or accept or enter into any agreement, understanding or arrangement in respect of an Acquisition Proposal. In addition, in the event that the Arrangement Agreement is terminated as a result of the Company entering into a binding written agreement with respect to a Superior Proposal, the Maple Leaf Voting Agreement remains in force and effect until the date that is three months after the termination of the Arrangement Agreement. The effect of these provisions may be that a competing offer for the Company is less likely. See "*Other Agreements – Voting Agreements*".

In addition, under the Arrangement Agreement, Canada Bread is required to pay a Termination Payment of $50,000,000 in the event the Arrangement Agreement is terminated in certain circumstances. This Termination Payment may also discourage other parties from attempting to acquire Canada Bread even if those parties would otherwise be willing to offer greater value than the Consideration under the Arrangement.

Even if the Arrangement Agreement is terminated without payment of the Termination Payment, Canada Bread may, in the future, be required to pay the Termination Payment in certain circumstances. Accordingly, if the Arrangement is not consummated and the Arrangement Agreement is terminated, Canada Bread may not be able to consummate another Acquisition Proposal that would otherwise provide greater value than what is provided for in the Arrangement without paying the Termination Payment. See "*The Arrangement Agreement – Termination – Termination Payment and Expense Reimbursement*".

The Canada Bread Directors and officers may have interests in the Arrangement that are different from those of Shareholders.

In considering the recommendation of the Board to vote in favour of the Arrangement Resolution, Shareholders should be aware that certain Directors and senior officers of the Company are also directors and/or officers of Maple Leaf and thus may have certain interests in connection with the Arrangement that may present them with actual or potential conflicts of interest in connection with the Arrangement. In addition, certain Directors and senior officers of the Company have agreements or arrangements that provide them with interests in the Arrangement that differ from, or are in addition to, those of Shareholders generally. See "*Interests of Informed Persons in Material Transactions – Interests of Certain Persons in the Arrangement*".

TAX CONSIDERATIONS

Certain Canadian Federal Income Tax Considerations

The following summary fairly describes the principal Canadian federal income tax considerations under the Tax Act relating to the Arrangement generally applicable to Shareholders who are beneficial owners of the Common Shares and who, at all relevant times, for purposes of the Tax Act (i) hold their Common Shares as capital property, (ii) deal at arm's length with the Purchaser and Canada Bread and (iii) are not affiliated with the Purchaser or Canada Bread.

Common Shares generally will be considered to be capital property to a holder thereof unless such shares are held in the course of carrying on a business or were acquired in a transaction considered to be an adventure in the nature of trade. Certain Shareholders who are resident in Canada for purposes of the Tax Act and who might not otherwise be considered to hold such shares as capital property may be entitled, in certain circumstances, to make an irrevocable election in accordance with subsection 39(4) of the Tax Act to have such shares and all other "Canadian securities" (as defined in the Tax Act) owned by such Shareholder in the taxation year in which the election is made, and in all subsequent taxation years, deemed to be capital property. Any person contemplating making such an election should consult their own tax advisor for advice as to whether the election is available or advisable in their own particular circumstances.

This summary is not applicable to a Shareholder (i) that is a "financial institution" for the purposes of the mark-to-market rules, (ii) that is a "specified financial institution", (iii) an interest in which is a "tax shelter investment", (iv) who has elected to report its "Canadian tax results" in a currency other than Canadian currency, or (v) who has entered into with respect to their Common Shares, a "derivative forward agreement" (all terms as defined in the Tax Act). All such Shareholders should consult their own tax advisors having regard to their own particular circumstances.

This summary does not address the Canadian federal income tax considerations to Shareholders who are participating in the Holdco Alternative pursuant to the Arrangement. Such Shareholders should consult their own tax advisors in this regard.

This summary is based upon the current provisions of the Tax Act and counsel's understanding of the current published administrative practices and assessing policies of the Canada Revenue Agency (the "**CRA**"). This summary also takes into account all specific proposals to amend the Tax Act (the "**Proposed Amendments**") announced by or on behalf of the Minister of Finance (Canada) prior to the date hereof, and assumes that all Proposed Amendments will be enacted in their present form. However, there can be no assurance that the Proposed Amendments will be enacted in the form proposed, or at all. Except for the Proposed Amendments, this summary does not take into account or anticipate any changes in law, or the administrative practices and assessing policies of the CRA, whether by legislative, governmental, or judicial action or decision, nor does it take into account provincial, territorial or foreign income tax considerations, which may differ from the Canadian federal income tax considerations discussed below. This summary assumes that the Common Shares will, at all relevant times, be listed on the TSX.

This summary is of a general nature only and is not exhaustive of all possible Canadian federal income tax considerations. This summary is not intended to be, nor should it be construed to be, legal or tax advice to any particular Shareholder. Accordingly, Shareholders should consult their own tax advisors for advice as to the income tax consequences to them of the Arrangement in their particular circumstances.

Shareholders Resident in Canada

The following portion of the summary is applicable to a Shareholder who, at all relevant times, is, or is deemed to be, resident in Canada for purposes of the Tax Act (a "**Resident Shareholder**").

Dividends on Common Shares

A Resident Shareholder will be required to include, in computing such Resident Shareholder's income for a taxation year, the amount of dividends, if any, received, or deemed to be received, on the Common Shares, including the Effective Date Stub Dividend and Other Unpaid Dividends. In the case of a Resident Shareholder who is an individual (other than certain trusts), dividends received or deemed to be received on Common Shares will be subject to the gross-up and dividend tax credit rules normally applicable to taxable dividends received from taxable Canadian corporations, including the dividend tax credit rules applicable to dividends validly designated by the Company as "eligible dividends" for the purposes of the Tax Act. There are limits on the ability of a corporation to designate dividends as "eligible dividends" for the purposes of the Tax Act.

Taxable dividends received or deemed to be received by a Resident Shareholder who is an individual (other than certain specified trusts) may give rise to alternative minimum tax under the Tax Act.

In the case of a Resident Shareholder that is a corporation, dividends received or deemed to be received on Common Shares will, subject to the special rules and limitations described below, generally be deductible in computing its taxable income to the extent and under the circumstances provided in the Tax Act. In certain circumstances, the amount of any such dividend realized by a corporation may be treated as proceeds of disposition and not as a dividend.

A Resident Shareholder that is a "private corporation" or "subject corporation" (as defined in the Tax Act) will generally be liable under Part IV of the Tax Act to pay a refundable tax of 33⅓% on dividends received on Common Shares to the extent that such dividends are deductible in computing the Resident Shareholder's taxable income.

Disposition of Common Shares for the Consideration

A Resident Shareholder that transfers Common Shares under the Arrangement to the Purchaser for the Consideration will be considered to have disposed of such Common Shares for proceeds of disposition equal to the amount of the Consideration. As a result, such Resident Shareholder generally will realize a capital gain (or a capital loss) to the extent that such Shareholder's proceeds of disposition, net of any reasonable costs of disposition, exceed (or are less than) the adjusted cost base to the Resident Shareholder of his or her Common Shares immediately before the disposition.

One-half of any capital gain (a "**taxable capital gain**") realized by a Resident Shareholder in a taxation year will be included in the Resident Shareholder's income for the year. One-half of any capital loss (an "**allowable capital loss**") realized by a Resident Shareholder in a taxation year generally must be deducted against taxable capital gains realized in that taxation year, to the extent and in the circumstances specified in the Tax Act. Any excess of allowable capital losses over taxable capital gains realized in a particular taxation year may be carried back up to three taxation years and carried forward indefinitely and deducted against net taxable capital gains realized in those other years, to the extent and in the circumstances specified in the Tax Act.

If a Resident Shareholder is a corporation, the amount of any capital loss arising from a disposition or deemed disposition of a Common Share may be reduced by the amount of dividends received or deemed to be received by the corporation on the Common Share (or another share where the Common Share has been acquired in exchange for such other share), to the extent and under circumstances specified by the Tax Act. Analogous rules apply to a partnership or trust of which a corporation, trust or partnership is a member or beneficiary.

Dissenting Shareholders

A Resident Shareholder who, as a result of the exercise of Dissent Rights, disposes of Common Shares to the Purchaser in consideration for a cash payment from the Purchaser, will be considered to have disposed of the Common Shares for proceeds of disposition equal to the cash payment (other than any portion of the payment

that is interest awarded by the Court). Such Dissenting Holder will realize a capital gain (or capital loss) equal to the amount by which such proceeds of disposition, net of any reasonable costs of disposition, exceed (or are exceeded by) the adjusted cost base to such Dissenting Holder of the Common Shares immediately before the disposition. See above under the heading *"Disposition of Common Shares for the Consideration*" for a general description of the treatment of capital gains and capital losses under the Tax Act. Interest awarded by a court to a Resident Shareholder who is a Dissenting Holder will be included in such Shareholder's income for purposes of the Tax Act.

Canadian-Controlled Private Corporations

A Resident Shareholder that is a "Canadian-controlled private corporation" (as defined in the Tax Act) may be liable to pay an additional tax, a portion of which may be refundable, on certain investment income, including any dividends that are not deductible in computing taxable income and amounts in respect of net taxable capital gains and interest.

Shareholders Not Resident in Canada

The following portion of the summary is applicable to a Shareholder who, at all relevant times, (i) is not, and is not deemed to be, resident in Canada for purposes of the Tax Act, and (ii) does not and will not use or hold, and is not and will not be deemed to use or hold, Common Shares in connection with carrying on a business in Canada (a "**Non-Resident Shareholder**"). Special rules, which are not discussed in this summary, may apply to a Non-Resident Shareholder that is an insurer carrying on business in Canada and elsewhere.

Dividends on the Common Shares

Dividends paid or credited or deemed to be paid or credited on the Common Shares, including the Effective Date Stub Dividend and Other Unpaid Dividends, to a Non-Resident Shareholder will be subject to Canadian withholding tax at the rate of 25%, subject to any reduction in the rate of withholding to which the Non-Resident Shareholder is entitled under any applicable income tax treaty.

Disposition of Common Shares for the Consideration

A Non-Resident Shareholder who participates in the Arrangement will not be subject to tax under the Tax Act on any capital gain realized on the disposition of Common Shares for the Consideration, unless (i) the Common Shares disposed of are "taxable Canadian property" of the Non-Resident Shareholder for purposes of the Tax Act at the time of the disposition, and (ii) the Non-Resident Shareholder is not exempt from taxation in Canada on the disposition of such shares under the terms of an applicable income tax convention or treaty.

Generally, a Common Share will not constitute taxable Canadian property to a Non-Resident Shareholder at a particular time provided that such Common Share is listed at that time on a designated stock exchange (which currently includes the TSX), unless at any particular time during the 60-month period that ends at that particular time (1) one or any combination of the Non-Resident Shareholder, persons with whom the Non-Resident Shareholder does not deal at arm's length and, pursuant to Proposed Amendments, partnerships in which the Non-Resident Shareholder or a person with whom the Non-Resident Shareholder does not deal at arm's length, holds a membership interest directly or indirectly through one or more partnerships, has owned 25% or more of the issued shares of any class or series of Canada Bread, and (2) more than 50% of the fair market value of the Common Shares was derived directly or indirectly from one or any combination of: (i) real or immovable properties situated in Canada; (ii) "Canadian resource properties" (as defined in the Tax Act); (iii) "timber resource properties" (as defined in the Tax Act); and (iv) options in respect of, or interests in, or for civil law rights in, property in any of the foregoing whether or not the property exists. Notwithstanding the foregoing, in certain circumstances set out in the Tax Act, the Common Shares could be deemed to be taxable Canadian property.

In the case of a Non-Resident Shareholder that is a resident of the United States and that is a "qualifying person" for purposes of the *Canada-U.S. Income Tax Convention* (the "**U.S. Treaty**"), any gain realized by the Non-Resident Shareholder on a disposition of Common Shares that would otherwise be subject to tax under the Tax Act will be exempt from tax pursuant to the U.S. Treaty provided that the value of such shares is not derived principally from real property situated in Canada (as defined in the U.S. Treaty).

Non-Resident Shareholders whose Common Shares may constitute taxable Canadian property should consult their own tax advisors for advice having regard to their particular circumstances.

Dissenting Shareholders

A Non-Resident Shareholder who, as a result of the exercise of Dissent Rights, disposes of Common Shares to the Purchaser in consideration for a cash payment from the Purchaser, will be considered to realize a capital gain or capital loss as discussed above under the heading "*Shareholders Resident in Canada – Dissenting Shareholders*". The same general considerations apply as discussed above under the heading "*Shareholders Not Resident in Canada – Disposition of Common Shares for the Consideration*" in determining whether a capital gain will be subject to tax under the Tax Act. Any interest awarded to the Non-Resident Shareholder by the Court will not be subject to withholding tax under the Tax Act, unless such interest constitutes "participating debt interest" (as defined in the Tax Act).

INFORMATION CONCERNING CANADA BREAD

Canada Bread is a leading manufacturer and marketer of value-added flour based products, including fresh bread, rolls and bagels and frozen partially baked or par-baked breads and bagels with operations in Canada, the United States and the United Kingdom. The Company markets products under a number of leading brand names, including Dempster's®, Olafson's, POM® and Ben's®. The Company is over 90% owned by Maple Leaf.

Market Price and Trading Volume Data

The Common Shares are listed for trading on the TSX under the symbol "CBY". The following table shows the market prices and volumes of trading of the Common Shares on the TSX since March 2013:

Period	High	Low	Volume
	$	$	
March 2013	51.98	49.90	33,337
April 2013	54.27	48.50	19,356
May 2013	57.56	53.50	39,326
June 2013	58.75	55.61	16,796
July 2013	61.24	58.05	18,583
August 2013	60.96	57.50	28,335
September 2013	60.25	57.50	17,090
October 2013	73.51	58.50	234,965
November 2013	76.00	69.53	30,784
December 2013	81.66	68.50	220,301
January 2014	73.10	65.00	129,456
February 2014	72.71	66.78	449,532
March 2014(1)	72.60	72.01	30,282

Notes:
(1) Until March 5, 2014.

The closing price of the Common Shares on the TSX on October 18, 2013, the last trading day preceding the announcement of Maple Leaf's intention to potentially sell its interest in Canada Bread, was $61.25. The closing price of the Common Shares on the TSX on February 11, 2014, the last trading day preceding the announcement of the entering into of the Arrangement Agreement, was $67.26.

Previous Distributions

The Company has not distributed Common Shares during the five years preceding the Arrangement Agreement.

Dividend Policy

The declaration and payment of dividends is at the discretion of the Board. The Board has sought to maintain a stable dividend policy and, where appropriate, change the dividend on the basis of the Company's estimated earnings and projected cash requirements. During each of the fiscal years ended December 31, 2010, the Company declared an aggregate yearly dividend of $0.24 per Common Share, payable quarterly. For the first quarter of 2011, a dividend of $0.06 per Common Share was declared; for each of the remaining three quarters of 2011, an increased dividend of $0.20 per Common Share was declared. For the first quarter of 2012, a dividend of $0.20 per Common Share was declared; for each of the remaining three quarters of 2012, an increased dividend of $0.50 per Common Share was declared. For each quarter in 2013, a dividend of $0.50 per Common Share was declared. On December 17, 2013, the Board declared a special dividend payment of $8.00 per Common Share, payable on January 6, 2014 to Shareholders of record on December 30, 2013.

On February 26, 2014, the Company declared a dividend of $0.75 per Common Share payable on April 1, 2014 to Shareholders of record at the close of business on March 7, 2014. The Company intends to continue to pay quarterly dividends of $0.75 per Common Share and, in connection with the closing of the Arrangement, the Company intends to pay the Effective Date Stub Dividend.

OTHER INFORMATION

Other Matters

Management of Canada Bread is not aware of any matters to come before the Meeting other than as set forth in the Notice of Meeting that accompanies this Circular. If any other matter properly comes before the Meeting, it is the intention of the persons named in the enclosed form of proxy to vote the Common Shares represented thereby in accordance with their best judgment on such matter.

Auditor

The auditor of the Company is KPMG LLP.

Additional Information

Additional information relating to the Company can be found on SEDAR at www.sedar.com. Financial information is provided in the Company's audited consolidated financial statements and Management's Discussion and Analysis for the fiscal year ended December 31, 2013, which can be found on SEDAR at www.sedar.com, together with the Company's other public disclosure, as well as on the Company's website at www.canadabread.ca. Shareholders may also contact Dianne Singer, Assistant Corporate Secretary, by email at corporate.secretary@mapleleaf.com to request copies of these documents.

INTERESTS OF INFORMED PERSONS IN MATERIAL TRANSACTIONS

Interests of Certain Persons in the Arrangement

In considering the recommendation of the Board with respect to the Arrangement, Shareholders should be aware that certain Directors and senior officers of Canada Bread have certain interests in connection with the Arrangement that may present them with actual or potential conflicts of interest in connection with the Arrangement as set forth in more detail below.

Directors

The Directors hold, in the aggregate, 13,030 Common Shares, representing approximately 0.05% of the Common Shares outstanding on the Record Date. All of the Common Shares held by the Directors will be treated in the same fashion under the Arrangement as Common Shares held by every other Shareholder. For a discussion of the Consideration to be received for Common Shares under the Arrangement, see "*The Arrangement – Principal Steps of the Arrangement*".

Consistent with standard practice in similar transactions, in order to ensure that the Directors do not lose or forfeit their protection under liability insurance policies or indemnity rights maintained by Canada Bread, the Arrangement Agreement provides for the maintenance of such protection for six years. See "*Indemnification and Insurance*" below.

The following table sets out the number of Common Shares beneficially owned by, or for which control or direction is exercised by, the Directors and that are known after reasonable enquiry to be owned, or over which control or direction is exercised, by their associates or affiliates:

Name	Common Shares	Percentage of the Outstanding Common Shares
William E. Aziz	1,430	0.006%
Sarah A. Everett	1,600	0.006%
Richard A. Lan	3,500	0.013%
J. Scott McCain	0	0%
Michael H. McCain	0	0%
John F. Petch	1,500	0.006%
Michael Vels	5,000	0.019%
Total	**13,030**	**0.05%**

In addition to serving as Directors, Richard Lan is the Chief Operating Officer, Foods Group of Maple Leaf, J. Scott McCain is the President and Chief Operating Officer, Agribusiness Group of Maple Leaf, Michael McCain is the President and Chief Executive Officer of Maple Leaf and Michael Vels is the Executive Vice-President and Chief Financial Officer of Maple Leaf.

Senior Officers

The current responsibility for the general management of Canada Bread is held and discharged by the senior officers of the Company. The following table sets out the senior officers of the Company, along with the number of Common Shares beneficially owned by, or for which control or direction is exercised by, such senior officers and that are known after reasonable enquiry to be owned, or over which control or direction is exercised, by their associates or affiliates:

Name	Position	Common Shares	Percentage of the Outstanding Common Shares
Richard Lan	Director, President and Chief Executive Officer	3,500	0.013%
Michael Vels	Director, Chief Financial Officer	5,000	0.019%
Stephen L. Elmer	Vice President and Corporate Controller	0	0
Rocco Cappuccitti	Corporate Secretary	1,000	0.004%
C. Barry McLean	President, Fresh Bakery	3,000	0.012%
Glen J. Sivec	Vice President Finance, Fresh Bakery	0	0
Daniel J. Curtin	President, Frozen Bakery	0	0
Bretton L. Hill	Vice President Finance Maple Leaf Frozen Bakery North America	0	0
Connie Morrison	Senior Vice President Marketing, Fresh Bakery	0	0
Cliff Irwin	President, Maple Leaf Bakery UK	0	0
Lynda Kuhn	Vice President, Investor and Public Relations	0	0
Jeremy Roberts	Vice President and Treasurer	0	0
Dianne Singer	Assistant Corporate Secretary	0	0
Total		12,500	0.048%

The executive officers of Canada Bread, in the aggregate, hold 12,500 Common Shares representing approximately 0.048% of the Common Shares outstanding on the Record Date. All of the Common Shares held by the executive officers of Canada Bread will be treated in the same fashion under the Arrangement as Common Shares held by every other Shareholder. For a discussion of the Consideration to be received for Common Shares under the Arrangement, see "*The Arrangement – Principal Steps of the Arrangement*".

In addition to serving as officers of the Company, Richard Lan is the Chief Operating Officer, Foods Group of Maple Leaf, Michael Vels is the Executive Vice-President and Chief Financial Officer of Maple Leaf, Stephen L. Elmer is the Vice President and Corporate Controller of Maple Leaf, Rocco Cappuccitti is the Senior Vice President and Corporate Secretary of Maple Leaf, Lynda Kuhn is the Senior Vice President, Communications of Maple Leaf, Jeremy Roberts is the Vice President and Treasurer of Maple Leaf and Dianne Singer is the Assistant Corporate Secretary of Maple Leaf.

Pursuant to the Arrangement Agreement, a "change of control" will be deemed to have occurred immediately prior to the completion of the Arrangement, however, except as described herein, the Company does not have contracts of employment with any of its Directors or senior officers which specify benefits payable on termination of employment or change of control.

Certain of the officers listed in the above table (Messrs. McLean, Sivec, Curtin, Hill and Irwin and Miss Morrison) (collectively, the "**Retained Officers**") have entered into or have been offered the opportunity to enter into retention agreements with the Company, aimed at ensuring the Retained Officers would be able to perform their duties without distraction and addressing concerns regarding how a possible sale of the Company would affect their position with the Company. These retention agreements generally provide that the Retained Officers are entitled to receive severance pay ranging from 12-24 months of base pay, if within 18 months after the sale of the Company, the Retained Officer (a) is terminated without cause, or (b) terminates his or her own employment after the occurrence of certain events, including (i) a material reduction in the Retained Officer's responsibilities, (ii) a reduction in base salary, or (iii) a material reduction in benefits.

Additionally, the Retained Officers were selected to participate in an incentive plan based on the sale value of Canada Bread to ensure the Retained Officers had the financial motivation to seek to maximize the proceeds for all shareholders. The Retained Officers are entitled to a percentage of the total incentive pool, which is determined based on the total consideration to be received per Common Share, subject to certain adjustments. The size of the pool is not expected to exceed $4,500,000.

Certain of the officers listed in the above table (Messrs. Lan, Vels and Cappuccitti and Miss Kuhn) who are also officers of Maple Leaf are expected to participate in an incentive plan of Maple Leaf pursuant to which such officers (solely in their capacity as officers of Maple Leaf) may be entitled to receive compensation based on the sale value of Canada Bread. Any compensation under such plan will be made by Maple Leaf.

Indemnification and Insurance

The Company has agreed to purchase customary "tail" policies of directors' and officers' liability insurance providing protection no less favourable in the aggregate than the protection provided by the policies maintained by the Company which are in effect immediately prior to the Effective Date and providing protection in respect of claims arising from facts or events which occurred on or prior to the Effective Date and the Purchaser will, or will cause the Company to maintain such tail policies in effect without any reduction in scope or coverage for six years from the Effective Date; provided that the Purchaser will not be required to pay any amounts in respect of such coverage prior to the Effective Time and provided further that the Purchaser shall not be required, in order to maintain such "tail" policies, to pay annual premiums in excess of $250,000.

From and after the Effective Time, the Purchaser shall cause the Company and its subsidiaries to, indemnify and hold harmless, to the fullest extent permitted under applicable Law (and to also advance expenses as incurred to the fullest extent permitted under applicable Law), each present and former director and officer of the Company and its subsidiaries against any reasonable and documented costs or reasonable and documented expenses (including reasonable legal fees), or liabilities actually incurred in connection with any claim or proceeding, whether civil, criminal, administrative or investigative, arising out of or related to such person's service as a director or officer of the Company and/or any of its subsidiaries or services performed by such persons at the request of the Company and/or any of its subsidiaries at or prior to or following the Effective Time, whether asserted or claimed prior to, at or after the Effective Time, including the approval or completion of the Arrangement Agreement, the Arrangement or any of the other transactions contemplated by the Arrangement Agreement or arising out of or related to the Arrangement Agreement and the transactions contemplated thereby.

The Purchaser has agreed to honour all rights to indemnification or exculpation existing at the time of the Arrangement Agreement in favour of present and former officers and directors of the Company and its subsidiaries, and acknowledged that such rights will survive the completion of the Arrangement and continue in full force and effect for a period of at least six years from the Effective Date.

Interests of Certain Persons in Matters other than the Arrangement

At all relevant times, Maple Leaf owned over 90% of the outstanding Common Shares. In addition to serving as Directors, Richard Lan, who is also an officer of the Company, is the Chief Operating Officer, Foods Group of Maple Leaf, J. Scott McCain is the President and Chief Operating Officer, Agribusiness Group of Maple Leaf, Michael McCain is the President and Chief Executive Officer of Maple Leaf and Michael Vels, who is also an officer of the Company, is the Executive Vice-President and Chief Financial Officer of Maple Leaf. In addition to serving as officers of the Company, Stephen L. Elmer is the Vice President and Corporate Controller of Maple Leaf, Rocco Cappuccitti is the Senior Vice President and Corporate Secretary of Maple Leaf, Lynda Kuhn is the Senior Vice President, Communications of Maple Leaf, Jeremy Roberts is the Vice President and Treasurer of Maple Leaf and Dianne Singer is the Assistant Corporate Secretary of Maple Leaf.

For a description of the Transitional Services Agreement to be entered into between Maple Leaf and Canada Bread and the Non-Competition Agreement to be entered into between Maple Leaf and Grupo Bimbo and/or the Purchaser, see "*Other Agreements – Transitional Services Agreement*" and "*Other Agreements – Non-Competition Agreement*".

Except as disclosed herein, since the commencement of the Company's most recently completed financial year, no informed person of the Company, nominee for director or any associate or affiliate of an informed person or nominee had any material interest, direct or indirect, in any transaction or any proposed transaction which has materially affected or would materially affect the Company or any of its subsidiaries. An "informed person" means (i) a director or executive officer of the Company, (ii) a director or executive officer of a person or company that is itself an informed person or subsidiary of the Company, (iii) any person or company which beneficially owns, directly or indirectly, voting securities of the Company or who exercises control or direction over voting securities of the Company or a combination of both carrying more than 10% of the voting rights other than voting securities held by the person or company as underwriter in the course of a distribution, and (iv) the Company itself, if and for so long as it has purchased, redeemed or otherwise acquired any of its Common Shares.

LEGAL MATTERS

Certain Canadian legal matters in connection with the Arrangement will be passed upon by Stikeman Elliott LLP on behalf of Canada Bread. As of the date hereof, the partners and associates of Stikeman Elliott LLP as a group beneficially owned, directly or indirectly, less than one percent of the Common Shares.

APPROVAL OF DIRECTORS

The contents and sending of this Circular, including the Notice of Meeting, have been approved and authorized by the Board.

BY ORDER OF THE BOARD OF DIRECTORS

(*Signed*) "Jack Petch"

Jack Petch

Chair of the Special Committee
March 5, 2014

CONSENT OF CIBC WORLD MARKETS INC.

To: The Board of Directors and the Special Committee of the Board of Directors of Canada Bread Company, Limited.

We hereby consent to the references to our firm name and to the reference to our fairness opinion dated February 11, 2014 contained under the headings "*Summary – Reasons for the Arrangement*", "*Summary – Fairness Opinion*", "*The Arrangement – Background to the Arrangement*", "*The Arrangement – Reasons for the Arrangement*" and "*The Arrangement – Fairness Opinion*", and the inclusion of the text of our fairness opinion dated February 11, 2014 as Appendix "C" to the management information circular of Canada Bread Company, Limited dated March 5, 2014 (the "**Circular**") relating to the special meeting of shareholders to approve the Arrangement (as such term is defined in the Circular). Our fairness opinion was given as at February 11, 2014 and remains subject to the assumptions, qualifications and limitations contained therein. In providing our consent, we do not intend that any person other than the directors and the special committee of the board of directors of Canada Bread Company, Limited shall be entitled to rely upon our opinion.

(*Signed*) "**CIBC WORLD MARKETS INC.**"

CIBC World Markets Inc.
Toronto, Ontario
March 5, 2014

APPENDIX "A"

ARRANGEMENT RESOLUTION

BE IT RESOLVED THAT:

1. The arrangement (the "**Arrangement**") under Section 182 of the *Business Corporations Act* (Ontario) (the "**OBCA**") of Canada Bread Company, Limited (the "**Company**"), as more particularly described and set forth in the management information circular (the "**Circular**") dated March 5, 2014 of the Company accompanying the notice of this meeting (as the Arrangement may be amended, modified or supplemented in accordance with the definitive agreement (the "**Arrangement Agreement**") made as of February 11, 2014 between the Company and Grupo Bimbo, S.A.B. de C.V. which subsequently assigned its rights thereunder to Bimabel Canada Inc., a wholly-owned subsidiary of Grupo Bimbo, S.A.B. de C.V.), is hereby authorized, approved and adopted.

2. The plan of arrangement of the Company, the full text of which is set out in Appendix "B" to the Circular (as it has been or may be amended, modified or supplemented in accordance with its terms and the Arrangement Agreement (the "**Plan of Arrangement**")), is hereby authorized, approved and adopted.

3. The (i) Arrangement Agreement and related transactions, (ii) actions of the directors (and any committee thereof) of the Company in approving the Arrangement Agreement, and (iii) actions of the directors (and any committee thereof) and officers of the Company in executing and delivering the Arrangement Agreement, and any amendments, modifications or supplements thereto, are hereby ratified, authorized and approved.

4. The Company is hereby authorized to apply for a final order from the Ontario Superior Court of Justice (Commercial List) to approve the Arrangement on the terms set forth in the Arrangement Agreement and the Plan of Arrangement (as they may be amended, modified or supplemented in accordance with the Arrangement Agreement).

5. Notwithstanding that this resolution has been passed (and the Arrangement adopted) by the shareholders of the Company or that the Arrangement has been approved by the Ontario Superior Court of Justice (Commercial List), the directors of the Company are hereby authorized and empowered to, without further notice to or approval of the shareholders of the Company, (i) amend, modify or supplement the Arrangement Agreement or the Plan of Arrangement, to the extent permitted thereby; and (ii) subject to the terms of the Arrangement Agreement, not to proceed with the Arrangement and related transactions.

6. Any officer or director of the Company is hereby authorized and directed for and on behalf of the Company to execute, under the corporate seal of the Company or otherwise, and deliver or cause to be delivered, for filing with the OBCA Director, articles of arrangement and such other documents as are necessary or desirable to give effect to the Arrangement and the Plan of Arrangement in accordance with the Arrangement Agreement, such determination to be conclusively evidenced by the execution and delivery of such articles of arrangement and any such other documents.

7. Any officer or director of the Company is hereby authorized and directed for and on behalf of the Company to execute or cause to be executed, under the corporate seal of the Company or otherwise, and to deliver or cause to be delivered all such other documents and instruments and to perform or cause to be performed all such other acts and things as such person determines may be necessary or desirable to give full effect to the foregoing resolution and the matters authorized thereby, such determination to be conclusively evidenced by the execution and delivery of such document or instrument or the doing of any such act or thing.

APPENDIX "B"

PLAN OF ARRANGEMENT
UNDER SECTION 182 OF THE
BUSINESS CORPORATIONS ACT (ONTARIO)

ARTICLE I
DEFINITIONS AND INTERPRETATION

1.1 Definitions

In this Plan of Arrangement, unless there is something in the subject matter or context inconsistent therewith, and unless indicated otherwise, where used in this Plan of Arrangement, capitalized terms used but not defined shall have the meanings ascribed thereto in the Agreement and the following terms shall have the following meanings (and grammatical variations of such terms shall have corresponding meanings):

"**Agreement**" means the arrangement agreement made as of February 11, 2014 between the Company and Purchaser, including all schedules, as same may be amended, supplemented or restated in accordance with its terms providing for, among other things, the Arrangement;

"**Arrangement Resolution**" means the special resolution approving the Plan of Arrangement to be considered at the Company Meeting, substantially in the form and content of Schedule B attached to the Agreement, as it may be amended;

"**Dissent Rights**" shall have the meaning ascribed thereto in Section 3.1(a);

"**Dissenting Shareholder**" means a registered holder of Company Shares who has properly and validly dissented in respect of the Arrangement Resolution in strict compliance with the Dissent Rights, who has not withdrawn or been deemed to have withdrawn such dissent and who is ultimately determined to be entitled to be paid the fair value of its Company Shares, but only in respect of the Company Shares in respect of which Dissent Rights are validly exercised by such registered holder;

"**Effective Date**" means the date upon which the Arrangement becomes effective as established by the date shown on the Certificate of Arrangement;

"**Effective Time**" means the first moment in time in Toronto, Ontario on the Effective Date, or such other time as may be agreed to in writing by the Company and Purchaser prior to the Effective Date;

"**Holdco Agreement**" means the share purchase agreement and other ancillary documentation containing representations and warranties and covenants acceptable to Purchaser and the Company, each acting reasonably, to be entered into by each Qualifying Holdco Shareholder, in a form consistent with Section 2.12 of the Agreement;

"**Holdco Share Consideration**" means, in respect of each Holdco Share of a Qualifying Holdco, (i) the Consideration multiplied by the number of Company Shares held by such Qualifying Holdco; divided by (ii) the aggregate number of Holdco Shares of such Qualifying Holdco that are issued and outstanding;

"**Holdco Shares**" means shares in the capital of a Qualifying Holdco, as described in Section 2.12(1) of the Agreement;

"**Letter of Transmittal**" means a letter of transmittal to be forwarded or made available by the Company to Subject Securityholders, in a form acceptable to Purchaser, acting reasonably, for use by such Subject Securityholders in connection with the Arrangement as contemplated herein;

"**Notice of Dissent**" means a written notice provided by a registered holder of Company Shares to the Company setting forth such Company Shareholder's objection to the Arrangement Resolution and exercise of Dissent Rights;

"**Other Unpaid Dividends**" has the meaning ascribed thereto in Section 2.2(a);

"**Plan of Arrangement**" means this plan of arrangement and any amendments or variations thereto made in accordance with Section 5.2 of the Agreement or Section 5.2 of the Plan of Arrangement or made at the direction of the Court in the Final Order with the consent of the Company and Purchaser, each acting reasonably; and references to "Article" or "Section" mean the specified Article or Section of this Plan of Arrangement;

"**Purchase Price**" has the meaning ascribed thereto in Section 2.5;

"**Qualifying Holdco**" means a corporation that meets the conditions described in Section 2.12(1) of the Agreement and which beneficially and of record holds Company Shares;

"**Qualifying Holdco Dividend**" means the dividend which a Qualifying Holdco is permitted to pay to its Qualifying Holdco Shareholder of record immediately prior to the Effective Time in the aggregate amount of the Effective Date Stub Dividend and the Other Unpaid Dividends deemed to have been paid to such Qualifying Holdco pursuant to this Plan of Arrangement;

"**Qualifying Holdco Dividend Note**" has the meaning ascribed thereto in Section 2.2(b);

"**Qualifying Holdco Other Dividends Amount**" has the meaning ascribed thereto in Section 2.2(b);

"**Qualifying Holdco Shareholder**" means a person that meets the conditions described in Section 2.12(1) of the Agreement;

"**Qualifying Holdco Stub Dividend Amount**" has the meaning ascribed thereto in Section 2.2(b);

"**Securities**" means, as the context requires, the Company Shares or the Qualifying Holdco Shares, or any combination thereof; and

"**Subject Securityholders**" means, as the context requires, the Company Shareholders or the Qualifying Holdco Shareholders, or any combination thereof.

1.2 Number and Gender

In this Plan of Arrangement, unless the context otherwise requires, words importing the singular number include the plural and vice versa, and words importing any gender include all genders.

1.3 Interpretation Not Affected by Headings, etc.

The division of this Plan of Arrangement into Articles, Sections and other parts and the insertion of headings are for convenience only and shall not affect the construction or interpretation of this Plan of Arrangement.

1.4 Date for Any Action

If any period expires on a day which is not a business day or any event or condition is required by the terms of this Agreement to occur or to be fulfilled on a day which is not a business day, such period shall expire or such

event or condition shall be required to occur or be fulfilled, as the case may be, on the next succeeding day which is a business day.

1.5 Time

Time is of the essence in this Plan of Arrangement. All times expressed herein or in any Letter of Transmittal are local times (Toronto, Ontario) unless otherwise stipulated herein or therein.

1.6 Currency

Unless otherwise stated, all references in this Plan of Arrangement to sums of money are expressed in, and all payments provided for herein shall be made in Canadian dollars.

1.7 Statutory References

Unless otherwise expressly provided herein, references to a particular statute or law shall be to such statute or law and the rules, regulations and published policies made thereunder, as in force as at the date of the Agreement, and as the same may be amended, re-enacted, consolidated or replaced from time to time, and any successor statute or law thereto, unless otherwise expressly provided, supplements or supersedes any such statute or law or any such rule, regulation or policy.

ARTICLE II
THE ARRANGEMENT

2.1 Effectiveness

This Plan of Arrangement is made pursuant to, and is subject to the provisions of and forms part of, the Agreement. Subject to the terms of the Agreement, this Plan of Arrangement will become effective at the Effective Time and will be binding from and after the Effective Time on: (i) the Company; (ii) Purchaser; (iii) all registered holders and all beneficial owners of Company Shares; (iv) all registered holders and all beneficial owners of Holdco Shares; (v) the registrar and transfer agent in respect of the Company Shares; and (vi) the Depositary.

2.2 The Arrangement

Commencing at the Effective Time, the following shall occur and be deemed to occur in the following order (at ten minute intervals) with the actions described in Sections 2.2(c) through (e) occurring simultaneously without further act or formality:

(a) the Board of Directors shall be deemed to have declared and the Company shall pay the Effective Date Stub Dividend, and the Company shall pay any other dividends or distributions that have been declared on the Company Shares to holders of record of Company Shares prior to the Effective Time that have not been paid prior to the Effective Time ("**Other Unpaid Dividends**"), and each holder of record of Company Shares immediately prior to the Effective Time shall be paid the Effective Date Stub Dividend for each outstanding Company Share held of record immediately prior to the Effective Time, and each holder of record of Company Shares as at the relevant record date for any Other Unpaid Dividends shall be paid any such Other Unpaid Dividends. Such payments shall (i) in the case of the Effective Date Stub Dividend, other than in respect of Company Shares held by a Qualifying Holdco, be made upon the presentation and surrender by or on behalf of the holder to the Depositary of the certificate representing the Company Shares and a Letter of Transmittal as more fully described in

Section 2.3; (ii) in the case of the Effective Date Stub Dividend in respect of Company Shares held by a Qualifying Holdco, be deemed to have been paid to the Qualifying Holdco at the Effective Time, with the required funds being held by the Depositary on behalf of each Qualifying Holdco; and (iii) in respect of any Other Unpaid Dividends, be paid by the Company as soon as reasonably practicable after the Effective Time;

(b) each Qualifying Holdco Shareholder of record immediately prior to the Effective Time shall become entitled to the Qualifying Holdco Dividend, and the Qualifying Holdco shall pay such dividend to the Qualifying Holdco Shareholder of record immediately prior to the Effective Time by issuing a demand, non-interest bearing promissory note (the "**Qualifying Holdco Dividend Note**") to such Qualifying Holdco Shareholder with a principal amount equal to the amount of the Qualifying Holdco Dividend and with recourse limited, in respect of an amount equal to the aggregate amount of the Effective Date Stub Dividend deemed paid to the Qualifying Holdco pursuant to Section 2.2(a)(ii) (the "**Qualifying Holdco Stub Dividend Amount**"), to those amounts payable by the Depositary on behalf of the Qualifying Holdco in accordance with Section 2.5. Each Qualifying Holdco shall irrevocably direct the Depositary to pay, on behalf of such Qualifying Holdco, the Qualifying Holdco Stub Dividend Amount to the holder of a Qualifying Holdco Dividend Note issued by such Qualifying Holdco in full repayment of that portion of the Qualifying Holdco Dividend Note that is equal to Qualifying Holdco Stub Dividend Amount. Each Qualifying Holdco shall irrevocably direct the Company to pay, on behalf of such Qualifying Holdco, the amount of any Other Unpaid Dividends payable to the Qualifying Holdco pursuant to Section 2.2(a) (the "**Qualifying Holdco Other Dividends Amount**") to the holder of a Qualifying Holdco Dividend Note issued by such Qualifying Holdco in full repayment of that portion of the Qualifying Holdco Dividend Note that is equal to the Qualifying Holdco Other Dividends Amount;

(c) each Company Share in respect of which Dissent Rights have been validly exercised shall be transferred and deemed to be transferred by the holder thereof, without any further act or formality on its part, free and clear of all Encumbrances, to Purchaser, and each Dissenting Shareholder shall cease to have any rights as a holder of Company Shares other than the right to be paid the fair value of their Company Shares by Purchaser in accordance with Article III hereof, and the name of such holder will be removed from the register of holders of Company Shares (in respect of the Company Shares for which Dissent Rights have been validly exercised), and Purchaser shall be recorded as the registered holder of Company Shares so transferred and shall be deemed to be the legal and beneficial owner of such Company Shares free and clear of any Encumbrances, and at such time each Dissenting Shareholder shall have the rights set out in Section 3.1;

(d) each Holdco Share outstanding immediately prior to the Effective Time shall be transferred and deemed to be transferred by the holder thereof, without any further act or formality on its part, free and clear of all Encumbrances, to Purchaser, in accordance with the applicable Holdco Agreement, in exchange for a payment in cash equal to the Holdco Share Consideration, and such holder shall cease to be the holder of such Holdco Share so transferred and the name of such holder will be removed from the register of holders of Holdco Shares maintained in respect of the applicable Qualifying Holdco and Purchaser shall be recorded as the registered holder of the Holdco Shares so transferred and shall be deemed to be the legal and beneficial owner thereof, free and clear of any Encumbrances, and such payment shall be made upon the presentation and surrender by or on behalf of the holder to the Depositary of the certificate formerly representing Holdco Shares and a Letter of Transmittal as more fully described in Section 2.3; and

(e) each Company Share outstanding immediately prior to the Effective Time (other than (i) Company Shares held by Purchaser or any of its affiliates (which shall not be exchanged under the Arrangement and shall remain outstanding as a Company Share held by Purchaser or its affiliate, as the case may be); (ii) Company Shares held by Qualifying Holdcos, the Holdco Shares of which are acquired by Purchaser or any of its affiliates pursuant to Section 2.2(d) (which shall not be exchanged under the Arrangement and shall remain outstanding as a Company Share held by such Qualifying Holdco); and (iii) Company Shares acquired by Purchaser pursuant to Section 2.2(c)), shall be transferred

and deemed to be transferred by the holder thereof, without any further act or formality on its part, free and clear of all Encumbrances, to Purchaser in exchange for a payment in cash equal to the Consideration, and such holder shall cease to be the holder of such Company Share so transferred and the name of such holder will be removed from the register of holders of Company Shares and Purchaser shall be recorded as the registered holders of the Company Shares so transferred and shall be deemed to be the legal and beneficial owner thereof, free and clear of any Encumbrances, and such payment shall be made upon the presentation and surrender by or on behalf of the holder to the Depositary of the certificate formerly representing Company Shares and a Letter of Transmittal as more fully described in Section 2.3.

2.3 Letter of Transmittal

At the time of mailing the Company Circular or as soon as practicable thereafter, the Company shall forward to each Company Shareholder at the address of such Company Shareholder as it appears on the register maintained by or on behalf of the Company in respect of such Company Shareholders, the Letter of Transmittal and instructions for obtaining delivery of that portion of the Purchase Price payable to such Company Shareholder (or Qualifying Holdco Shareholder, if applicable) and of that portion of the Effective Date Stub Dividend payable to such Company Shareholder following the Effective Date pursuant to this Plan of Arrangement.

2.4 Determination of Effective Date Stub Dividend

(a) On the date that is two business days prior to the anticipated Effective Date, the Board of Directors shall cause to be prepared and delivered to Purchaser and the Depositary a statement setting forth the amount of the Effective Date Stub Dividend per Company Share as of such anticipated Effective Date, and the Company shall issue a press release announcing the same.

(b) In the event the Effective Date does not occur on the anticipated Effective Date described in Section 2.4(a) (or any successive anticipated Effective Date under this Section 2.4(b)), the Board of Directors shall cause to be prepared and delivered to Purchaser and the Depositary, as soon as reasonably practicable prior to the new anticipated Effective Date, a revised statement setting forth the amount of the Effective Date Stub Dividend per Company Share as of the new anticipated Effective Date, and the Company shall issue a press release announcing the same. Any revised statement setting the amount of the Effective Date Stub Dividend per Company Share delivered pursuant to this Section 2.4(b) shall supersede any prior statements delivered pursuant to Section 2.4(a) or this Section 2.4(b) which shall be of no further force or effect.

2.5 Delivery of Purchase Price and Other Payments

Prior to the Effective Date (i) Purchaser shall deposit, or arrange to be deposited, the money required to be deposited with the Depositary for the payment of the aggregate Consideration and the aggregate Holdco Share Consideration (collectively, the "**Purchase Price**") for the Company Shares and Holdco Shares acquired pursuant to Section 2.2 (with the amount per Company Share in respect of which Dissent Rights have been exercised being deemed to be the Consideration per applicable Company Share for this purpose) for the benefit of the Subject Securityholders entitled to receive the Consideration or Holdco Share Consideration for each Company Share or Holdco Share held by them in a special account with the Depositary to be paid to or to the order of the respective former Subject Securityholder without interest; and (ii) the Company shall deposit the money required for payment of the Effective Date Stub Dividend for the benefit of the Company Shareholders (and, in respect of any Company Shareholder that is a Qualifying Holdco, for the benefit of holders of a Qualifying Holdco Dividend Note) in a special account with the Depositary to be paid to or to the order of the respective former Company Shareholders without interest. All such money shall be cash, denominated in

Canadian dollars in same day funds. Such money shall not be used for any purpose except as provided in this Plan of Arrangement. Such payment to or to the order of the aforesaid former Subject Securityholder shall be made on presentation and surrender to the Depositary of the certificate(s) representing the Securities which were acquired by Purchaser pursuant to Section 2.2, and a duly completed Letter of Transmittal and such other documents and instruments, if any, as the Depositary may reasonably require. Upon surrender to the Depositary for transfer to Purchaser of a certificate or other instrument which immediately prior to the Effective Time represented Securities in respect of which the Subject Securityholder is entitled to receive cash under the Arrangement, and a duly completed Letter of Transmittal, and such other documents and instruments as would have been required to effect the transfer of the Securities formerly represented by such certificate under the OBCA and the by-laws of the Company or the Qualifying Holdco, as applicable, and such additional documents and instruments as the Depositary may reasonably require, such former Subject Securityholder shall be entitled to receive in exchange therefor (or in full or partial repayment of a Qualifying Holdco Dividend Note, as applicable), and as soon as practicable after the Effective Time the Depositary shall deliver to such holder, by cheque (or, if required by applicable laws, a wire transfer) the amount of cash such former Subject Securityholder is entitled to receive in respect of the Consideration or the Holdco Share Consideration, as applicable, and the Effective Date Stub Dividend or that portion of the Qualifying Holdco Dividend Note that is equal to the amount of the Qualifying Holdco Stub Dividend Amount, as applicable, under the Arrangement. If at the Effective Time, there are no Other Unpaid Dividends payable to a Qualifying Holdco and the principal amount of the Qualifying Holdco Dividend Note issued by such Qualifying Holdco to the applicable Qualifying Holdco Shareholder is equal to the Qualifying Holdco Stub Dividend Amount, the Qualifying Holdco Shareholder shall surrender such Qualifying Holdco Dividend Note to the Depositary together with the Letter of Transmittal, the certificates or other instrument which immediately prior to the Effective Time represented the Qualifying Holdco Shares in respect of which the Qualifying Holdco Shareholder is entitled to receive cash under the Arrangement. If at the Effective Time, there are Other Unpaid Dividends payable to a Qualifying Holdco and the principal amount of any Qualifying Holdco Dividend Note issued by such Qualifying Holdco to the applicable Qualifying Holdco Shareholder is equal to the aggregate of the Qualifying Holdco Stub Dividend Amount and the Qualifying Holdco Other Dividends Amount, the Qualifying Holder Shareholder shall surrender such Qualifying Dividend Note to the Qualifying Holdco immediately after the later of (y) receipt from the Depositary of the Qualifying Holdco Stub Dividend Amount; and (z) receipt from the Qualifying Holdco of the Qualifying Holdco Other Dividends Amount. In the event of a transfer of ownership of Company Shares that was not registered in the securities register of the Company, the amount of cash payable for such Company Shares under the Arrangement may be delivered to the transferee if the certificate representing such Company Shares is presented to the Depositary as provided above, accompanied by all documents required to evidence and effect such transfer and to evidence that any applicable Company Share transfer Taxes have been paid. Subject to the rights of Dissenting Shareholders set out in this Plan of Arrangement, the right of each former Subject Securityholder to receive an amount of cash under this Arrangement (other than amounts in respect of Other Unpaid Dividends, but including any payments in respect of the Effective Date Stub Dividend and any repayment of that portion of a Qualifying Holdco Dividend Note representing the Qualifying Holdco Stub Dividend Amount) shall be satisfied only out of the amounts deposited with the Depositary and payable by the Depositary pursuant to this Section 2.5, and no such former holder of Company Shares, Qualifying Holdco Shares, or Qualifying Holdco Dividend Note shall have any further right or claim (other than in respect of Other Unpaid Dividends or that portion of a Qualifying Holdco Dividend Note representing Other Unpaid Dividends) as against Purchaser, the Company, a Qualifying Holdco or any of their respective successors. Any interest on such deposit shall belong to Purchaser.

2.6 Expiration of Rights

Any amounts deposited with the Depositary for the payment of the Purchase Price or other amounts to Subject Securityholders pursuant to Section 2.2 which remain unclaimed on the date which is three years less a day from the Effective Date shall be forfeited to Purchaser and paid over to or as directed by Purchaser and the former Subject Securityholder shall thereafter have no right to receive their respective entitlement to the Purchase Price or the payments pursuant to Section 2.2, as applicable.

2.7 Dividends and Distributions

No dividend or other distribution declared or made after the Effective Time with respect to the Company Shares with a record date after the Effective Time shall be delivered to the holder of any unsurrendered certificate which, immediately prior to the Effective Time, represented outstanding Company Shares.

2.8 Transfers Free and Clear

Any transfer of Securities pursuant to this Plan of Arrangement shall be free and clear of any Encumbrances.

ARTICLE III
RIGHTS OF DISSENT

3.1 Dissent Rights

(a) Each registered holder of Company Shares may exercise rights of dissent with respect to its Company Shares pursuant to and in the manner set forth in section 185 of the OBCA as modified by the Interim Order and this Section 3.1 (the "**Dissent Rights**"); provided that notwithstanding: (i) section 185(6) of the OBCA, a Notice of Dissent is received by the Company by no later than 5:00 p.m. (Toronto time) on the business day that is two business days prior to the date of the Company Meeting, or, if the Meeting is adjourned or postponed, 5:00 p.m. (Toronto time) on the business day that is two business days preceding the date of such adjourned or postponed Company Meeting; and (ii) section 185(4) of the OBCA, Purchaser and not the Company shall be required to offer and pay the fair value for the Company Share held by a holder who duly exercised Dissent Rights and to pay the amount to which such holder is entitled.

(b) Company Shareholders who duly and validly exercise their Dissent Rights shall be deemed as of the Effective Time to have transferred their Company Shares, without any further act or formality on their part, free and clear of all Encumbrances, to Purchaser as provided in Section 2.2(c), and such Company Shareholders who: (i) are ultimately determined to be entitled to be paid fair value for their Company Shares shall be entitled to a payment of cash by Purchaser, in consideration for the transfer of such Company Shares, equal to such fair value, which fair value, notwithstanding anything to the contrary in the OBCA, shall be determined as of the close of business on the day before the Arrangement Resolution is adopted, and will not be entitled to any other payment or consideration, including any payment (including the Effective Date Stub Dividend) that would be payable under the Arrangement in respect of such Company Shares had such Company Shareholders not exercised their Dissent Rights, payable to holders of record of Company Shares as of the Effective Time; or (ii) are ultimately determined not to be entitled, for any reason, to be paid fair value for their Company Shares shall be deemed to have participated in the Arrangement, as at the Effective Time, on the same basis as a non-dissenting holder of Company Shares in accordance with Section 2.2(e).

(c) In addition to any other restrictions under section 185 of the OBCA, Company Shareholders who vote or have instructed a proxyholder to vote such Company Shares in favour of the Arrangement Resolution (but only in respect of such Company Shares) shall not be entitled to exercise Dissent Rights in respect of such Company Shares.

(d) In no circumstances shall the Company, Purchaser, the Depositary, the registrar and transfer agent in respect of the Company Shares or any other person be required to recognize a person exercising Dissent Rights unless such person is the registered holder of those Company Shares in respect of which such rights are sought to be exercised.

(e) In no case shall the Company, Purchaser, the Depositary, the registrar and transfer agent in respect of the Company Shares or any other person be required to recognize a Dissenting Shareholder as a holder of Company Shares after the Effective Time and the name of each Dissenting Shareholder shall be deleted from the registers of Company Shareholders as at the Effective Time as provided in Article II.

ARTICLE IV
CERTIFICATES

4.1 Certificates

From and after the Effective Time, until surrendered as contemplated by Section 2.5, each certificate formerly representing Securities that, under the Arrangement, was transferred or deemed to be transferred to Purchaser in return for cash pursuant to Section 2.2, shall represent and be deemed, at all times after the Effective Time, to represent only the right to receive upon such surrender a cash payment in lieu of such certificate as contemplated in Section 2.2 and Section 2.5 of this Plan of Arrangement.

4.2 Lost Certificates

In the event that any certificate which immediately prior to the Effective Time represented one or more outstanding Company Shares that was sold and transferred to Purchaser pursuant to Section 2.2 shall have been lost, stolen or destroyed, upon the making of an affidavit of that fact by the person claiming such certificate to be lost, stolen or destroyed, the Depositary will pay such person the cash that such person would have been entitled to had such share certificate not been lost, stolen or destroyed. When authorizing such payment in exchange for any lost, stolen or destroyed certificate, the person to whom cash is to be paid shall, as a condition precedent to the delivery of such payment, give a bond reasonably satisfactory to Purchaser in such sum as Purchaser may direct or otherwise indemnify the Depositary and Purchaser in a manner reasonably satisfactory to each of them against any claim that may be made against the Depositary, Purchaser or the Company with respect to the certificate alleged to have been lost, stolen or destroyed.

ARTICLE V
GENERAL

5.1 Paramountcy

From and after the Effective Time (i) this Plan of Arrangement shall take precedence and priority over any and all Securities or Qualified Holdco Notes issued prior to the Effective Time, (ii) the rights and obligations of the registered holders of Securities or Qualified Holdco Notes and of the Company, Purchaser, the Depositary and any trustee or transfer agent therefor in relation thereto, shall be solely as provided for in this Plan of Arrangement, and (iii) except in respect of Dissent Rights, all actions, causes of action, claims or proceedings (actual or contingent and whether or not previously asserted) based on or in any way relating to any Securities or Qualified Holdco Notes shall be deemed to have been settled, compromised, released and determined without liability except as set forth herein.

5.2 Amendment

(1) Subject to this Section 5.2, the Company and Purchaser reserve the right to amend, modify and/or supplement this Plan of Arrangement at any time and from time to time prior to the Effective Date, provided that any such amendment, modification and/or supplement must be contained in a written document which is (i) agreed to in writing by the Company and Purchaser, (ii) if necessary, filed with

the Court and, if made following the Company Meeting, approved by the Court subject to such conditions as the Court may impose, and (iii) if so required by the Court, communicated to Company Shareholders in the manner as required by the Court.

(2) Any amendment, modification or supplement to this Plan of Arrangement may be proposed by the Company at or any time prior to the Effective Date (provided that Purchaser shall have consented thereto in writing), provided that it concerns a matter which, in the reasonable opinion of the Company, is of an administrative nature required to better give effect to the implementation of this Plan of Arrangement and is not adverse to the economic interests of any Subject Securityholder.

(3) Any amendment, modification or supplement to this Plan of Arrangement may be proposed by the Company at any time prior to or at the Company Meeting (provided that Purchaser shall have consented thereto in writing), with or without any prior notice or communication, and if so proposed and approved by the persons voting at the Company Meeting (other than as may be required under the Interim Order), shall become part of this Plan of Arrangement for all purposes.

(4) Any amendment, modification and/or supplement to this Plan of Arrangement that is approved or directed by the Court following the Company Meeting shall be effective only if (i) it is agreed to by each of the Company and Purchaser (in each case acting reasonably), (ii) it is filed with the Court (other than amendments contemplated in Section 5.2(2), which shall not require such filing), and (iii) if required by the Court, it is approved by holders of the Company Shares voting in the manner directed by the Court.

5.3 Further Assurances

Notwithstanding that the transactions and events set out in this Plan of Arrangement shall occur and be deemed to have occurred in the order set out herein, without any further act or formality, each of the parties to the Agreement shall make, do and execute, or cause to be made, done and executed, all such further acts, deeds, agreements, transfers, assurances, instruments or documents as may reasonably be required by any of them in order to implement this Plan of Arrangement and to further document or evidence any of the transactions or events set out herein.

5.4 Withholding Rights

Notwithstanding anything in the Agreement or this Plan of Arrangement to the contrary, the Company, the Depositary, Purchaser or one or more affiliates or subsidiaries of Purchaser, as the case may be, shall be entitled to deduct and withhold from any amount otherwise payable pursuant to this Plan of Arrangement to any Subject Securityholder such amounts as are required to be deducted and withheld with respect to the making of such payment under the Tax Act or any provision of applicable local, state, provincial or foreign Tax Law, in each case, as amended, or the administrative practice of the relevant Governmental Entity administering such Law. To the extent that amounts are so withheld, such withheld amounts shall be treated for all purposes of this Plan of Arrangement as having been paid to the former Subject Securityholder in respect of which such deduction and withholding was made, provided that such withheld amounts are actually remitted to the appropriate Governmental Entity within the time required by and in accordance with applicable Laws.

APPENDIX "C"

FAIRNESS OPINION OF CIBC WORLD MARKETS



CIBC World Markets Inc.
Brookfield Place,
161 Bay Street, 6th Floor
Toronto, ON M5J 2S8

Tel : (416) 594-7000

February 11, 2014

The Special Committee of the Board of Directors and the Board of Directors of Canada Bread Company, Limited
10 Four Seasons Place, 10th Floor
Etobicoke, Ontario
M9B 6H7

To the Special Committee of the Board of Directors and the Board of Directors:

CIBC World Markets Inc. ("CIBC", "we" or "us") understands that Canada Bread Company, Limited ("Canada Bread" or the "Company") is proposing to enter into an arrangement agreement (the "Arrangement Agreement") with Grupo Bimbo, S.A.B. de C.V. (the "Purchaser" or "Grupo Bimbo") providing for, among other things, the acquisition (the "Proposed Transaction") by the Purchaser of all of the outstanding common shares (the "Shares") of the Company.

We understand that pursuant to the Arrangement Agreement:

a) the Purchaser will acquire each of the issued and outstanding Shares of the Company for cash consideration of $72.00 per Share (the "Consideration");

b) Canada Bread is permitted to continue to pay quarterly dividends of up to $0.75 per Share (a $0.25 per Share increase from the current quarterly dividend of $0.50 per Share) until the closing of the Proposed Transaction (pro-rated for the actual number of days in the quarter in which the Proposed Transaction closes);

c) the Proposed Transaction will be effected by way of a plan of arrangement under Section 182 of the Business Corporations Act (Ontario);

d) the completion of the Proposed Transaction will be conditional upon, among other things, approval by at least 66 2/3% of the votes cast by the shareholders of Canada Bread who are present in person or represented by proxy at a special meeting (the "Special Meeting") of such shareholders and the approval of the Ontario Superior Court of Justice (Commercial List); and

e) the terms and conditions of the Proposed Transaction will be described in a management information circular of the Company and related documents (the "Circular") that will be mailed to the shareholders of the Company ("Shareholders") in connection with the Special Meeting.

Engagement of CIBC

By letter agreement dated October 18, 2013 (the "Engagement Agreement"), the Special Committee of the Board of Directors of the Company (the "Special Committee") retained CIBC to act as financial advisor to the Special Committee in connection with the Proposed Transaction. Pursuant to the Engagement Agreement, the Special Committee has requested that CIBC prepare and deliver to it our written opinion (the "Opinion") as to the fairness, from a financial point of view, of the Consideration to be received by minority Shareholders pursuant to the Arrangement Agreement.

CIBC will be paid a fee for rendering the Opinion which is not contingent upon the completion of the Proposed Transaction. The Company has also agreed to reimburse CIBC for its reasonable out-of-pocket expenses and to indemnify CIBC in respect of certain liabilities that might arise out of our engagement.

Credentials of CIBC

CIBC is one of Canada's largest investment banking firms with operations in all facets of corporate and government finance, mergers and acquisitions, equity and fixed income sales and trading and investment research. The Opinion expressed herein is the opinion of CIBC and the form and content herein have been approved for release by a committee of its managing directors and internal counsel, each of whom is experienced in merger, acquisition, divestiture and valuation matters.

Scope of Review

In connection with rendering our Opinion, we have reviewed and relied upon, among other things, the following:

i) a draft dated February 10, 2014 of the Arrangement Agreement;

ii) a draft dated February 10, 2014 of the Business Separation and Transition Services Term Sheet between Maple Leaf Foods Inc. ("Maple Leaf") and Canada Bread;

iii) a draft dated February 10, 2014 of the Voting Support Agreement between Maple Leaf and Grupo Bimbo;

iv) the Grupo Bimbo offer letter dated January 24, 2014 and revised offer letter dated February 3, 2014;

v) the bid and process summary document provided by Maple Leaf's financial advisors, dated February 3, 2014;

vi) the Canada Bread Confidential Information Memorandum dated October, 2013;

vii) the Canada Bread Management Presentation dated November, 2013;

viii) attendance at a Canada Bread Management presentation in November, 2013;

ix) certain financial, operations, corporate and other information with respect to Canada Bread that was prepared or provided by management of Canada Bread or Maple Leaf, including financial models, certain other internal operating and financial projections, and investor presentations;

x) the Canada Bread annual financial statements, including management's discussion and analysis thereon and the annual information form for the fiscal years ended December 31, 2010, 2011 and 2012;

xi) Canada Bread's management information circular dated March 25, 2013;

xii) the interim report, including the comparative unaudited financial statements of the Company for the nine months ended September 30, 2013;

xiii) unaudited draft annual financial performance reports for 2013;

xiv) a draft dated December, 2013 of the Pre-sale Quality of Earnings Analysis Assistance report prepared by KPMG;

xv) select reports published by equity research analysts and other industry sources regarding Canada Bread and select other Canadian, North American and European bakery companies;

xvi) selected financial statistics and relevant financial, operating and market information with respect to select other Canadian, North American and European bakery companies;

xvii) selected financial statistics and relevant financial and market information with respect to precedent transactions;

xviii) a certificate addressed to us, dated as at the date hereof, from two senior officers of the Company, as to the completeness and accuracy of the Information (as defined below); and

xix) such other information, analysis, investigations, and discussions as we considered necessary or appropriate in the circumstances.

In addition, we have participated in discussions with the management team, legal counsel and financial advisors of Canada Bread and Maple Leaf regarding Canada Bread's past and current business operations, financial condition and future prospects, as well as the Proposed Transaction, the Arrangement Agreement and related matters.

Assumptions and Limitations

Our Opinion is subject to the assumptions, qualifications and limitations set forth below.

We have not been asked to prepare and have not prepared a formal valuation or appraisal of any of the assets or securities of the Company, the Purchaser or any of their respective affiliates and our Opinion should not be construed as such.

With your permission, we have relied upon, and have assumed the completeness, accuracy and fair presentation of all financial and other information, data, advice, opinions and representations obtained by us from public sources, or provided to us by the Company or its affiliates or advisors or otherwise obtained by us pursuant to our engagement, and our Opinion is conditional upon such completeness, accuracy and fair presentation. We have not been requested to or attempted to verify independently the accuracy, completeness or fairness of presentation of any such information, data, advice, opinions and representations. We have not met separately with the independent auditors of the Company in connection with preparing this Opinion and with your permission, we have assumed the accuracy and fair presentation of, and relied upon, the Company's audited financial statements and the reports of the auditors thereon, and the Company's interim unaudited financial statements.

With respect to the historical financial data, operating and financial forecasts and budgets provided to us concerning the Company and relied upon in our financial analyses, we have assumed that they have been reasonably prepared on bases reflecting the most reasonable assumptions, estimates and judgements of management of the Company, having regard to the Company's business, plans, financial condition and prospects.

We have also assumed that all of the representations and warranties contained in the Arrangement Agreement are correct as of the date hereof and that the Proposed Transaction will be completed substantially in accordance with its terms and all applicable laws and that the Circular will disclose all material facts relating to the Proposed Transaction and will satisfy all applicable legal requirements in all material respects.

The Company has represented to us, in a certificate of two senior officers of the Company dated the date hereof, among other things, that the information, data and other material (financial or otherwise) provided to us by or on behalf of the Company, including the written information and discussions concerning the Company referred to above under the heading "Scope of Review" (collectively, the "Information"), are complete and correct at the date the Information was provided to us and that, since the date on which the Information was provided to us, there has been no material change, financial or otherwise, in the financial condition, assets, liabilities (contingent or otherwise), business, operations or prospects of the Company or any of its subsidiaries and no material change has occurred in the Information or any part thereof which would have or which would reasonably be expected to have a material effect on the Opinion.

We are not legal, tax or accounting experts and we express no opinion concerning any legal, tax or accounting matters concerning the Proposed Transaction or the sufficiency of this letter for your purposes.

Our Opinion is rendered on the basis of securities markets, economic and general business and financial conditions prevailing as at the date hereof and the conditions and prospects, financial and otherwise, of the Company as they are reflected in the Information and as they were represented to us in our discussions with management of the Company and its affiliates and advisors. In our analyses and in connection with the preparation of our Opinion, we made numerous assumptions with respect to industry performance, general business, markets and economic conditions and other matters, many of which are beyond the control of any party involved in the Proposed Transaction.

The Opinion is being provided to the Special Committee and the Board of Directors of Canada Bread for their exclusive use only in considering the Proposed Transaction and may not be published, disclosed to any other person, relied upon by any other person, or used for any other purpose, without the prior written consent of CIBC. Our Opinion is not intended to be and does not constitute a recommendation to the Special Committee or the Board of Directors of Canada Bread as to whether they should approve the Arrangement Agreement nor as a recommendation to any Shareholder as to how to vote or act at the Special Meeting or as an opinion concerning the trading price or value of any securities of the Company or the Purchaser or any of their respective affiliates following the announcement or completion of the Proposed Transaction.

CIBC believes that its financial analyses must be considered as a whole and that selecting portions of its analyses and the factors considered by it, without considering all factors and analyses together, could create a misleading view of the process underlying the Opinion. The preparation of a fairness opinion is complex and is not necessarily susceptible to partial analysis or summary description and any attempt to carry out such could lead to undue emphasis on any particular factor or analysis.

The Opinion is given as of the date hereof and, although we reserve the right to change or withdraw the Opinion if we learn that any of the information that we relied upon in preparing the Opinion was inaccurate, incomplete or misleading in any material respect, we disclaim any obligation to change or withdraw the Opinion, to advise any person of any change that may come to our attention or to update the Opinion after the date of this Opinion.

Opinion

Based upon and subject to the foregoing and such other matters as we considered relevant, it is our opinion, as of the date hereof, that the Consideration to be received by Shareholders, other than Maple Leaf, pursuant to the Arrangement Agreement is fair, from a financial point of view, to Shareholders, other than Maple Leaf.

Yours very truly,

CIBC World Markets Inc.

APPENDIX "D"

COURT MATERIALS

Court File No. CV-14-10462-OOCL

ONTARIO
SUPERIOR COURT OF JUSTICE
(COMMERCIAL LIST)

IN THE MATTER OF AN APPLICATION UNDER SECTION 182 OF THE *BUSINESS CORPORATIONS ACT*, R.S.O. 1990, B.16, AS AMENDED, AND RULES 14.05(2) AND 14.05(3) OF THE *RULES OF CIVIL PROCEDURE*

AND IN THE MATTER OF A PROPOSED PLAN OF ARRANGEMENT INVOLVING CANADA BREAD COMPANY, LIMITED AND GRUPO BIMBO, S.A.B. DE C.V.

CANADA BREAD COMPANY, LIMITED

Applicant

NOTICE OF APPLICATION

TO THE RESPONDENT:

A LEGAL PROCEEDING HAS BEEN COMMENCED by the applicant. The claim made by the applicant appears on the following page.

THIS APPLICATION will come on for a hearing before a Judge presiding over the Commercial List on **April 8, 2014**, at **10:00 a.m.**, or as soon after that time as the application may be heard, at 330 University Avenue, Toronto, Ontario and thereafter as directed by the Court.

IF YOU WISH TO OPPOSE THIS APPLICATION, to receive notice of any step in the application or to be served with any documents in the application, you or an Ontario lawyer acting for you must forthwith prepare a notice of appearance in Form 38A prescribed by the Rules of Civil Procedure, serve it on the Applicant's lawyer or, where the applicant do not have a lawyer, serve it on the Applicant, and file it, with proof of service, in this court office, and you or your lawyer must appear at the hearing.

IF YOU WISH TO PRESENT AFFIDAVIT OR OTHER DOCUMENTARY EVIDENCE TO THE COURT OR TO EXAMINE OR CROSS-EXAMINE WITNESSES ON THE APPLICATION, you or your lawyer must, in addition to serving your notice of appearance, serve a copy of the evidence on the applicants' lawyer or, where the

applicant do not have a lawyer, serve it on the applicant, and file it, with proof of service, in the court office where the application is to be heard as soon as possible, but not later than 2 days before the hearing.

IF YOU FAIL TO APPEAR AT THE HEARING, JUDGMENT MAY BE GIVEN IN YOUR ABSENCE AND WITHOUT FURTHER NOTICE TO YOU. IF YOU WISH TO OPPOSE THIS APPLICATION BUT ARE UNABLE TO PAY LEGAL FEES, LEGAL AID MAY BE AVAILABLE TO YOU BY CONTACTING A LOCAL LEGAL AID OFFICE.

Date February 26th, 2014

Issued by _____ Natasha Brown Registrar
Local registrar

Address of court office: 330 University Avenue, Toronto, ON M5G 1R7

TO: ALL HOLDERS OF COMMON SHARES OF CANADA BREAD COMPANY, LIMITED

AND TO: ALL DIRECTORS OF CANADA BREAD COMPANY, LIMITED

AND TO: THE AUDITOR FOR CANADA BREAD COMPANY, LIMITED

AND TO: GRUPO BIMBO, S.A.B. DE C.V.

c/o **TORYS LLP**
79 Wellington Street West, 30th Floor
Box 270, TD Centre
Toronto, Ontario
M5K 1N2

Andrew Gray
Tel: (416) 865-7630
Fax: (416) 865-7380

Lawyers for Grupo Bimbo, S.A.B. de C.V.

APPLICATION

1. **THE APPLICANT MAKES APPLICATION FOR:**

   (a) An interim order (the "**Interim Order**") for advice and directions pursuant to section 182(5) of the *Business Corporations Act*, R.S.O. 1990, c. B. 16, as amended (the "**OBCA**"), with respect to an arrangement (the "**Arrangement**") arising out of a proposed transaction amongst Canada Bread Company, Limited ("**Canada Bread**") and Grupo Bimbo, S.A.B. De C.V. and its affiliates ("**Grupo Bimbo**") as described in the Canada Bread management information circular (the "**Circular**");

   (b) A final order approving the Arrangement pursuant to sections 182(3) and 182(5) of the OBCA; and

   (c) Such further and other relief as to this Honourable Court seems just.

2. **THE GROUNDS FOR THE APPLICATION ARE**:

   (a) Canada Bread is a corporation governed by the OBCA, with its registered office in Etobicoke, Ontario and its common shares are listed and traded on the Toronto Stock Exchange;

   (b) The Arrangement is an "arrangement" within the meaning of section 182(1) of the OBCA;

   (c) Section 182 of the OBCA;

   (d) All statutory requirements under section 182 and other applicable provisions of the OBCA either have been fulfilled or will be fulfilled by the return date of this Application;

   (e) Canada Bread wishes to effect a fundamental change in the nature of an arrangement under the provisions of the OBCA;

(f) The Arrangement is in the best interests of Canada Bread and is put forward in good faith;

(g) The Arrangement is fair and reasonable;

(h) The directions set forth in any Interim Order this Court may grant, and the securityholder approvals required, will be followed and obtained by the date of the return of this Application;

(i) Certain holders of common shares of Canada Bread are resident outside of Ontario and will be served at their addresses as they appear on the books and records of Canada Bread pursuant to Rules 17.02(n) and 17.02(o) of the *Rules of Civil Procedure* and the terms of any Interim Order for advice and directions granted by this Honourable Court;

(j) National Instrument 54-101 - *Communication with Beneficial Owners of the Securities of a Reporting Issuer* of the Canadian Securities Administrators;

(k) Rules 14.05, 17.02, 37 and 38 of the *Rules of Civil Procedure*; and

(l) Such further and other grounds as counsel may advise and this Honourable Court may permit.

3. **THE FOLLOWING DOCUMENTARY EVIDENCE WILL BE USED AT THE HEARING OF THE APPLICATION:**

(a) The Affidavit of Richard Lan on behalf of Canada Bread, to be sworn, and the exhibits thereto;

(b) A further or supplementary Affidavit to be sworn, and the exhibits thereto, on behalf of Canada Bread, reporting as to compliance with any Interim Order and the results of any meeting conducted pursuant to such Interim Order; and

(c) Such further and other materials as counsel may advise and this Honourable Court may permit.

February 26th, 2014

STIKEMAN ELLIOTT LLP
Barristers & Solicitors
5300 Commerce Court West
199 Bay Street
Toronto, Canada M5L 1B9

Alexander Rose LSUC#: 49415P
Tel: (416) 869-5261
Genna Wood LSUC#: 64287N
Tel: (416) 869-6852
Fax: (416) 947-0866

Lawyers for the Applicant

IN THE MATTER OF A PROPOSED PLAN OF ARRANGEMENT INVOLVING CANADA BREAD COMPANY, LIMITED AND GRUPO BIMBO, S.A.B. DE C.V.

Court File No. CV-14-10462-CCA

ONTARIO
SUPERIOR COURT OF JUSTICE
(COMMERCIAL LIST)
Proceeding Commenced at Toronto

NOTICE OF APPLICATION

STIKEMAN ELLIOTT LLP
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5300 Commerce Court West
199 Bay Street
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Lawyers for the Applicant

Court File No. CV-14-10462-00CL

ONTARIO
SUPERIOR COURT OF JUSTICE
COMMERCIAL LIST

THE HONOURABLE	)	WEDNESDAY, THE 5th
JUSTICE D. Brown	)	DAY OF MARCH, 2014

IN THE MATTER OF AN APPLICATION UNDER SECTION 182 OF THE *BUSINESS CORPORATIONS ACT*, R.S.O. 1990, B.16, AS AMENDED, AND RULES 14.05(2) AND 14.05(3) OF THE *RULES OF CIVIL PROCEDURE*

AND IN THE MATTER OF A PROPOSED PLAN OF ARRANGEMENT INVOLVING CANADA BREAD COMPANY, LIMITED AND GRUPO BIMBO, S.A.B. DE C.V.

CANADA BREAD COMPANY, LIMITED

Applicant

INTERIM ORDER

THIS MOTION made by the Applicant, Canada Bread Company, Limited ("**Canada Bread**"), for an interim order for advice and directions pursuant to section 182 of the *Business Corporations Act*, R.S.O. 1990, B. 16, as amended, (the "**OBCA**") was heard this day at 330 University Avenue, Toronto, Ontario.

ON READING the Notice of Motion, the Notice of Application issued on February 26, 2014 and the affidavit of Richard Lan sworn February 28, 2014, (the "**Lan Affidavit**"), including the Plan of Arrangement, attached as Appendix B to the draft management information circular of Canada Bread (the "**Circular**"), which is attached

as Exhibit A to the Lan Affidavit, and on hearing the submissions of counsel for Canada Bread and counsel for Grupo Bimbo S.A.B. de C.V. and its affiliates ("**Grupo Bimbo**");

Definitions

1. **THIS COURT ORDERS** that all definitions used in this Interim Order shall have the meaning ascribed thereto in the Circular or otherwise as specifically defined herein.

The Meeting

2. **THIS COURT ORDERS** that Canada Bread is permitted to call, hold and conduct a special meeting (the "**Meeting**") of the holders (the "**Shareholders**") of voting common shares (the "**Shares**") in the capital of Canada Bread to be held at the Toronto Board of Trade, East Ballroom, 77 Adelaide Street West, Toronto, Ontario on April 3, 2014 at 1:00 p.m. (Toronto time) in order for the Shareholders, either in person or by proxy, to consider and, if determined advisable, pass a special resolution authorizing, adopting and approving, with or without variation, the Arrangement and the Plan of Arrangement (collectively, the "**Arrangement Resolution**").

3. **THIS COURT ORDERS** that the Meeting shall be called, held and conducted in accordance with the OBCA, the notice of meeting of Shareholders, which accompanies the Circular (the "**Notice of Meeting**"), and the articles and by laws of Canada Bread, subject to what may be provided hereafter and subject to further order of this court.

4. **THIS COURT ORDERS** that the record date (the "**Record Date**") for determination of the Shareholders entitled to notice of, and to vote at, the Meeting shall be the close of business on March 3, 2014.

5. **THIS COURT ORDERS** that the only persons entitled to attend or speak at the Meeting shall be:

a) the Shareholders or their respective proxyholders;

b) the officers, directors, auditors and advisors of Canada Bread;

c) representatives and advisors of Grupo Bimbo; and

d) other persons who may receive the permission of the Chair of the Meeting.

6. **THIS COURT ORDERS** that Canada Bread may transact such other business at the Meeting as is contemplated in the Circular, or as may otherwise be properly before the Meeting.

Quorum

7. **THIS COURT ORDERS** that the Chair of the Meeting shall be determined by Canada Bread and that, in accordance with the by-laws of Canada Bread, quorum at the Meeting shall be met if the holders of at least one-third of the Shares entitled to vote at the meeting are present in person or represented by proxy at the opening of the Meeting.

Amendments to the Arrangement and Plan of Arrangement

8. **THIS COURT ORDERS** that Canada Bread is authorized to make, subject to the terms of the Arrangement Agreement, and paragraph 9, below, such amendments, modifications or supplements to the Arrangement and the Plan of Arrangement as it may determine without any additional notice to the Shareholders, or others entitled to receive notice under paragraph 12 hereof and the Arrangement and Plan of Arrangement, as so amended, modified or supplemented, shall be the Arrangement and Plan of Arrangement to be submitted to the Shareholders at the Meeting and shall

be the subject of the Arrangement Resolution. Amendments, modifications or supplements may be made following the Meeting, but shall be subject to review and, if appropriate, further direction by this Honourable Court at the hearing for the final approval of the Arrangement.

9. **THIS COURT ORDERS** that, if any amendments, modifications or supplements to the Arrangement or Plan of Arrangement as referred to in paragraph 8, above, would, if disclosed, reasonably be expected to affect a Shareholder's decision to vote for or against the Arrangement Resolution, notice of such amendment, modification or supplement shall be distributed, subject to further order of this Honourable Court, by press release, newspaper advertisement, prepaid ordinary mail, or by the method most reasonably practicable in the circumstances, as Canada Bread may determine.

Amendments to the Circular

10. **THIS COURT ORDERS** that Canada Bread is authorized to make such amendments, revisions and/or supplements to the draft Circular as it may determine and the Circular, as so amended, revised and/or supplemental, shall be the Circular to be distributed in accordance with paragraph 12.

Adjournments and Postponements

11. **THIS COURT ORDERS** that Canada Bread, if it deems advisable and subject to the terms of the Arrangement Agreement, is specifically authorized to adjourn or postpone the Meeting on one or more occasions, without the necessity of first convening the Meeting or first obtaining any vote of the Shareholders respecting the adjournment or postponement or first setting a new record date and notice of any such adjournment or postponement shall be given by such method as Canada Bread may determine is appropriate in the circumstances. This provision shall not limit the authority of the Chair of the Meeting in respect of adjournments and postponements.

Notice of Meeting

12. **THIS COURT ORDERS** that, in order to effect notice of the Meeting, Canada Bread shall send the Circular (including the Notice of Application and this Interim Order), the Notice of Meeting, the form of proxy and the letter of transmittal, along with such amendments or additional documents as Canada Bread may determine are necessary or desirable and are not inconsistent with the terms of this Interim Order (collectively, the "**Meeting Materials**"), to the following:

a) the registered Shareholders at the close of business on the Record Date, at least twenty-one (21) days prior to the date of the Meeting, excluding the date of sending and the date of the Meeting, by one or more of the following methods:

i) by pre-paid ordinary or first class mail at the addresses of the Shareholders as they appear on the books and records of Canada Bread, or its registrar and transfer agent, at the close of business on the Record Date and if no address is shown therein, then the last address of the person known to the Corporate Secretary of Canada Bread;

ii) by delivery, in person or by recognized courier service or inter-office mail, to the address specified in (i) above; or

iii) by facsimile or electronic transmission to any Shareholder, who is identified to the satisfaction of Canada Bread, who requests such transmission in writing and, if required by Canada Bread, who is prepared to pay the charges for such transmission;

b) non-registered Shareholders by providing sufficient copies of the Meeting Materials to intermediaries and registered nominees in a timely

manner, in accordance with National Instrument 54-101 of the Canadian Securities Administrators; and

c) the respective directors and auditors of Canada Bread by delivery in person, by recognized courier service, by pre-paid ordinary or first class mail or, with the consent of the person, by facsimile or electronic transmission, at least twenty-one (21) days prior to the date of the Meeting, excluding the date of sending and the date of the Meeting;

and that compliance with this paragraph shall constitute sufficient notice of the Meeting.

13. **THIS COURT ORDERS** that accidental failure or omission by Canada Bread to give notice of the meeting or to distribute the Meeting Materials to any person entitled by this Interim Order to receive notice, or any failure or omission to give such notice as a result of events beyond the reasonable control of Canada Bread, or the non-receipt of such notice shall, subject to further order of this Honourable Court, not constitute a breach of this Interim Order nor shall it invalidate any resolution passed or proceedings taken at the Meeting. If any such failure or omission is brought to the attention of Canada Bread, it shall use its reasonable best efforts to rectify it by the method and in the time most reasonably practicable in the circumstances.

14. **THIS COURT ORDERS** that Canada Bread is hereby authorized to make such amendments, revisions or supplements to the Meeting Materials as Canada Bread may determine in accordance with the terms of the Arrangement Agreement ("**Additional Information**"), and that notice of such Additional Information may, subject to paragraphs 8 and 9, above, be distributed by press release, newspaper advertisement, pre-paid ordinary mail, or by the method most reasonably practicable in the circumstances, as Canada Bread may determine.

15. **THIS COURT ORDERS** that distribution of the Meeting Materials pursuant to paragraph 12 of this Interim Order shall constitute notice of the Meeting and good and sufficient service of the within Application upon the persons described in paragraph 12 and that those persons are bound by any orders made on the within Application. Further, no other form of service of the Meeting Materials or any portion thereof need be made, or notice given or other material served in respect of these proceedings and/or the Meeting to such persons or to any other persons, except to the extent required by paragraph 9, above.

Solicitation and Revocation of Proxies

16. **THIS COURT ORDERS** that Canada Bread is authorized to use the letter of transmittal and proxy substantially in the form of the drafts accompanying the Circular, with such amendments and additional information as Canada Bread may determine are necessary or desirable, subject to the terms of the Arrangement Agreement. Canada Bread and Grupo Bimbo are authorized, at their expense, to solicit proxies, directly or through their officers, directors or employees, and through such agents or representatives as they may retain for that purpose, and by mail or such other forms of personal or electronic communication as it may determine. Canada Bread may waive generally, in its discretion, the time limits set out in the Circular for the deposit or revocation of proxies by Shareholders, if Canada Bread deems it advisable to do so.

17. **THIS COURT ORDERS** that Shareholders shall be entitled to revoke their proxies in accordance with section 110(4) of the OBCA (except as the procedures of that section are varied by this paragraph) provided that any instruments in writing delivered pursuant to s.110(4)(a) of the OBCA: (a) may be deposited at the registered office of Canada Bread; and (b) any such instruments must be received by Canada Bread not later than 5:00 p.m. (Toronto time) on April 2, 2014 (or in the event that the Meeting is adjourned or postponed, no later than 5:00 p.m. (Toronto time) on the date

that is one Business Day before the adjourned or postponed Meeting is reconvened or held as the case may be) or delivered to the Chairman of the Meeting before it commences (or in the event that the Meeting is adjourned or postponed, before such adjourned or postponed meeting is reconvened or held, as the case may be).

Voting

18. **THIS COURT ORDERS** that the only persons entitled to vote in person or by proxy on the Arrangement Resolution, or such other business as may be properly brought before the Meeting, shall be those Shareholders who hold Shares of Canada Bread as of the Record Date. Illegible votes, spoiled votes, defective votes and abstentions shall be deemed to be votes not cast. Proxies that are properly signed and dated but which do not contain voting instructions shall be voted in favour of the Arrangement Resolution and otherwise as the proxy holder sees fit.

19. **THIS COURT ORDERS** that votes shall be taken at the Meeting on the basis of one vote per Share and that in order for the Arrangement Agreement to be implemented, subject to further Order of this Honourable Court, the Arrangement Resolution must be passed, with or without variation, at the Meeting by an affirmative vote of at least two-thirds (66 2/3%) of the votes cast by Shareholders present in person or represented by proxy at the Meeting.

Such votes shall be sufficient to authorize Canada Bread to do all such acts and things as may be necessary or desirable to give effect to the Arrangement and the Plan of Arrangement on a basis consistent with what is provided for in the Circular without the necessity of any further approval by the Shareholders, subject only to final approval of the Arrangement by this Honourable Court.

20. **THIS COURT ORDERS** that in respect of matters properly brought before the Meeting pertaining to items of business affecting Canada Bread (other than in respect

of the Arrangement Resolution), each Shareholder is entitled to one vote for each Share held.

Dissent Rights

21. **THIS COURT ORDERS** that each registered Shareholder shall be entitled to exercise Dissent Rights in connection with the Arrangement Resolution in accordance with section 185 of the OBCA (except as the procedures of that section are varied by this Interim Order and the Plan of Arrangement) provided that, notwithstanding section 185(6) of the OBCA, a Notice of Dissent is received by Canada Bread by no later than 5:00 p.m. (Toronto time) on April 1, 2014 (or 5:00 p.m. (Toronto time) on the day that is two Business Days immediately preceding any adjourned or postponed Meeting). For purposes of these proceedings, the "court" referred to in section 185 of the OBCA means this Honourable Court.

22. **THIS COURT ORDERS** that, notwithstanding section 185(4) of the OBCA, Grupo Bimbo, not Canada Bread, shall be required to offer to pay fair value, as of the day prior to approval of the Arrangement Resolution, for Shares held by registered Shareholders who duly exercise Dissent Rights, and to pay the amount to which such Shareholders may be entitled pursuant to the terms of the Arrangement Agreement or Plan of Arrangement. In accordance with the Plan of Arrangement and the Circular, all references to the "corporation" in subsections 185(4) and 185(14) to 185(32), inclusive, of the OBCA (except for the second reference to the "corporation" in subsection 185(15)) shall be deemed to refer to "Grupo Bimbo" in place of the "corporation", and Grupo Bimbo shall have all of the rights, duties and obligations of the "corporation" under subsections 185(14) to 185(32), inclusive, of the OBCA.

23. **THIS COURT ORDERS** that any registered Shareholder who duly exercises such Dissent Rights set out in paragraph 22 above and who:

i) is ultimately determined by this Honourable Court to be entitled to be paid fair value for his, her or its Shares, shall be deemed to have transferred those Shares as of the Effective Time, without any further act or formality and free and clear of all liens, claims, encumbrances, charges, adverse interests or security interests to Grupo Bimbo for cancellation in consideration for a payment of cash from Grupo Bimbo equal to such fair value; or

ii) is for any reason ultimately determined by this Honourable Court not to be entitled to be paid fair value for his, her or its Shares pursuant to the exercise of the Dissent Right, shall be deemed to have participated in the Arrangement on the same basis and at the same time as any non-dissenting Shareholder and shall be entitled to receive only the consideration that such holder would have received pursuant to the Plan of Arrangement if such holder had not exercised Dissent Rights on the basis determined in accordance with section 3.1 of the Plan of Arrangement;

but in no case shall Canada Bread, Grupo Bimbo or any other person be required to recognize such Shareholders as holders of Shares of Canada Bread at or after the date upon which the Arrangement becomes effective and the names of such Shareholders shall be deleted from Canada Bread's register of holders of voting common shares at that time.

Hearing of Application for Approval of the Arrangement

24. **THIS COURT ORDERS** that upon approval by the Shareholders of the Plan of Arrangement in the manner set forth in this Interim Order, Canada Bread may apply to this Honourable Court for final approval of the Arrangement.

25. **THIS COURT ORDERS** that distribution of the Notice of Application and the Interim Order in the Circular, when sent in accordance with paragraph 12 shall constitute good and sufficient service of the Notice of Application and this Interim Order and no other form of service need be effected and no other material need be served unless a Notice of Appearance is served in accordance with paragraph 26.

26. **THIS COURT ORDERS** that any Notice of Appearance served in response to the Notice of Application shall be served on the lawyers for Canada Bread, with a copy to counsel for Grupo Bimbo, as soon as reasonably practicable, and, in any event, no less than 2 days before the hearing of this Application at the following addresses:

STIKEMAN ELLIOTT LLP
Barristers & Solicitors
5300 Commerce Court West
199 Bay Street
Toronto, ON M5L 1B9

Alexander Rose LSUC#: 49415P
Tel: (416) 869-5261
Genna Wood LSUC#: 64287N
Tel: (416) 869-6852
Fax: (416) 947-0866

Lawyers for Canada Bread

TORYS LLP
79 Wellington Street West, 30th Floor
Box 270, TD Centre
Toronto, Ontario
M5K 1N2

Andrew Gray
Tel: (416) 865-7630
Fax: (416) 865-7380

Lawyers for Grupo Bimbo

27. **THIS COURT ORDERS** that, subject to further order of this Honourable Court, the only persons entitled to appear and be heard at the hearing of the within Application shall be:

i) Canada Bread;

ii) Grupo Bimbo;

iii) Maple Leaf Foods Inc.; and

iv) any person who has filed a Notice of Appearance herein in accordance with the Notice of Application, this Interim Order and the *Rules of Civil Procedure*.

28. **THIS COURT ORDERS** that any materials to be filed by Canada Bread in support of the within Application for final approval of the Arrangement may be filed up to one day prior to the hearing of the Application without further order of this Honourable Court.

29. **THIS COURT ORDERS** that in the event the within Application for final approval does not proceed on the date set forth in the Notice of Application, and is adjourned, only those persons who served and filed a Notice of Appearance in accordance with paragraph 26 shall be entitled to be given notice of the adjourned date.

Precedence

30. **THIS COURT ORDERS** that, to the extent of any inconsistency or discrepancy between this Interim Order and the terms of any instrument creating, governing or collateral to the Shares or the articles or by-laws of Canada Bread, this Interim Order shall govern.

Mar 5/14

Court File No. CV-14-10462-00CL

Mar 5/14

IN THE MATTER OF A PROPOSED PLAN OF ARRANGEMENT INVOLVING CANADA BREAD COMPANY, LIMITED AND GRUPO BIMBO, S.A.B. DE C.V.

March 5/14

This plan of arrangement constitutes an "arrangement" within the meaning of OBCA s 182 and will involve a non-related party. Dissent rights are contained in the Interim Order. The proposed Interim Order as found in the circumstances. Order to go in accordance with draft filed which I have signed.

D-20

D. M. BROWN J.

ONTARIO
SUPERIOR COURT OF JUSTICE
(COMMERCIAL LIST)

Proceeding commenced at Toronto

MOTION RECORD
(Returnable March 5, 2012)

STIKEMAN ELLIOTT LLP
Barristers & Solicitors
5300 Commerce Court West
199 Bay Street
Toronto, ON M5L 1B9

Alexander Rose LSUC #49415P
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Lawyers for the Applicant

FEB 28 2014

APPENDIX "E"

SECTION 185 OF THE OBCA

185. (1) Subject to subsection (3) and to sections 186 and 248, if a corporation resolves to,

(a) amend its articles under section 168 to add, remove or change restrictions on the issue, transfer or ownership of shares of a class or series of the shares of the corporation;

(b) amend its articles under section 168 to add, remove or change any restriction upon the business or businesses that the corporation may carry on or upon the powers that the corporation may exercise;

(c) amalgamate with another corporation under sections 175 and 176;

(d) be continued under the laws of another jurisdiction under section 181; or

(e) sell, lease or exchange all or substantially all its property under subsection 184 (3),

a holder of shares of any class or series entitled to vote on the resolution may dissent.

Idem

(2) If a corporation resolves to amend its articles in a manner referred to in subsection 170 (1), a holder of shares of any class or series entitled to vote on the amendment under section 168 or 170 may dissent, except in respect of an amendment referred to in,

(a) clause 170 (1) (a), (b) or (e) where the articles provide that the holders of shares of such class or series are not entitled to dissent; or

(b) subsection 170 (5) or (6).

One class of shares

(2.1) The right to dissent described in subsection (2) applies even if there is only one class of shares.

Exception

(3) A shareholder of a corporation incorporated before the 29th day of July, 1983 is not entitled to dissent under this section in respect of an amendment of the articles of the corporation to the extent that the amendment,

(a) amends the express terms of any provision of the articles of the corporation to conform to the terms of the provision as deemed to be amended by section 277; or

(b) deletes from the articles of the corporation all of the objects of the corporation set out in its articles, provided that the deletion is made by the 29th day of July, 1986.

Shareholder's right to be paid fair value

(4) In addition to any other right the shareholder may have, but subject to subsection (30), a shareholder who complies with this section is entitled, when the action approved by the resolution from which the shareholder dissents becomes effective, to be paid by the corporation the fair value of the shares held by the shareholder in respect of which the shareholder dissents, determined as of the close of business on the day before the resolution was adopted.

No partial dissent

(5) A dissenting shareholder may only claim under this section with respect to all the shares of a class held by the dissenting shareholder on behalf of any one beneficial owner and registered in the name of the dissenting shareholder.

Objection

(6) A dissenting shareholder shall send to the corporation, at or before any meeting of shareholders at which a resolution referred to in subsection (1) or (2) is to be voted on, a written objection to the resolution, unless the corporation did not give notice to the shareholder of the purpose of the meeting or of the shareholder's right to dissent.

Idem

(7) The execution or exercise of a proxy does not constitute a written objection for purposes of subsection (6).

Notice of adoption of resolution

(8) The corporation shall, within ten days after the shareholders adopt the resolution, send to each shareholder who has filed the objection referred to in subsection (6) notice that the resolution has been adopted, but such notice is not required to be sent to any shareholder who voted for the resolution or who has withdrawn the objection.

Idem

(9) A notice sent under subsection (8) shall set out the rights of the dissenting shareholder and the procedures to be followed to exercise those rights.

Demand for payment of fair value

(10) A dissenting shareholder entitled to receive notice under subsection (8) shall, within twenty days after receiving such notice, or, if the shareholder does not receive such notice, within twenty days after learning that the resolution has been adopted, send to the corporation a written notice containing,

(a) the shareholder's name and address;

(b) the number and class of shares in respect of which the shareholder dissents; and

(c) a demand for payment of the fair value of such shares.

Certificates to be sent in

(11) Not later than the thirtieth day after the sending of a notice under subsection (10), a dissenting shareholder shall send the certificates representing the shares in respect of which the shareholder dissents to the corporation or its transfer agent.

Idem

(12) A dissenting shareholder who fails to comply with subsections (6), (10) and (11) has no right to make a claim under this section.

Endorsement on certificate

(13) A corporation or its transfer agent shall endorse on any share certificate received under subsection (11) a notice that the holder is a dissenting shareholder under this section and shall return forthwith the share certificates to the dissenting shareholder.

Rights of dissenting shareholder

(14) On sending a notice under subsection (10), a dissenting shareholder ceases to have any rights as a shareholder other than the right to be paid the fair value of the shares as determined under this section except where,

(a) the dissenting shareholder withdraws notice before the corporation makes an offer under subsection (15);

(b) the corporation fails to make an offer in accordance with subsection (15) and the dissenting shareholder withdraws notice; or

(c) the directors revoke a resolution to amend the articles under subsection 168 (3), terminate an amalgamation agreement under subsection 176 (5) or an application for continuance under subsection 181 (5), or abandon a sale, lease or exchange under subsection 184 (8),

in which case the dissenting shareholder's rights are reinstated as of the date the dissenting shareholder sent the notice referred to in subsection (10), and the dissenting shareholder is entitled, upon presentation and surrender to the corporation or its transfer agent of any certificate representing the shares that has been endorsed in accordance with subsection (13), to be issued a new certificate representing the same number of shares as the certificate so presented, without payment of any fee.

Offer to pay

(15) A corporation shall, not later than seven days after the later of the day on which the action approved by the resolution is effective or the day the corporation received the notice referred to in subsection (10), send to each dissenting shareholder who has sent such notice,

(a) a written offer to pay for the dissenting shareholder's shares in an amount considered by the directors of the corporation to be the fair value thereof, accompanied by a statement showing how the fair value was determined; or

(b) if subsection (30) applies, a notification that it is unable lawfully to pay dissenting shareholders for their shares.

Idem

(16) Every offer made under subsection (15) for shares of the same class or series shall be on the same terms.

Idem

(17) Subject to subsection (30), a corporation shall pay for the shares of a dissenting shareholder within ten days after an offer made under subsection (15) has been accepted, but any such offer lapses if the corporation does not receive an acceptance thereof within thirty days after the offer has been made.

Application to court to fix fair value

(18) Where a corporation fails to make an offer under subsection (15) or if a dissenting shareholder fails to accept an offer, the corporation may, within fifty days after the action approved by the resolution is effective or within such further period as the court may allow, apply to the court to fix a fair value for the shares of any dissenting shareholder.

Idem

(19) If a corporation fails to apply to the court under subsection (18), a dissenting shareholder may apply to the court for the same purpose within a further period of twenty days or within such further period as the court may allow.

Idem

(20) A dissenting shareholder is not required to give security for costs in an application made under subsection (18) or (19).

Costs

(21) If a corporation fails to comply with subsection (15), then the costs of a shareholder application under subsection (19) are to be borne by the corporation unless the court otherwise orders.

Notice to shareholders

(22) Before making application to the court under subsection (18) or not later than seven days after receiving notice of an application to the court under subsection (19), as the case may be, a corporation shall give notice to each dissenting shareholder who, at the date upon which the notice is given,

(a) has sent to the corporation the notice referred to in subsection (10); and

(b) has not accepted an offer made by the corporation under subsection (15), if such an offer was made,

of the date, place and consequences of the application and of the dissenting shareholder's right to appear and be heard in person or by counsel, and a similar notice shall be given to each dissenting shareholder who, after the date of such first mentioned notice and before termination of the proceedings commenced by the application, satisfies the conditions set out in clauses (a) and (b) within three days after the dissenting shareholder satisfies such conditions.

Parties joined

(23) All dissenting shareholders who satisfy the conditions set out in clauses (22)(a) and (b) shall be deemed to be joined as parties to an application under subsection (18) or (19) on the later of the date upon which the application is brought and the date upon which they satisfy the conditions, and shall be bound by the decision rendered by the court in the proceedings commenced by the application.

Idem

(24) Upon an application to the court under subsection (18) or (19), the court may determine whether any other person is a dissenting shareholder who should be joined as a party, and the court shall fix a fair value for the shares of all dissenting shareholders.

Appraisers

(25) The court may in its discretion appoint one or more appraisers to assist the court to fix a fair value for the shares of the dissenting shareholders.

Final order

(26) The final order of the court in the proceedings commenced by an application under subsection (18) or (19) shall be rendered against the corporation and in favour of each dissenting shareholder who, whether before or after the date of the order, complies with the conditions set out in clauses (22) (a) and (b).

Interest

(27) The court may in its discretion allow a reasonable rate of interest on the amount payable to each dissenting shareholder from the date the action approved by the resolution is effective until the date of payment.

Where corporation unable to pay

(28) Where subsection (30) applies, the corporation shall, within ten days after the pronouncement of an order under subsection (26), notify each dissenting shareholder that it is unable lawfully to pay dissenting shareholders for their shares.

Idem

(29) Where subsection (30) applies, a dissenting shareholder, by written notice sent to the corporation within thirty days after receiving a notice under subsection (28), may,

(a) withdraw a notice of dissent, in which case the corporation is deemed to consent to the withdrawal and the shareholder's full rights are reinstated; or

(b) retain a status as a claimant against the corporation, to be paid as soon as the corporation is lawfully able to do so or, in a liquidation, to be ranked subordinate to the rights of creditors of the corporation but in priority to its shareholders.

Idem

(30) A corporation shall not make a payment to a dissenting shareholder under this section if there are reasonable grounds for believing that,

(a) the corporation is or, after the payment, would be unable to pay its liabilities as they become due; or

(b) the realizable value of the corporation's assets would thereby be less than the aggregate of its liabilities.

Court order

(31) Upon application by a corporation that proposes to take any of the actions referred to in subsection (1) or (2), the court may, if satisfied that the proposed action is not in all the circumstances one that should give rise to the rights arising under subsection (4), by order declare that those rights will not arise upon the taking of the proposed action, and the order may be subject to compliance upon such terms and conditions as the court thinks fit and, if the corporation is an offering corporation, notice of any such application and a copy of any order made by the court upon such application shall be served upon the Commission.

Commission may appear

(32) The Commission may appoint counsel to assist the court upon the hearing of an application under subsection (31), if the corporation is an offering corporation.

Any questions and requests for assistance may be directed to the

Depositary:



Computershare Investor Services Inc
100 University Avenue
8th Floor
Toronto, Ontario, Canada
M5J 2Y1

www.computershare.com

North America Toll Free:

1-800-564-6253

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